

STAND FIRM

Amāna Takaful PLC | Annual Report 2019

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Following on from a challenging year, we at Amāna Takaful did not let the circumstances hold us back, but rather we chose to focus on the positives. We remained closely aligned with our principles, transparency and honesty and carried on, building further upon a resilient foundation which strengthened us from inside out. We also honoured our promises to customers and stakeholders, ensuring our support and assurance when they needed us the most. All in all, we stood firm, as we always have and we are ready to face the future, with a solid will and character that defines us.

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OUR VISION

“Committed to providing peace of mind through
World Class Takaful solutions”

OUR MISSION

“We will stand apart from the rest by engaging all stakeholders,
crafting unique insurance solutions, in a spirit of mutuality and solidarity”

OUR VALUES

Customer Centered:

Interaction with Customers.

We LISTEN to our customers and go the EXTRA MILE to SERVE them

Open Mindedness:

Changing the status quo, seeking new ideas.

We FOSTER a culture where IDEAS and OPINIONS are shared freely

Rise for Quality:

A culture of continuous improvement.

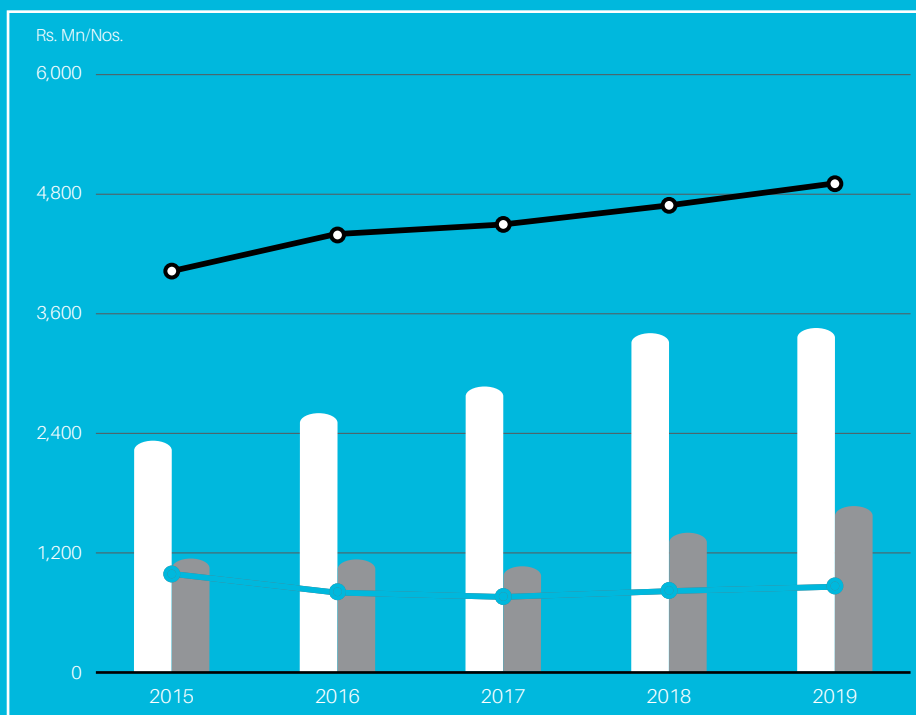
We are DRIVEN to give all stakeholders a QUALITY service

Diversity:

Our soul and spirit

We are OPEN to All

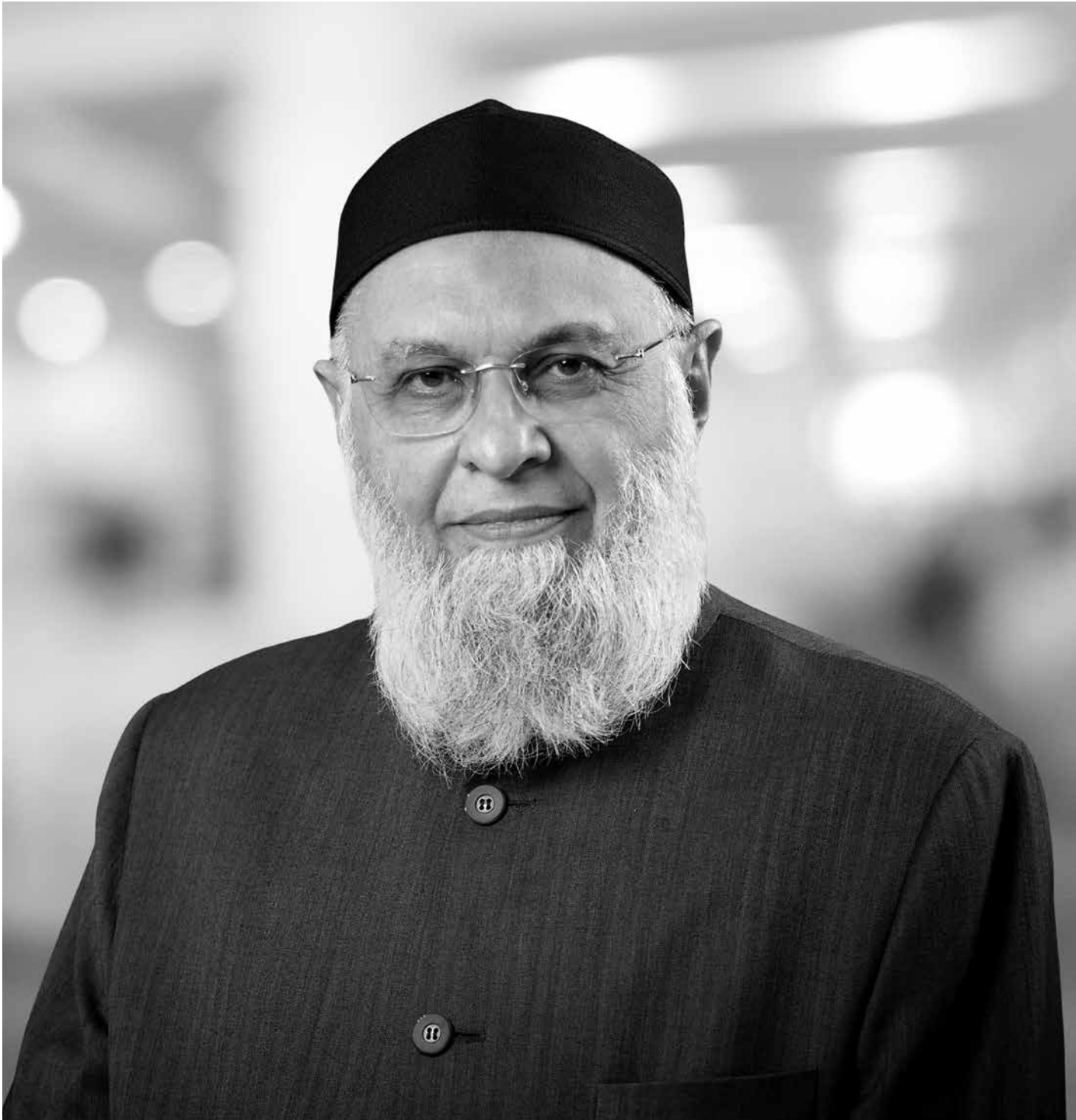
	2019 Rs. Mn	2018 Rs. Mn	Growth (%)
Group			
Total Gross Written Premium	4,276	4,214	1.47
Profit/(Loss) after tax	(277)	104	(366.55)
Earnings/(Loss) per share (Rs.)	(1.87)	0.33	(661.81)
Total Assets	6,634	6,590	0.66
Net Assets value per share (Rs.)	7.58	9.02	(15.99)
Return on Equity	(0.15)	0.05	(388.13)
General Takaful			
Gross Written Premium	3,431	3,386	1.32
Net Earned Premium	2,478	2,419	2.45
Life (Family) Takaful			
Gross Written Premium	851	828	2.82
Life Fund - FTF	471	535	(11.90)
Life Fund - Unit Link	1,748	1,660	5.27
Total Life (Family Takaful) Fund	2,219	2,195	1.08
Company			
Profit/Loss After Tax	(381)	24	(1,706.89)
Earnings/(Loss) per share (Rs.)	(2.12)	0.13	(1,706.89)
Net Assets value per share (Rs.)	8.10	10.22	(20.70)
Return on Equity	(0.26)	0.01	(2,126.19)
Number of Employees	213	234	(8.97)
Number of Branches/Distribution Centres	31	36	(13.89)
General Takaful			
Gross Written Premium	1,832	2,002	(8.51)
Net Earned Premium	1,477	1,541	(4.16)



**GENERAL TAKAFUL
GWP - GROUP
1.32%**

**GROUP TOTAL ASSETS
0.66%**

	2015	2016	2017	2018	2019
General Takaful Contributions (Rs. Mn)	2,309	2,586	2,848	3,386	3,431
General Takaful Net Claims Incurred (Rs. Mn)	1,130	1,118	1,050	1,387	1,656
Family Takaful Life Certificate - New Business (Nos.)	4,047	4,379	4,467	4,636	4,835
Family Takaful (Life) Contribution (Rs. Mn)	928	821	792	828	851



Our foremost priority for 2019, was to allay the fears and misconceptions that were freely circulating in the market. As part of this process, we began working purposefully to strengthen public trust in our brand by rallying around our customers. We heightened the focus of putting their needs above all else, with every single claim being promptly settled in full.

As I present to you the annual report and financial statements for the year ended 31 December 2019, I would like to share my thoughts regarding what was perhaps the most challenging year in Amāna Takaful PLC's (ATPLC) 20 year history.

More specifically, I refer to the horrific events of April 21st that thrust the nation into a state of shock and fear, and put the entire country on high alert. As key sectors such as tourism, leisure, transport took the brunt of the impact, the general economic climate deteriorated, causing a deceleration in most other sectors of the economy as well. To add to this, the announcement of elections towards the end of the year further heightened the tension and general unease among the business community. It is therefore quite understandable that Sri Lanka's GDP expanded by only 2.6% in 2019.

For the Amāna Takaful Group, the impact was unprecedented as both Amāna Takaful PLC and its subsidiary Amāna Takaful Life's businesses remained under severe pressure for most of the year. In fact, it was a watershed moment in our journey, where our very foundations were put to the test. Being the only standalone Takaful insurance operation in Sri Lanka, we took the brunt of this downturn, in the way we conduct our business.

Strategy and Focus

At this point I must reiterate my belief that difficult times call for a definitive response on our part, one that sends a clear message regarding who we are and what our brand stands for. In the light of what was taking place around us, our foremost priority for 2019, was to allay the fears and misconceptions that were freely circulating in the market. As part of this process, we began working purposefully to strengthen public trust in our brand by rallying around our customers. We heightened the focus of putting their needs above all else, with every single claim being promptly settled in full.

Moreover, to put our business on a firmer footing, we took steps to realign the Group's strategy cognisant to the changes in our immediate operating environment. Accordingly, we focused on strengthening our presence in existing market segments, and committed to investment in technology, infrastructure and people, thereby enhancing our resilience and building our defenses to fend off any external shocks that may arise in the future.

Amidst this chaos, our Male' operation continues to be a beacon of hope for the Takaful industry and for the Group. As an independent entity listed in that jurisdiction, Amāna Takaful (Maldives) PLC has demonstrated year on year premium

growth, customer enlistments and consistently met all its obligations to shareholders and stakeholders for the past 9 years. These are commendable achievements, given that the Maldives insurance market is more a conventional one as opposed to being Takaful-driven.

Performance Recap

Group reports Gross Written Premium (GWP) of Rs. 4.2 Bn in 2019. This was on par with the figure reported in 2018, which I believe is a significant achievement under these extenuating circumstances. However the challenges in our operating environment had a bearing on the Group bottom line, which was evident by the decline in Profit Before Tax (PBT). Group PBT fell sharply by 214% to Rs. -151.8 Mn in 2019 from Rs. 133.2 Mn in 2018.

Amāna Takaful PLC (ATPLC), reported a YoY downside 8.5% in GWP for 2019, while the Company's PBT declined to Rs. -284.69 Mn from Rs. 24 Mn in 2018. Furthermore I would like to make mention that the Company paid out just over Rs. 1 Bn in claims for 2019, the highest claim payout made by the Company in its 20 year history. What is more important though is the fact that all claims were settled in full, which testifies to the strength of our reinsurance capability. It is also encouraging to note that despite the challenges, ATPLC's market rank remained unchanged from the previous year.

Amāna Takaful Life PLC, meanwhile reported what can only be described as an acceptable performance under the current circumstances. GWP grew marginally by 2.8% backed by a 4% increase in new policies. However, the Company registered a loss of Rs. 29 Mn in 2019.

Amāna Takaful Maldives PLC on the other hand tabled improved results for 2019. GWP grew by a healthy 15.5%, an admirable achievement in an increasingly competitive market. PBT also grew by 1.9% YoY to MVR 14.6 Mn in 2019.

Governance and Stewardship

We believe that good governance is an essential part of the way we undertake our business on a day-to-day basis across the Group. As Chairman, I confirm that my fellow directors and I remain firmly committed to observing the highest standards of corporate governance, integrity and professionalism.

In 2019, we continued to deliver on this commitment by exercising even stricter discipline in managing our day to day business to ensure the Group remains within the Shari'ah principles that govern our business, while complying with all the frameworks outlined by the Regulators.

Further, we engaged in augmenting our Board with the requisite skills and diversity to complement the Group's long term strategy. Taking into account the recent directive issued by the Insurance Regulatory Commission of Sri Lanka limiting the tenure of a director to 9 years, several of the Group directors stepped down with effect from 31 December 2019. New candidates have already been identified and would be presented for approval at the upcoming AGM. With these new appointments, the Group would have what we like to call a "futuristic Board".

Looking to the Future

Confident in the belief that we have taken the right steps to fortify our business over the last 12 months, I look to the future with a sense of optimism. As the insurance market in Sri Lanka and Maldives gain further momentum over the years, we expect it will open up considerable opportunities for growth. For our part, we will look to leverage on the growing worldwide acceptance of the Takaful concept to assert the Group's leadership in this niche market over the coming years.

Board Changes

Mr. Tyeab Akbarally, Group Chairman since 2003, retired on 15 July 2019. As a founding member of Amāna Takaful PLC, Mr. Akbarally was one of the main architects of the Group's strategic journey over the past 20 years. I take this opportunity to thank him for his deep commitment and spirit of leadership that has made the Group what it is today. I wish him well for the future.

I also wish to thank Mr. M S M Muzzamil and Mr. R Gopinath, both independent non-executive Directors who retired from the Board on 30 November 2019 and 1 December 2019 respectively. I wish them well.

Acknowledgments

As I conclude my review, I would like to thank my colleagues on the Board for their guidance and wise counsel extended to me at all times.

A special word of thanks to our CEO Mr. Fazal Ghaffoor who retired after an eight-year stint with the Company. Fazal, with his enthusiasm and dynamic approach to business has been the driving force behind the success of ATL. I thank him for his immeasurable contribution to the Company and wish him well as he goes on to take on new challenges in the coming years.

I wish to also place on record my appreciation to the Management and employees at all levels for their dedication and zeal in driving the company forward. Finally, I wish to thank the shareholders and all other stakeholders of Amāna Takaful PLC, for the trust and confidence placed in the Group. I seek your continued support in the years ahead too.



Osman Kassim
Chairman
26 May 2020



Further resonating our ongoing commitment to our customers, we continued to leverage on digital technology to promote the ease of transactional capability. The All-in-One policy for the retail market, is one such example, available only on our digital App, greatly enhancing the customer experience through on-line real time connectivity.

It was a disconcerting year not only for your Company, but for Sri Lanka as a whole. Just as it appeared that the Country was recovering from the political upheaval of 2018, negative headwinds precipitated by the Easter Sunday terror attacks plunged the economy into a tailspin. And with the business, economic and social landscape challenged, the entire fabric of the nation threatened to unravel in the months following the attack.

As was the case for many sectors, the impact was quite severe for the insurance industry as well, which recorded its weakest performance in over a decade. Industry Gross Written Premium grew by a mere 5%, and that too on the back of one-off Terrorism and Riot and Strike premiums, which means, it can be safely assumed that industry growth was flat at best in 2019. It is also noteworthy that the motor class, which has been an engine of growth for the industry for so long, failed to gather any momentum, for the first time in many years.

For us at Amāna Takaful PLC (ATPLC), it was a particularly difficult time. Being a Takaful Company operating under the Islamic code, the fallout from the Easter attacks severely thwarted our propensity to even sustain our business in 2019. However, for us it was even more devastating to note that some of our long standing customers being swayed by the turning tide, deciding to review their

relationship with ATPLC. At this point, I must reiterate that, we will continue to relentlessly pursue re-enlisting these customers to our portfolio.

Under these circumstances, we experienced a significant down-side in GWP throughout the year. ATPLC's GWP declined by 8.5% YoY, unprecedented in our 21 year history. However, it is note-worthy, that unlike the industry, which remains heavily skewed towards the Motor segment, our well balanced portfolio put us on a firmer footing to ride out the difficult times.

Key Priorities for the Year

On the positive side, these obstacles only served to reinforce our conviction to fulfill the promises made to our stakeholders. Staying true to the Takaful concept, we continued to serve all market segments ranging from the typical Motor, Fire, and Marine to the more unconventional covers, illustrated through our branded innovations. To date, ATL is also probably one of the few who underwrite the local aviation industry.

Further resonating our ongoing commitment to our customers, we continued to leverage on digital technology to promote the ease of transactional capability. The All-in-One policy for the retail market, is one such example, available only on our digital App, greatly enhancing the customer experience through on-line real time connectivity.

While quick and efficient claim settlement has always been one of our key priorities, in the tenuous environment during 2019, it was considered critical in affirming public trust in our brand. Accordingly, ATPLC ensured all its claims were honoured in full, despite a sizable increase in total claims. In fact, our total claim payout for 2019 exceeded the Rs.1 Bn mark for the first time, 20% more than our obligations for 2018. In addition, a further Rs. 300 Mn was disbursed as full and final settlement of Riot claims following the Easter attacks. This included Rs. 220 Mn to one single entity, which I believe testifies to our ability to fortify our client base for the entire re-insurance value at any given time. Meanwhile, our rapid claim settlement process in respect of motor class, enabled us to settle all such basic claims in 24 hours.

Looking inward to reduce our sensitivity to external challenges, we activated a long-range plan to build resilience and improve our readiness for the future. We began with a broad-based agenda to right-size the company, to make our business leaner and fitter for the future. As part of the first phase, we re-evaluated our existing staff cadre to determine their ability to support the Company's long term strategic objectives with the deployment of technological inter-phase. Based on our findings, we increased our engagement with employees to understand their aspirations and help them align their personal goals with the Company's growth trajectory.

Awards and Accolades

You will no doubt be pleased to note that ATPLC was once again recognised for its efforts to advance Islamic Finance in Sri Lanka, proving yet again, that we are good at what we do. ATPLC clinched two prestigious awards at the recently concluded Sri Lanka Islamic Banking and Finance Industry Awards – the Gold Award in the "Product of the Year" category, for our ground-breaking trade protection plan "All-In-One" as well as the highly coveted Gold Award for the "Takaful Entity of the Year" – the 5th such occasion since its launch in 2012.

Moving Ahead

With 2019 now behind us, I expect the coming year would bring better prospects for our business. As the current election cycle comes to an end, I anticipate there would be an upswing in business activity in the following year. Moreover, with the tax-breaks announced by the new government expected to result in an increase in disposable income, I foresee greater buoyancy in the retail segment. I am confident that ATPLC is in a strong position to capitalise on these opportunities, having put in the groundwork to transform into a leaner and fitter organisation over the next 3-5 years. However, if we are to fully benefit from these opportunities, it is imperative that policy consistency be maintained at all levels.

At the same time, change needs to take place on a broader level as well. We need to start by changing the widely held perception that Sri Lanka is a credit heaven for insurance underwriting. ATPLC has been at the forefront of this change. We have taken the lead in lobbying industry regulators to promote the practice of "cash before cover", which will support insurers to maintain healthier cashflows and also increase the outlay in investments assets. I am indeed pleased with the progress made in this regard. In fact, I believe the regulator is now at the threshold of implementing "cash before cover" as a mandated practice across the local insurance industry.

Appreciations

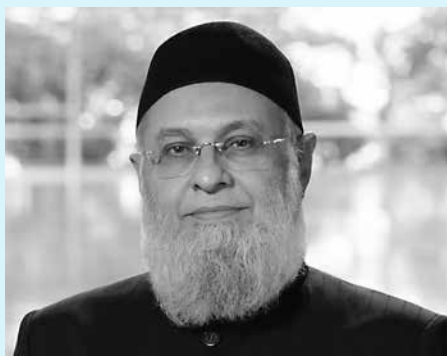
To conclude, I wish to thank the Board for their guidance and continued support during a roller-coaster 12 months. I take this opportunity to salute our diverse and energetic team of employees whose commitment was instrumental to ride out the recent setbacks.

My sincere appreciations to the Shari'ah Advisory Council for their input. A special word of thanks to the Insurance Regulator and our Reinsurance partners, in particular our lead reinsurers – Swiss Re and the NITF.

I also wish to thank our shareholders, for their support over the years. As I part from a stewardship of 8 years at the helm, I sincerely believe that your support and encouragement will continue with greater vigor and vitality in the years to come.



M Fazal Ghaffoor
Chief Executive Officer
31 December 2019



Mr. Osman Kassim

Chairman - Non-Executive Director

Mr. Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, is the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Mr. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Mr. Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid and is also the Chairman of Aberdeen Holdings (Private) Limited. He also sits on the board of Ex-Pack Corrugated Cartons (Private) Limited.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.



Mr. Tyeab Akbarally

(Resigned w.e.f. 15 July 2019)

Non-Executive Director

Mr. Tyeab Akbarally has been on the Board since its inception. He is also a Director of Akbar Brothers (Pvt) Ltd., the largest tea exporter in the country. Mr. Tyeab's business interests extend to many sectors of the economy, including tea trade, Pharmaceutical Trade, Hydropower and Commodity Trading. He is also on the Boards of Amāna Bank PLC and several companies in the Akbar Brothers Group.



Mr. M Hassan Sattar Kassim

Non-Executive -

until 29 February 2020

Managing Director

(Appointed w.e.f. 2 March 2020)

Mr. Hassan Kassim was appointed to the Board on 7 March 2016. He is the Director/ Chief Operating Officer at Aberdeen Holdings (Private) Limited and the founder and Chief Executive Officer of Expo Commodities DMCC Dubai. He has also served as Head of International Trading at Lanka Commodity Holdings (Pvt) Ltd. and Head of Corporate Communications and CSR at Expolanka Holdings PLC.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Mr. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.



Mr. Mohamed Haniffa Mohamed Rafiq
Independent Non-Executive Director

Mr. M H M Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Mr. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in Amāna Takaful PLC.



Dato' Mohd Fadzli Yusof
Independent Non-Executive Director

Dato' Mohd Fadzli Yusof was appointed to the Board on 10 February 1999. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei-Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn. Bhd, a subsidiary of Hei-Tech Padu Berhad.

He has been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. He is also a member of the Council, Ismail Petra International Islamic College Kelantan, Malaysia, member of the Negeri Sembilan Baitulmal Corporation, Malaysia as well as member of the Board of Trustees Sultan Mizan Royal Foundation, an NGO institution.



Dr. Aboobacker Admani Mohamed Haroon
Non-Executive Director

Dr. A A M Haroon was appointed as a Director on 21 September 2000. He is a Medical Practitioner by Profession. He also holds the chairmanship of several private companies, encompassing different industries including Garments, Healthcare and Clinical Diagnostics.



Mr. Aboo Sally Mohamed Muzzammil

(Resigned w.e.f. 30 November 2019)

Independent Non-Executive Director

Mr. A S M Muzzammil was appointed to the Board in April 2010. He is chairman/Managing Director, Ceylon Foods (Pvt) Ltd. He has served for over 40 years in senior management positions in commerce and industry. He holds an MA in Business analysis from Lancaster University, UK and the J Dip MA, UK. He is a fellow of the CIMA (UK) and ACCA (UK). Mr. Muzzammil served as the president of CIMA Sri Lanka Division, Exporters Association of Sri Lanka and the Seafood Exporters Association of Sri Lanka. He has been a member, of the Councils of the Moratuwa University, SLIATE, SLSI and the ITI and was a member of the Joint Business Forum and various Chambers of Commerce and Industry. He has been a Vice-President and Treasurer of the OPA and also serves in several business, educational, social and religious organisations.



Mr. Radhakrishnan Gopinath

(Resigned w.e.f. 1 December 2019)

Independent Non-Executive Director

Mr. Radhakrishnan Gopinath was appointed to the Board on 6 June 2012. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Mr. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Subcommittee.

Mr. Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/Managing Director.



Mr. Mohamed Rizwan Mohamed Nayeem

Independent Non-Executive Director

Mr. Rizwan Nayeem was appointed to the Board on 7 March 2016. He is currently an Executive Director at the Norton bridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Mr. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Mr. Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Mr. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).



Mr. Syed Rizwan Hussain

(Appointed w.e.f. 3 May 2019)

Independent Non-Executive Director

An Industry stalwart with over 29 years' experience. Seasoned CEO with an industry leading company in Pakistan, expert at leading cross-functional teams, managing result-oriented departments, ensuring corporate governance. He holds multiple Board Member position(s) with reputed companies and leverages management and visionary leadership expertise for driving long-term strategies aimed at excelling companies' top-line and bottom-line. He is serving as an independent non-executive director of Amāna Takaful PLC. Alongside his several accolades, he is an MBA & a Certified Director.



M Fazal Ghaffoor
Chief Executive Officer
(Retired w.e.f. 31 December 2019)



Zaid Ibnu Aboobucker
Interim Acting CEO
(Appointed w.e.f. 1 January 2020)



Shehan Feisal
Chief Operating Officer
(Appointed w.e.f. 17 February 2020)



Rinaz Niyas
Head of Finance



M Farhan Jabir
Head of Human Resources and
Secretary to the Board



M S M Iqbal
Head of Information Technology



A H M Dilshad
Head of Compliance & Corporate Risk



Rizvan Ahamed
Assistant General Manager –
Re-Takaful



Noushad Cassim
Head of Sales – Metropolitan



Nalin Sakalasooriya
Assistant General Manager -
Motor Claims



Gayan De Silva
Assistant General Manager - Sales
(Resigned w.e.f. 29 February 2020)



Shamail Annam
Assistant General Manager -
Business Development (Corporate)
(Resigned w.e.f. 31 December 2019)



Udaya Kumara
Assistant General Manager -
Underwriting
(Resigned w.e.f. 24 February 2020)



Madara Kumarasinghe
Senior Manager - Marketing



Rushdi Zarook
Manager - Legal



Roshan Ranasinghe
Senior Manager -
Medical Underwriting



Thilak Nishantha
Manager -
Human Resources and Administration



Ahmed Ajfar
Manager - Information Technology



Faique Hassen
Manager - Underwriting



Jawfer-Us Sadik
Manager - Re-Takaful



Sanjeewa Kaluarachchi
Manager - General Takaful



Shaheer Rasooldeen
Manager -
Relationship Management Unit



Zakir Kanaka
Senior Sales Manager



Tasleen Ammon
Channel Sales Manager (Corporate)



Janaka Wijayakumara
Senior Regional Manager -
Southern and Sabaragamuwa



Luqman Nizamdeen
Area Business Development Manager
(Western II)



Suluki Kuthdoos
Area Business Development Manager
(Western I)



M F M Hismy
Regional Manager - East



Aruna Wickramage
Area Business Development Manager
(North Western)



M Ramakrishnan
Manager - Micro Takaful



Hashmath Huzair
Assistant Manager - Internal Audit

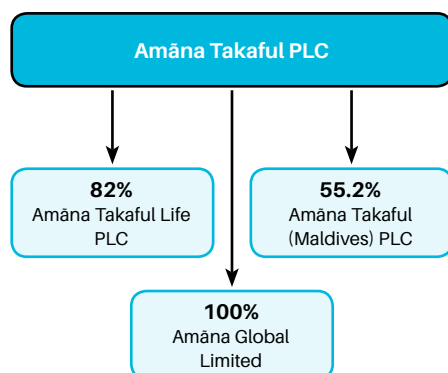


Arshad Azeez
Assistant Manager - Finance

Amāna Takaful PLC (ATPLC)

Amāna Takaful PLC founded in 1998 as a Composite Insurer with a paid-up share capital of Rs. 30 Mn, recording Rs. 4 Mn GWP revenue in its first year of operation. At present the expanded group records an annual GWP of Rs. 4.2 Bn, equity of Rs. 1.8 Bn, 31 branches, 213 full time employees and retains its dominant position in the Takaful insurance space in Sri Lanka and Maldives.

With a public listing in 2006 ATPLC has three subsidiaries, namely Amāna Takaful Maldives PLC (AT-Maldives), Amāna Takaful Life PLC (AT-Life) which followed as public listed entities in 2011 and 2016 respectively and Amāna Global Ltd, which is a BOI registered Technical Advisory. Prior to the listing of the subsidiaries, AT-Maldives commenced operations in Malé the capital of the Maldives in 2005 whilst AT-Life remained within the composite until 2014.



Sri Lanka - Macro Economic Position

Central Bank of Sri Lanka (CBSL) statistics indicate weak economic growth across most key sectors of the economy in 2019. Data released by the CBSL show that the agriculture sector recorded marginal growth of 0.6% in 2019, while the service and industrial sectors grew by 2.3% and 2.7% respectively. Sri Lanka's overall growth prospects were severely affected by the Easter Attack in April 2019, which was the main reason behind the Country's GDP growth slowing to 2.3% in 2019, from 3.3% in 2018. On a positive note, the exchange rate showed greater stability in 2019, after reporting a significant depreciation in 2018.

Workers' remittances which is a leading source of foreign exchange for the country, also declined in 2019, while income from the Tourism sector fell sharply as a direct consequence of the Easter Sunday attacks. However driven by the apparel sector which received a strong boost from the reinstatement of GSP+ concessions, the Country's export income grew by 0.4%, year-on-year, to US dollars 11,940 Mn for the twelve months ending December 2019. Import expenditure meanwhile declined by 10.3% to US dollars 19,937 Mn for the same period. A combination of the higher export income and lower import expenditure led to a notable US dollar 2,346 Mn contraction in the trade deficit. Consequently the trade deficit for 2019 stood at US dollars 7,997 Mn, in comparison to US dollars 10,343 Mn at the end of 2018.

Industry Overview

The performance of local general insurance industry continues to be tied to the local vehicle market, especially given that Motor Insurance is the single largest contributor to the industry's premium. The local vehicle market has remained depressed for the past few years mainly as a result of the Government's programme of fiscal prudence and good governance initiated in 2015. Due to this process Policy Interest rates have remained high since 2018 causing severe credit restrictions that have continued to negatively impact the vehicle finance and leasing business for the past few years. Additional taxes on vehicle imports introduced through the Budget 2019 have also adversely impacted the vehicle market.

Amidst these challenges, Motor premiums grew at a slower pace of 2.49% in 2019 to reach Rs. 64.46 Bn, compared to Rs. 62.89 Bn reported in the previous year. Premium income from the Non-Motor segment increased to Rs. 36.29 Bn, a 10.83% growth YoY. Within the non-motor segment, Medical Premiums recorded a growth of 17.48% YoY to reach Rs. 11.9 Bn. Meanwhile the general insurance industry as a whole reported Gross Written Premiums (GWP) of Rs. 100.7 Bn in 2019. Of this 63.98% was attributed to Motor premiums.

The rate of Insurance penetration in the country stands at less than 1.31%. The severe under penetration in the market continues to offer considerable opportunities for the development of the Industry in the years ahead. Furthermore the Government's Vision to "make Sri Lanka an upper-middle income country by 2025" and position the country as the Hub of the "Indian ocean" are a few of the other important factors that the Insurance industry would need to consider in its future growth strategy.

Group Performance

The Group's GWP of Rs. 4.2 Bn is a marginal growth of 1.47% in comparison to the previous year amidst adverse environmental factors. A significant loss was experienced in 2019 due to unfavourable external events such as the post 21/4 incident resulting in a loss before tax of Rs. -151.8 Mn (2018 – profit of Rs. 133.2 Mn)

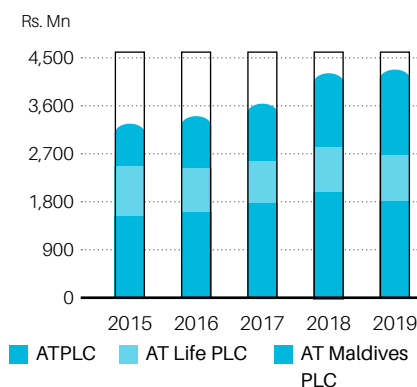
ATPLC has experienced a dip in its Gross Written Premium (GWP) by -8.5% (down from a growth 12% for 2018) to Rs. 1.8 Bn over the previous year, striving in maintaining its market share and position. A loss before tax of Rs. -284.7 Mn was recorded for 2019, as compared to the profit of Rs. 24 Mn the previous year. This is in the backdrop of 2019 being a very turbulent year caused by the Easter Sunday and its ripple effect faced throughout the nation and a climate of political uncertainty.

AT-Life GWP records a growth of 3% in 2019 to Rs. 851.3 Mn compared to a growth of 4.5% for 2018, despite the unfavourable external events during the year which impacted the top line. However, the Company posted Loss before tax of Rs. -29 Mn a decline in loss over the previous period.

AT-Maldives Posted a GWP of Rs. 1.6 Bn, a 15.5% growth. A profit before tax of 172.9 Mn for the year 2019 consisting of a 15% growth.

ATPLC Group GWP Segmental growth over the last five years is depicted in the chart below:

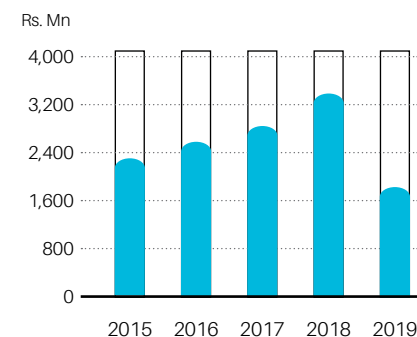
Gross Written Premium



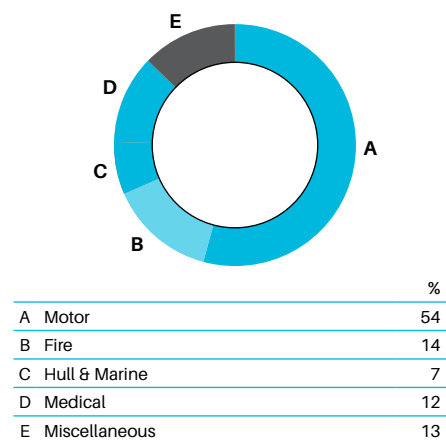
Amāna Takaful General

ATPLC experienced a dip in terms of top line by 8.5% in 2019 compared to the growth of 12% in 2018, the growth in GWP for the last five-year period is given below:

ATPLC GWP



Motor and Non Motor Mix in GWP

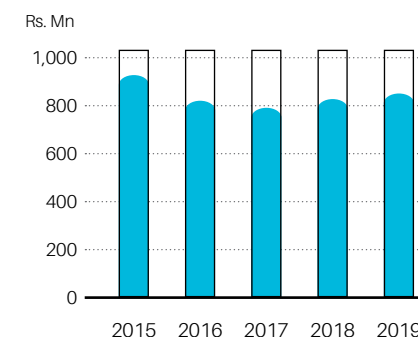


Amāna Takaful Life

AT-Life has completed its 5th year of operation as a separate entity in 2019. The chart below depicts the growth in Gross Written Premium over the last five years:

**AT-Life GWP grew by 3% in 2019 as compared to a growth of 5% for 2018. Since 2017, a positive growth in GWP on a sales portfolio has been achieved.*

AT-Life GWP Breakdown



Gross Written Premium

	2019 Rs. Mn	2018 Rs. Mn	2017 Rs. Mn	2016 Rs. Mn	2015 Rs. Mn
ATPLC	1,832	2,002	1,792	1,618	1,547
AT Life PLC	851	828	792	821	928
AT Maldives PLC	1,598	1,383	1,056	968	791

Motor and Non Motor Mix in GWP

Category	2019 (Rs. Mn)
Motor	993
Fire	261
Hull & Marine	128
Medical	217
Miscellaneous	233
Total	1,832

Investment Income

The Group reports an investment income of Rs. 378.9 Mn in 2019, which is a growth of 25% as a result of efficient Investment assets during the period. The group is positive of maintaining a profit growth momentum from 2020 onwards.

Profitability

ATPLC recorded a Loss before tax of Rs. -284.7Mn for the year 2019, as compared to the Profit of Rs. 23.9 Mn for the year 2018.

AT-Life, in its fifth year of independent operations, recorded a loss before tax of Rs. 29 Mn for 2019 a decline in loss compared to the Loss before tax of Rs. 63 Mn in 2018.

AT-Maldives recorded a profit before tax equivalent to Rs. 173 Mn for the year 2019, a 14.7% growth compared to Rs. 151 Mn in 2018.

The Group recorded a Loss before tax of Rs. 151.8 Mn for 2019 compared to a profit of Rs. 133.2 Mn in 2018.

Risk Management and Risk-based Capital

The Company has implemented a detailed Enterprise Risk Management Framework, which is reviewed periodically. A detailed Business Continuity Plan (BCP) supplemented by a Disaster Recovery Plan (DRP) is regularly updated and validated. All control procedures are monitored at the level of Department Heads. The meetings of the Risk Management Committee of the Board are held every quarter.

The Solvency Margin (Risk Based Capital) requirements pertaining to Amāna Takaful Life PLC have been met. ATPLC has a marginal deficiency in Total Available Capital as at 31 December 2019, while the Capital Adequacy Ratio (CAR) stood at 199% above the Regulatory minimum of 120%.

ISO Re-certification

ATPLC successfully obtained ISO 9001:2015 recertification. ISO certification entails routine quality and management related auditing by an external ISO accreditation body. DNV the renowned Norwegian ISO certification Agency being our ISO accreditor conducted such auditing process, the criteria of which we successfully surpassed.

Presently we are the only insurance company to maintain the ISO accreditation.

GENERAL



The small and medium sized business owner plays a critical role in the Islands economy. Amāna Takaful PLC (ATL) recognising this discerning segment and its requirements introduced an innovative insurance policy All in One. This policy was designed fully understanding the toil and challenges a business owner undergoes in finding funds and investments to establish their trade. At times of duress this policy would be there to support you through these unforeseen misfortunes. The unique feature of this product is that it is totally digitalised and obtaining a quote as per your requirements could be done without any hassle instantly.



Maritime enterprise is fraught with many risks. With our ATL Easy Marine cover, one can be at ease, whilst the goods are on the move. This is because we are committed to safeguarding your imports and exports from the point of origin to destination. The policy holder can also enjoy the broad coverage offered with a superior professional and friendly service with speed and efficiency, ensuring smooth sail at any stage.



ATL Travel Pal policy offers support to customers traveling for leisure, business or family engagements. The policy is a comprehensive and reliable travel companion. It covers the holder in the event of hospitalisation, personal accidents and injuries, permanent or total disabilities, loss of luggage and valuables, re-imbursement of repatriation cost and a comprehensive cover for flight delay/cancellation, missed departure etc. Travel Pal also provides absolute peace of mind to the policy holder.

The policy is available online, catering to the ever growing tech savvy customers. Quotations can be viewed and travel policies can be bought online through our website. The ATL Mobile app can be downloaded and used for any purpose including visa applications. Foreign travellers can obtain their Travel Pal policy through ATL's island wide branch networks as well as partnered travel agents.



A home is a showpiece of a lifetime decorated with memories of love, care and family. It is more than mere bricks and mortar. Therefore, ATL My Home provides a comprehensive cover for a range of potential risks. In the event of a burglary it covers damaged property and stolen goods. It includes all belongings in the home – jewellery, valuables, interior and exterior decorations. The cover also provides protection against damages caused by fire, falling trees and branches, explosions, natural disasters such as earthquakes, lightning and thunderstorms etc. Additionally, it offers a host of free benefits such as, a personal accident cover for the family, protection against loss of rent and cash, fire brigade charges, replacement of ATM/ credit cards, alternative accommodation requirements, deterioration of food in the refrigerator and much more.

MOTOR

Amāna Takaful **TOTAL DRIVE** Motor Insurance

This motor policy cares not only for your car, but also for your loved ones and includes various covers to suit your risk appetite. It includes an exceptional claim settlement with the choice of 3 payment options.

Our online portal www.takaful.lk and the ATL Mobile app offers customers a wide range of functions that include; renewal of motor policies, obtaining quotations, notifying an accident and tracking a motor claim.



ATL Smart Rider Cover - a compelling insurance scheme for motor bikes that covers its riders across a spectrum of worst-case scenarios to ensure that they do not have to suffer monetary loss due to any reason. The customised process flow ensures ATL Smart Rider Cover customers can drive off after a swift transaction, secure in the knowledge that their motor bikes, their families, and they are covered against any eventualities.



This value proposition for 3 Wheel owners and its drivers is the most attractive in the market and takes into account all the challenges faced by the drivers on a daily basis, to ensure their livelihoods are sustained. The policy includes a host of eventualities, to ensure that at any point in time, the policy holder is shielded from loss. ATL Tuk Tuk Full covers natural perils, riot & strike, third party property damage and hiring cover. In addition to this, Tuk Tuk Full extends a comprehensive insurance cover against personal emergencies such as disability or hospitalisation.

MEDICAL



For the 1st time in Sri Lanka ATL has introduced an unique health insurance policy with an extremely affordable fee of just Rs. 2,222/- for an annual insurance coverage of Rs. 100,000/-. This has made the ATL *Suwasiri* Health Insurance policy the most affordable policy available to Sri Lankans. *Suwasiri* is the perfect solution to the challenges faced by Sri Lankans due to the increasing costs of hospitalisation & medical treatment expenses. Whilst good health is a blessing, an illness can occur when we least expect it. ATL *Suwasiri* Health Insurance policy is the solution that will help ease one's financial burden during a time of crisis.



Women are the primary caregivers in today's society. However, a number of health issues pose specific risks to them. ATL Crystalline Policy is especially tailored for ladies, providing coverage for the treatment of ailments common to ladies. From critical illnesses to the complications of aging, the policy insures against the most pressing threats to women's health, providing peace of mind to them.

MICRO



An extended hospital stay is not only distressing but it can also be a surprisingly expensive with costs escalating beyond one's limit. Not just the disease but the cost of treatment too takes its toll. ATL Hale & Hearty insurance plan covers individuals and their families within the age group of 18 to 55. It can be tailored to meet the needs of entrepreneurs, executives, managers and others like young adults and housewives. The policy also features an array of benefits that provide policyholders with added value and convenience. Hale & Hearty gives policyholders the convenient option of cashless transactions in over 22 leading hospitals. As a result, ATL settles hospitalisation bills directly to the hospital ensuring the policyholder has minimal use for cash and feels no hassle and stress.



ATL *Kruthaguna*, an insurance cover designed to take care of your elderly loved ones hospitalisation. It gives you the peace of mind to spend time with them, to love them and care for them. *Kruthaguna* provides you with financial security and much needed support in times of need.

It is the only policy that provides health insurance benefits for elders above 55 years, and is a lifetime policy. One could enroll with this policy up to the age of 73.



Insurance is believed to be a requirement which can only be afforded by the affluent in our society. Therefore, ATL *Navodhaya* the Micro Takaful (Insurance) product was launched to spread inclusiveness and mutual assistance. It is an annually renewable Death and Living benefit cover for groups of individuals with two tailor made personal accidental and death benefit schemes to support dairy farmers and fisher folk of Sri Lanka.

Our People - Our Future!

2019 was a challenging year for the Country, particularly post the Easter Sunday attacks - impacting many businesses in the country and the economy at large. ATL was no exception. With our GWP and Profitability stressed, judicious measures were taken to realign the organisation with a view to making it more effective and efficient thus leading to a project of Right Sizing our company. Attracting, nurturing and retaining a competent workforce has always ensured the pristine quality of our human capital.

15 targeted trainings were held during the year among others, which included a Leadership Excellence Program specifically crafted for the distribution team. Head office and Branch operations were rationalised. The introduction of a new incentive scheme ensured a boost in morale and performance in the sales staff. Due attention was given to managing staff attritions at acceptable levels in managing regrettable losses.

In line with our credo - OPEN TO ALL, ATL's openness to gender, ethnic diversity and fostering a culture that is tolerant and mutually inclusive has been a key element in our value creation process.

The work environment at Head office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees and customers alike. Employees at all levels have the opportunity to interact openly with Management.

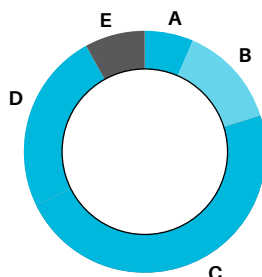
Today the Group has 295 full time employees based at the Head office and island wide branch network.

Towards our goal in developing and fortifying a sustainable business model, we have aligned the Human Resources Strategy to the organisation's Corporate Goals. Hence, it becomes critically important to ensure we have the right people, with the right skills, at the right place at the right time, in catering to the requirements of all our stakeholders.

Employee Analysis

Staff Distribution by Province	2019		2018	
	No.	%	No.	%
Central	30	10	37	12
Eastern	21	7	24	8
North Central	1	0.34	2	1
North Western	24	8	27	9
Northern	7	2	5	2
Southern	7	2	11	4
Sabaragamuwa	4	1.36	4	1.28
Western	201	68	203	65
Total	295	100	313	100

Staff Age Analysis - 2019

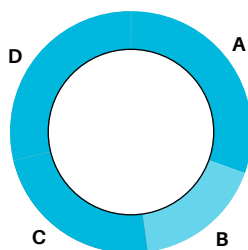


Years	%
A 18 - 25	6.52
B 25 - 30	13.66
C 30 - 40	47.53
D 40 - 50	24.22
E Above 50	8.07

Service Analysis of Staff - 2019

Years	Senior Management	Middle Management	Executives	Non-Executives	2019 Total
2 and below	4	33	53	0	90
3 - 5	4	19	27	1	51
6 - 10	1	27	40	1	69
Above 10	6	47	27	5	85
Grand Total	15	126	147	7	295

Service Analysis of Staff - 2019



	%
A 2 years and below	31
B 3 - 5 years	17
C 6 - 10 years	23
D Above 10 years	29

Category	2019	2018
Staff Strength		
Senior Management	15	16
Middle Management	126	141
Executives	147	145
Non-Executives	7	11
Grand Total	295	313
Labour Turnover		
Number of Staff Resigned/Terminated	51	56
Average Number of Staff During the Period	311	314
Labour Turnover (%)	16.40	17.83

Benefits Philosophy

It is ATL's philosophy to provide competitive benefits to its employees. The organisation is committed to monitor its benefit offerings, in ensuring it meets the needs of its employees and their families.

• Personal Accident, Surgical & Hospitalisation Insurance

Designed for employees to manage medical expenses due to unexpected accidents or hospitalisations, ATL provides coverage for employees through the Group Life, Surgical/ Hospitalisation, OPD and Child Birth Insurance Cover.

• OPD Treatment Reimbursement

ATL reimburses medical expenses incurred for any OPD related expenses up to the employee's annual entitlement limit. This includes specialist consultations, drugs & laboratory investigations etc.

• Employees Provident Fund and Employees Trust Fund Scheme

As per the rules stipulated by the Employee Provident Fund and Employees Trust Fund Act, ATL contributes 12% of Basic Salary towards the Employee Provident Fund and 3% towards Employee Trust Fund scheme.

• Employees Gratuity Scheme

Full-time employees who have completed a minimum of 5 years continuous service or more are eligible for gratuity as per the Payment of Gratuity Act No.12 of 1983.

• Annual Awards Day

In rewarding and recognising the performance and achievements of staff, ATL held its annual awards night at the Golden

Rose. More than 550 participants witnessed the glitzy event unfold with many top performers walking away with accolades and prizes that included foreign tours, cash prizes, medals and trophies.



Being a much-anticipated event in the company's annual calendar, ATL's "Annual Awards Night" also proves to be a vital motivational and engagement tool in recognising employees in the presence of board members, senior management and staff of ATL.



Key awards:

CEO's Award - Essentially recognises the contribution of operations staff who go beyond the call of duty.

Ten-Years' Service Award - Staff completing 10-years of service in the Company are recognised for their dedicated service to ATL.

Champion of Champions - Prestigious award for Outstanding Sales Person of the year for overall best performances.

• **Amāna Takaful Welfare Association - ATWA**

Individuals joining ATL are automatically enrolled as members of ATWA. ATWA was founded in 2002 and is run by a committee of staff members, supported by ATL Management.

ATWA forms an integral part of our company and ensures that staff are engaged in different activities and events organised throughout the year, in a spirit of engagement and bonhomie.

ATWA's mandate covers staff welfare, sports and social events.

• **Open Door Policy**

We foster an Open-Door Policy in promoting transparent and open communication. Staff are encouraged to engage their line managers/ superiors, HR department or any member of the senior management or executive staff regarding any work-related concern. It is our goal to resolve such issues in an amicable method through such open discussions.

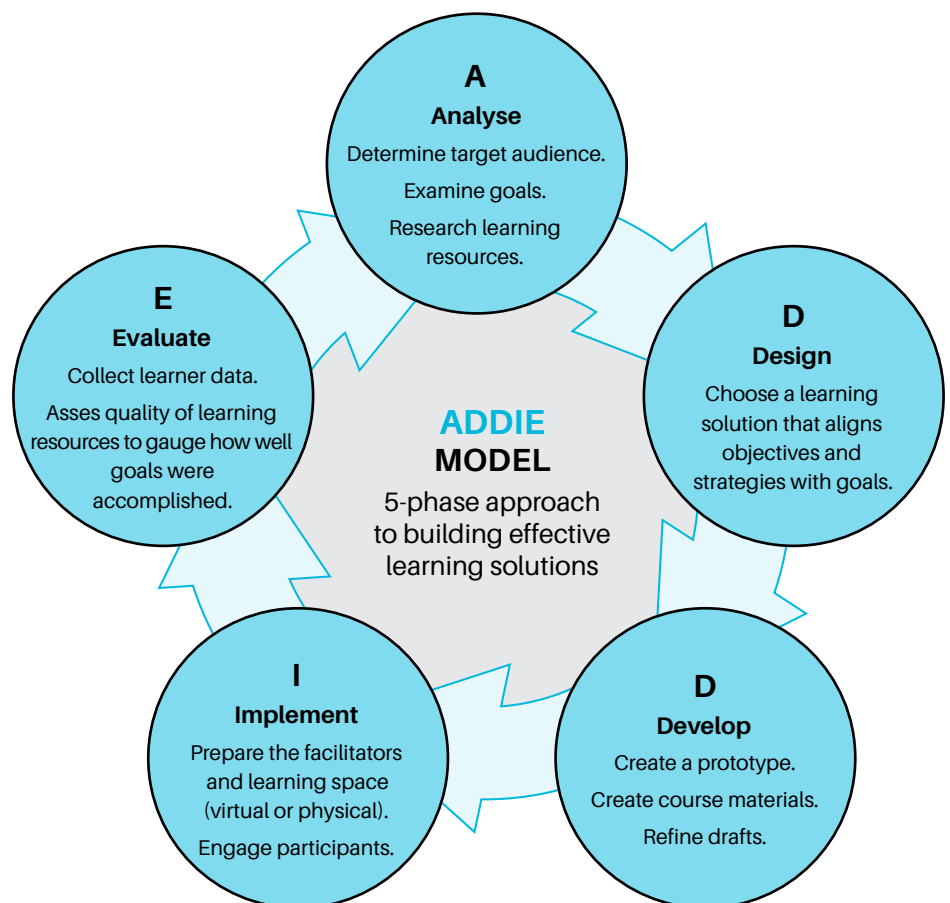
We invite and encourage a free and continuous exchange of information and welcome employee's suggestions and ideas. These meetings are typically informal and an open dialogue is encouraged.

The **Internal Communications Unit** (ICU) too serves as a robust interface in communicating relevant information to staff on important events, monthly Team Briefs - sharing the performance of the company and staff achievements in a timely manner.

Learning and Development

The organisation's learning and development initiatives play a pivotal role in employee motivation, engagement and retention. Our aim is to foster a culture of learning, thereby enabling our employees to grow and succeed not only in their careers but also be value adding citizens. We ensure that employees are exposed to relevant training and development programs stemming from the Training Needs Analysis (TNA). This ensures their knowledge, skills and attitudes are sharpened and relevant to perform effectively in their current roles whilst preparing them to take on greater responsibility in the future where applicable.

Learning and Development Model:



Our unique training programs are crafted and designed to enhance the capability and capacity of our employees. Where required, external intervention is sought from reputed trainers to inculcate best Management practices in upskilling staff. An in-house panel of trainers is being developed in further building our own timber and talent pool.

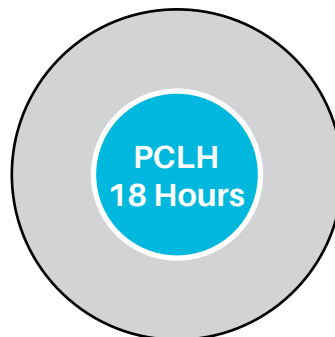
Management Development Program (MDP)

In 2019, ATL introduced a tailor-made Management Development Program, focusing on developing leadership skills among key branch distribution staff. The program was designed and conceptualised in-house with particular emphasis on organisational change, leadership and team building initiatives.

Training Summary for the Financial Year 2019

No.	Programme
1.	6th Capital Markets Conference in Sri Lanka
2.	Advance Excel Workshop
3.	Anti-Money Laundering 5th Annual Summit (Sri Lanka) 2019
4.	Communication Skills
5.	Customer Complaint Handling
6.	Customer Service Skills
7.	Leadership Skills
8.	Time Management Skills
9.	Presentation Skills
10.	Fire Risk on High Rise Building
11.	Management Development Programme
12.	Negotiation Skills
13.	Non-Motor Technical Skills
14.	How to deal with angry customers

Per Capita Learning Hours for the Year 2019



Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly entrenched in the business world. In any company, where

the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

Capital Structure and Shareholding

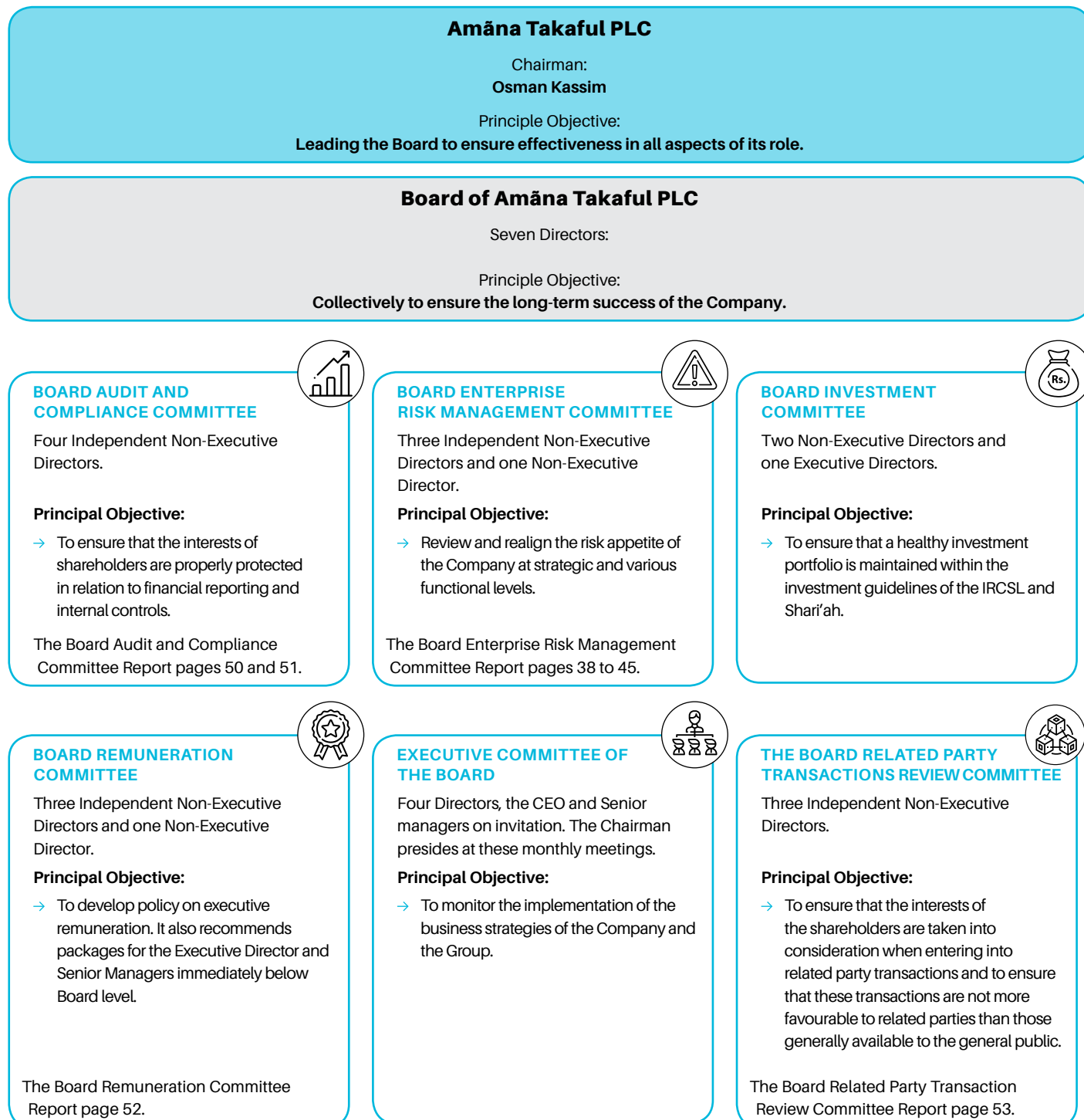
Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/-. The Company has 5,748 shareholders, while the majority shares are held by individuals. Details of the main shareholders are given on page 141.

Board of Directors and Board Committees

There are 7 Directors on the Board of Amāna Takaful PLC, of whom six Directors hold office in non-executive capacity and one Director in Executive Capacity as at the reporting period. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 47.

Corporate Governance Framework

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report:



Board Composition

The Board currently comprises 7 Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 12 to 15.

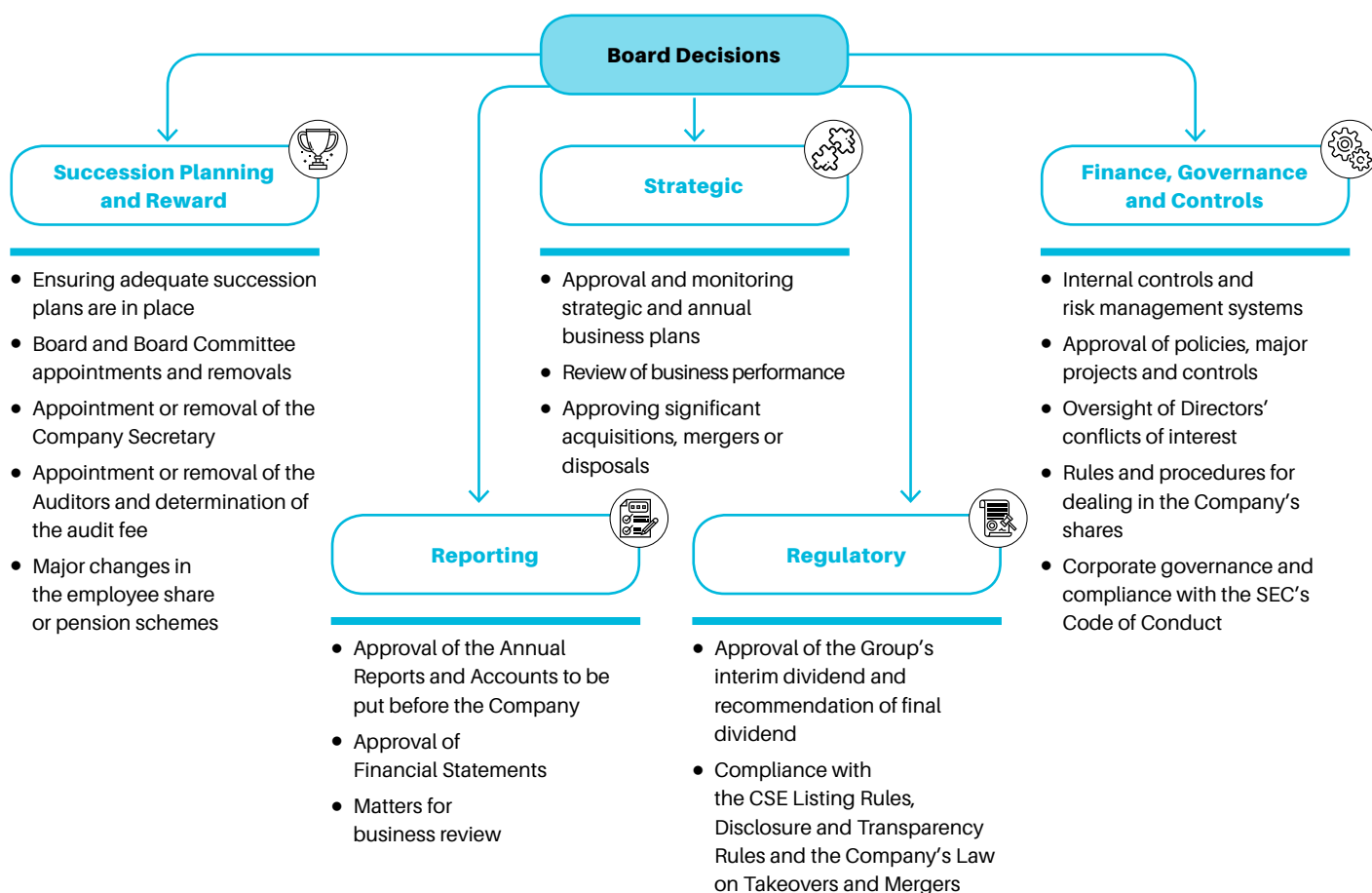
The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 38 to 45. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:



The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and develop and maintain effective communications with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between Senior Management and Executive/Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the

Board and committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance; viz-

- Audit and Compliance Committee
- Risk Management Committee
- Investment Committee
- Remuneration Committee
- Related Party Transactions Review Committee
- Executive Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

(i) The Board Audit and Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors and one Independent non-executive director was appointed as executive director w.e.f. 2 March 2020. One independent non-executive director (retired w.e.f. 30 November 2019). This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 50 and 51.

(ii) The Board Risk Management Committee

The Risk Management Committee of the Board comprises four Non-Executive Directors, of which, three are Independent Directors. One independent non-executive director retired w.e.f. 30 November 2019. This Committee is chaired by Dato' Mohd Fadzli Yusof, who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2019 are provided on pages 38 to 45.

(iii) The Board Investment Committee

The Investment Committee comprises Osman Kassim, M R M Nayeem and M H S Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

(iv) The Board Remuneration Committee

The Remuneration Committee comprise four Non-Executive Directors of the Board, of which, three are Independent Directors. One independent non-executive director retired w.e.f. 30 November 2019. Details of remuneration paid to Directors are set out in Note 32 to the Financial Statements on page 112.

The Report of the Remuneration Committee is provided on page 52.

(v) The Board Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by M R M Nayeem (Acting Chairman), who is an Independent Non-Executive Director of the Company, consequent to the resignation of A S M Muzzammil w.e.f. 30 November 2019.

The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 53.

(vi) The Executive Committee of the Board

The Executive Committee or EXCOM is composed of four members of the Board and is chaired by the Chairman of the Company. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- (i) Osman Kassim – Chairman
- (ii) Tyeab Akbarally
(Resigned w.e.f. 15 July 2019)
- (iii) M H M Rafiq
- (iv) M R M Nayeem
- (v) M H S Kassim

Ethical Standards

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;

- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the Monthly Team Briefs.

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC), which includes the CEO of the Family Takaful business, General Manager – Operations, Head of Finance, Head of Human Resource and the Head of Information Technology and the Head of Compliance and Corporate Risk. Each of them, who head Strategic Business Units, drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

The Business Operations Management (BOM) takes responsibility for operationalising the plan on a day-to-day basis and implementing the decisions of the GMC. These include a track on competitor activity, steering projects and building cross-functional bonds across different departments and taking ownership for the technical aspects. It is also a forum to build leadership and talent in support of the succession plan.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control

system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with “Shari’ah” Requirements

Amāna Takaful PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular the

operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 54.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Briefs, at which, employees are briefed of the policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company’s activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) requirements pertaining to Amāna Takaful Life PLC have been met. ATPLC has a marginal deficiency in Total available capital as at 31 December 2019, while the Capital Adequacy Ratio (CAR) stood at 199%, above the Regulatory minimum of 120%.

Corporate Governance Disclosures Under Colombo Stock Exchange (CSE) Rules in Relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Directors M Hassan Sattar Kassim – Managing Director (Appointed w.e.f. 2 March 2020) Non-Executive Directors Osman Kassim – Chairman Tyeab Akbarally (Resigned w.e.f. 15 July 2019) M H M Rafiq Dato’ Mohd Fadzli Yusof Dr. A A M Haroon A S M Muzzammil (Resigned w.e.f. 30 November 2019) R Gopinath (Resigned w.e.f. 1 December 2019) M R M Nayeem S Rizwan Hussain (Appointed w.e.f. 3 May 2019)	All members of the Board except one member serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7. 10. 1.

Areas of Compliance	Current Status	Remarks
	Independent Directors M H M Rafiq Dato' Mohd Fadzli Yusof S Rizwan Hussain M R M Nayeem	All Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company. The Board comprises of four Independent Directors out of six Non-Executive Directors, by the end of 2019. Dato' Mohd Fadzli Yusof and M H M Rafiq do not technically qualify as independent by not meeting Rule 7. 10. 4 (e) of the CSE Listing Rules (more than 9 years). However, as per Rule 7.10.3 (b) the Board after much discussions, were of the view that they are nevertheless independent. Set out below are the criteria to consider them as Independent Directors: (a) They do not provide any services to the Company in a capacity other than Director. (b) They have not received financial assistance from the Company. (c) They do not have any apparent conflict of interest in the Company, which would impair their independent judgement as Directors. The Board was also of the view that, taking into account the contribution made by these Directors to the affairs of the Company, their integrity and stature were not in question. The Company has complied with the CSE Listing Rules 7. 10. 2
Remuneration Committee	Dato' Mohd Fadzli Yusof – Chairman M H M Rafiq Dr. A A M Haroon A S M Muzzammil (Resigned w.e.f. 30 November 2019)	This Committee comprised of three Non-Executive Directors as at reporting date, of whom, two are Independent. The Company has complied with the CSE Listing Rules 7. 10. 5
Audit and Compliance Committee	Dato' Mohd Fadzli Yusof – Chairman M H M Rafiq A S M Muzzammil (Resigned w.e.f. 30 November 2019) M H S Kassim	This Committee comprised of three Independent Non-Executive directors of whom one director resigned w.e.f.30 November 2019. Mr. M H S Kassim, non-executive director was appointed as the Managing director w.e.f. 2 March 2020. The Company has complied with the CSE Listing Rules 7. 10. 6
Related Party Transactions Review Committee	A S M Muzzammil – Chairman (Resigned w.e.f. 30 November 2019) M R M Nayeem M H M Rafiq	This Committee comprised of three Independent Non-Executive Directors of whom one director resigned w.e.f. 30 November 2019, The Company has complied with the CSE Listing Rules 9. 2. 2

Compliance with IRCSL Direction # 17 on Corporate Governance

The company has ensured compliance with the above guidelines except for the limitation on period of service of directors for 9 years and the age limit. As of the reporting date 4 directors have service period in excess of 9 years, which also includes 2 directors who are in the age category of 71 to 75 years. The company has initiated actions to comply with the requirements within the grace period of 30 June 2021 stipulated in these Rules.

Directors' Attendance at the Meetings

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
Osman Kassim - Chairman	4	4						
Tyeab Akbarally (Resigned w.e.f. 15 July 2019)	2	1						
M H M Rafiq	4	4	4	4	2	2	4	4
Dato' Mohd Fadzli Yusof	4	2	4	3	2	2		
Dr. Aboobacker Admani Mohamed Haroon	4	3			2	2		
Aboo Sally Mohamed Muzzammil (Resigned w.e.f. 30 November 2019)	4	4	4	4	2	2	4	4
Radhakrishnan Gopinath (Resigned w.e.f. 1 December 2019)	4	4						
M R M Nayeem	4	4					4	4
M Hassan Sattar Kassim	4	4	4	3				
Syed Rizwan Hussain (Appointed w.e.f. 3 May 2019)	2	2						

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2019.

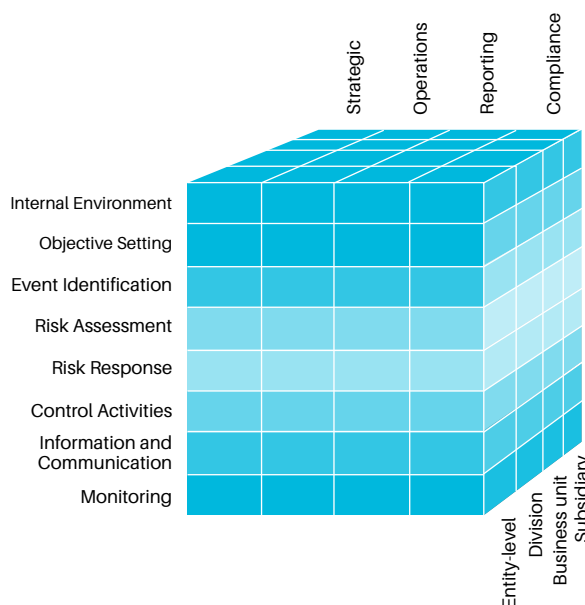
What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy

to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.

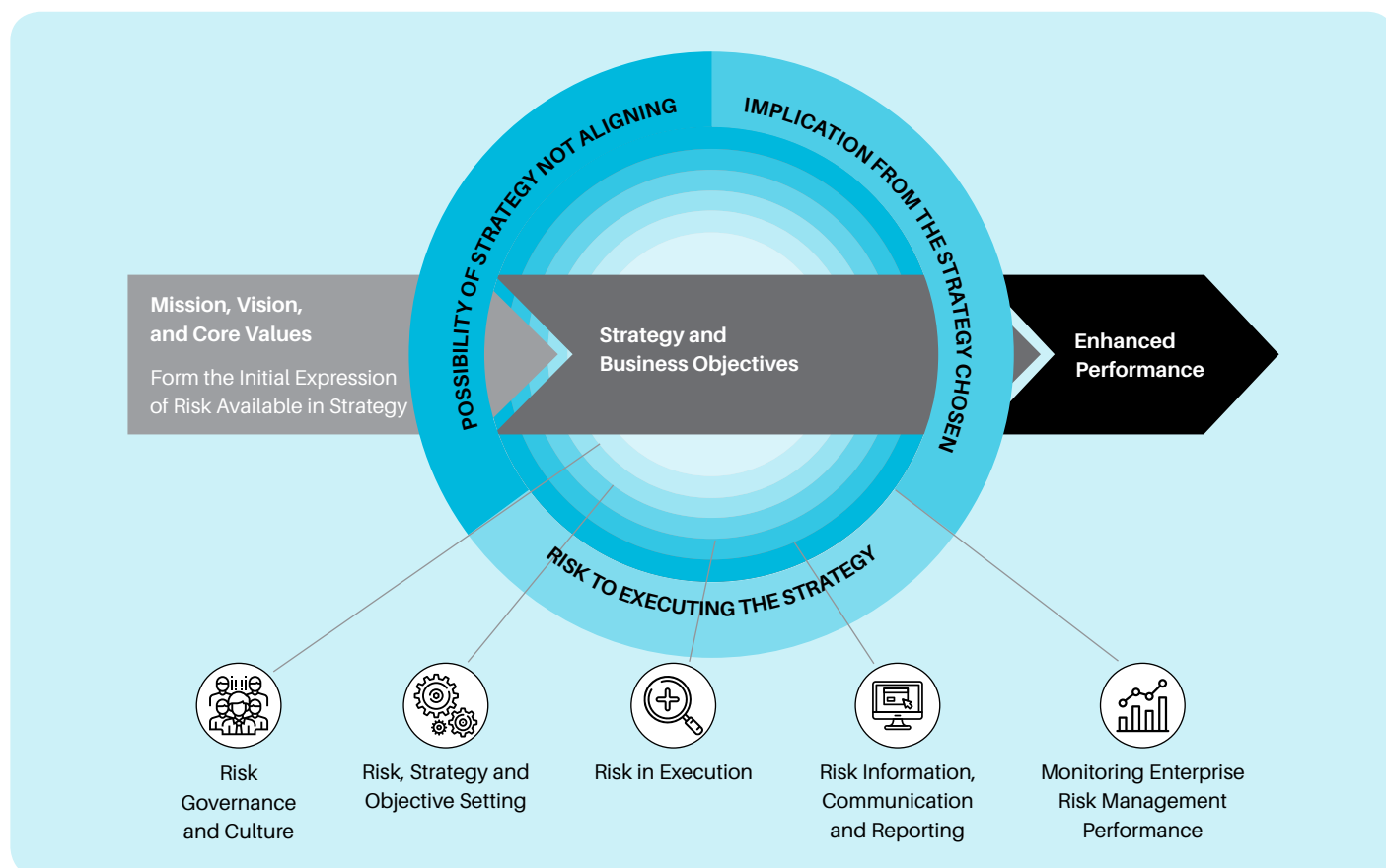
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.

- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company's overall direction and performance.



Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi directional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation’s overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRC SL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

Strategic and Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term

success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation.

Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board.
	A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee.
	All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members.
	A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings.
	A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme. Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRCSL Investment Guidelines. Close monitoring by the Board Investment Committee.

ATPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M
		L - Low M - Medium H - High VH - Very High				

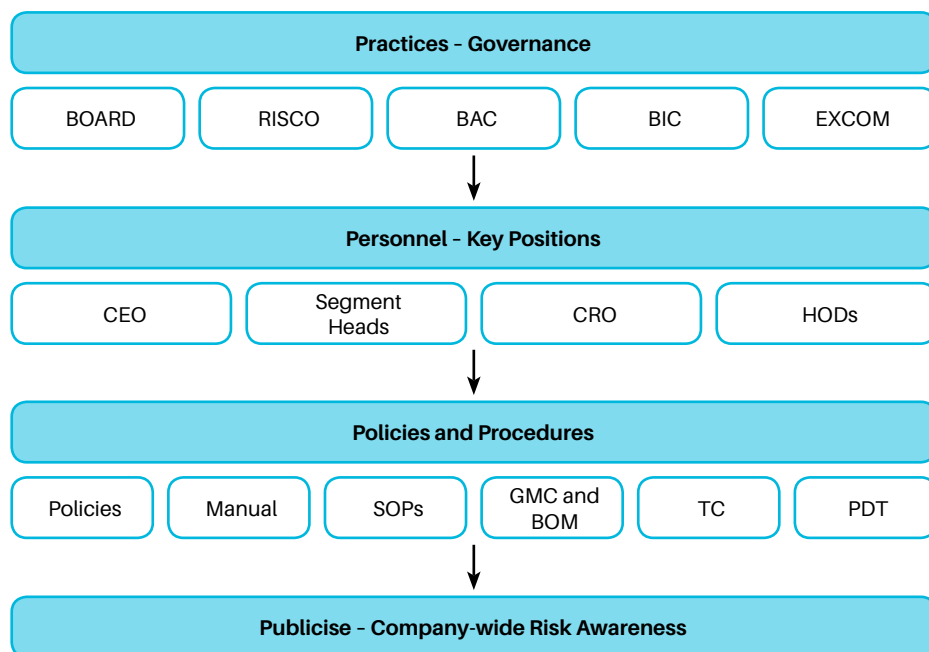
Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ATPLC Enterprise Risk Management Framework

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	- The Board of Directors	HODs	- Heads of Departments
RISCO	- Board Risk Committee	SOPs	- Standard Operating Procedures
BAC	- Board Audit Committee	GMC	- General Management Committee
BIC	- Board Investment Committee	BOM	- Business Operations Management
EXCOM	- Executive Committee	TC	- Technical Committee
CEO	- Chief Executive Officer	PDT	- Product Development Team
CRO	- Chief Risk Officer		

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

First Line of Defence

Publicise - Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

Second Line of Defence

Policies and Procedures - Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

Third Line of Defence

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Risk Management Process

- In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	• Average Rates by Subclasses • Claims Ratios by Sales Teams and Subclasses • Product Profitability • RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	• Overall Target Achievements at Firm Level and Departmental Level • Variance Analysis • Market Positioning • Client Satisfaction Index
Market Risk	• Interest Rate Movement • Bullion Market Movement • Equity Market Movement • Economic Indicators • Changes in Tax Regulations • Changes in Government Policies
Operational Risk	• Staff Turnover Ratio • Staff Satisfaction Index • Internal/External Audit Findings • Deviations from ISO Standards on Safety Measures • Current and Liquidity Ratios • Implementation of Industry Best Practises
Credit Risk	• Debtors Turnover Ratio (Days)
Compliance Risk	• Queries Raised by Regulator/Ombudsman • Pending Legal Matters • Unresolved Audit Queries • Items in the Management Letter • Investment Portfolio Mix

Key Areas Reviewed by the Board Risk Committee during 2019

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Deferred Tax Asset
- Review of large claims

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	3 out of 4
M H M Rafiq Independent Non-Executive Director	4 out of 4
Dr. A A M Haroon Non-Executive Director	3 out of 4
A S M Muzzammil Independent Non-Executive Director (Resigned w.e.f. 30 November 2019)	4 out of 4

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, General Manager Operations and Medical Takaful, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31 December 2019, to be presented at the 21st Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 6 to 8 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Management Discussion and Analysis on pages 20 to 22 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amāna Takaful Life PLC, a subsidiary of Amāna Takaful PLC.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, are given on pages 62 to 127 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 59 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 73 to 85.

Financial Results and Appropriations

The Loss After Taxation of the Company for the year was Rs. 381.5 Mn (2018 – Profit Rs. 23.7 Mn) and the Loss After Taxation of the Group for the year was Rs. 277.2 Mn (2018 – Profit Rs. 104.2 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs. 2.2 Bn in 2019. (2018 – Rs. 2.2 Bn).

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 23.7 Mn (2018 – Rs. 36.4 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 9 to the Financial Statements.

Reserves

Accumulated Loss as at 31 December 2019 for the Company and Group amounted to Rs. 431.7 Mn (2018 – Loss Rs. 52.5 Mn) and loss of Rs. 637.9 Mn (2018 – Loss Rs. 377.7 Mn), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31 December 2019 was Rs. 1,860,001,339/- represented by 180,000,130 ordinary shares. The details of the stated capital are given in Note 14 to the Financial Statements on page 100.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31 December 2019 other than those reported in Note 38.2 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 56 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 30 to 37 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- (a) Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 36 in the related party disclosures to the Financial Statements.
- (b) Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 48.

Board Committees

Audit and Compliance Committee

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

- (1) Dato' Mohd Fadzli Yusof – Chairman
- (2) M H M Rafiq
- (3) M H S Kassim
- (4) A S M Muzzammil
(Retired w.e.f. 30 November 2019)

The Report of the Audit Compliance Committee on pages 50 and 51 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

Following are the names of the Directors comprising the Remuneration Committee of the Board:

- (1) Dato' Mohd Fadzli Yusof – Chairman
- (2) M H M Rafiq
- (3) Dr. A A M Haroon
- (4) S M Muzzammil
(Retired w.e.f. 30 November 2019)

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 52 in accordance with the requirements of the Rule 7.10.5 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 32 to the Financial Statements.

Related Party Transaction Review Committee

Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board in accordance with the requirements of the Rule 9.2 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

- (1) A S M Muzzammil – Chairman
(Retired w.e.f. 30 November 2019)
- (2) M H M Rafiq
- (3) M R M Nayeem

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 53.

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 141 and 142.

The earnings per share, dividends per share, net assets per share are given on page 142.

Directors

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Tyeab Akbarally	7 December 1998	15 July 2019
Osman Kassim	7 December 1998	–
M H M Rafiq	7 December 1998	–
Dato' Mohd Fadzli Yusuf	10 February 1999	–
Dr. A A M Haroon	21 September 2000	–
A S M Muzzammil	29 April 2010	30 November 2019
R Gopinath	6 June 2012	1 December 2019
M R M Nayeem	7 March 2016	–
M Hassan Sattar Kassim	7 March 2016	–
S R Hussain	3 May 2019	–

A brief profile of the Directors are given on pages 12 and 15 of this Annual Report.

During the year under review the Board met on four occasions. The attendance at these meetings is mentioned on page 37.

In terms of Section 82 of the Articles of Association of the Company, M Hassan Sattar Kassim and M R M Nayeem retire by rotation and being eligible have offered themselves for re-election.

In terms of Section 89 of the Articles of Association of the Company, Syed Rizwan Hussain has been appointed as a Director subsequent to the last Annual General Meeting and being eligible have offered himself for re-election.

In terms of section 210 of the Companies Act no 7 of 2007, Mr. M H M Rafiq who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.

In terms of section 210 of the Companies Act no 7 of 2007, Dato' Mohd Fadzli Yusof who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31 December 2019 were as follows:

As at 31 December	Number of Ordinary Shares	
	2019	2018
Tyeab Akbarally (Resigned w.e.f. 15 July 2019)	14	14
Osman Kassim & K Kassim	33,300,024	33,300,024
Dato' Mohd Fadzli Yusof	Nil	Nil
Dr. A A M Haroon	4	4
M H M Rafiq	2	2
A S M Muzzammil (Resigned w.e.f. 30 November 2019)	Nil	Nil
R Gopinath (Resigned w.e.f. 1 December 2019)	Nil	Nil
M R M Nayeem	Nil	Nil
M Hassan Sattar Kassim	Nil	Nil
Syed Rizwan Hussain (Appointed w.e.f. 3 May 2019)	Nil	Nil

CEO' Shareholdings

As at 31 December	Number of Ordinary Shares	
	2019	2018
Fazal Ghaffoor - CEO (Retired w.e.f. 31 December 2019)	Nil	Nil
Zaid Ibnu Aboobucker - Interim Acting CEO (Appointed w.e.f. 1 January 2020)	Nil	Nil

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 36.

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 - "Related Party Disclosures", in Note 36 to the Financial Statements.

In terms of section 9.3.2 (d) of the listing rules the Board confirms that the company has complied with all requirements pertaining to Related Party Transaction.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

Further details are provided in Note 2.7 of the Notes to Financial Statements.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 32 on page 112 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

The Annual General Meeting will be held on 14 July 2020 at 10.00 a.m. at the Board Room of Amāna Takaful PLC, No. 660 – 1/1, Galle Road, Colombo 03. The Notice of the Annual General Meeting on a virtual platform appears on page 148 of this Annual Report.

For and on behalf of the Board,



Osman Kassim
Chairman



Managers & Secretaries (Pvt) Ltd.
Secretaries
Amāna Takaful PLC
26 May 2020
Colombo

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	3 out of 4
M H M Rafiq Independent Non-Executive Director	4 out of 4
Aboo Sally Mohamed Muzzammil Independent Non-Executive Director (resigned w.e.f. 30 November 2019)	4 out of 4
M Hassan Sattar Kassim Independent Non-Executive Director (Appointed as Managing Director w.e.f. 2 March 2020)	3 out of 4

The Chief Executive Officer, General Manager Operations and Medical Takaful as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties and Responsibilities

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

- (1) Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
- (2) Assessment of the independence and performance of the Company's External Auditors.
- (3) Review the Management Letter of the External Auditors and follow-up on its recommendations.
- (4) Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
- (5) Review the effectiveness of internal controls and risk management processes.
- (6) Ensure compliance with Regulatory Affairs and Corporate Governance.

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and the External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof
Chairman -
Board Audit and Compliance Committee
26 May 2020
Colombo

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

The Committee Comprised of four (4) Non-Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	2 out of 2
M H M Rafiq Independent Non-Executive Director	2 out of 2
Dr. A A M Haroon – Non-Executive Director	2 out of 2
A S M Muzzammil Independent Non-Executive Director (Retired w.e.f. 30 November 2019)	2 out of 2
Farhan Jabir –Secretary	2 out of 2



Dato' Mohd Fadzli Yusof
Chairman – Remuneration Committee

26 May 2020
Colombo

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	Number of Meetings Attended
A S M Muzzammil Chairman/Independent Non-Executive Director (Retired w.e.f. 30 November 2019)	4 out of 4
M H M Rafiq Independent Non-Executive Director	4 out of 4
M R M Nayeem Independent Non-Executive Director	4 out of 4

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Head of Compliance, A H M Dilshad served as the Secretary to the Committee.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2019 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 36 to the Financial Statements on pages 116 to 117 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Head of Compliance is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



M R M Nayeem
Acting Chairman -
Related Party Transactions Review Committee
26 May 2020
Colombo



بسم الله الرحمن الرحيم

Shari'ah Audit Report to the Shareholders of Amāna Takaful PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful PLC (the "Company") for the year ending 31 December 2019. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2019, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe
Chairman - Shari'ah Advisory Council

Mufti Shafique A Jakhura
Member - Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar
Secretary - Shari'ah Advisory Council

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This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2019 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/ LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Osman Kassim
Chairman
26 May 2020
Colombo,
Sri Lanka

To the Shareholders of Amāna Takaful
Life PLC

**Actuarial valuation of the long
term insurance business as at 31
December 2019**

We have carried out an actuarial valuation
of the Long Term Insurance Business as at
31 December 2019. We hereby certify that,
in our opinion,

- (1) Proper records have been kept by the
Company, which are appropriate for the
purpose of the actuarial valuation of the
liabilities of the Long Term Insurance
Fund;
- (2) Adequate and proper reserves have been
provided as at 31 December 2019, for
insurance related risk liabilities in respect
of the Long Term Insurance Fund, taking
into account all current and contingent
liabilities as at that date.



Zainal Abidin Mohd. Kassim
Fellow of the Institute of Actuaries

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50250 Kuala Lumpur
Malaysia.

Tel.: 603 2161 0433
Fax: 603 2161 3595

Kuala Lumpur
13 March 2020



3 March 2020

**Amāna Takaful PLC 31 December
2019 Net IBNR and LAT
Certification**

I hereby certify that the undiscounted Central Estimate of IBNR provision of LKR 58,538,699 inclusive of claim handling expenses is adequate in relation to the Claim Liability of Amāna Takaful PLC as at 31 December 2019, Net of Retakaful. This IBNR provision, together with the Case Reserves held by the Operator, is expected to be adequate at a 50th percentile to meet the future liabilities in respect of the Operator's reported claims obligations as at 31 December 2019, in many, but not all, scenarios of future experience.

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). The total UCR provision of LKR 491,900,629 set by the Operator, Net of Retakaful is lower than the estimated undiscounted Central Estimate Unexpired Risk Reserve of LKR 501,171,635. This implies the carrying amount of UCR is inadequate at a 50th percentile in relation to the unexpired risks of Amāna Takaful PLC as at 31 December 2019, in many, but not all, scenarios of future experience. As such, the Operator is required to hold a contribution deficiency reserve of LKR 9,271,006.

The results have been determined in accordance with internationally accepted actuarial principles.

I relied upon information and data provided by the management of the above operator and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

A handwritten signature in black ink, appearing to read 'Sivaraman Kumar'.

Sivaraman Kumar
Fellow of the Institute and Faculty of Actuaries
For and on behalf of NMG Consulting
3 March 2020

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APAG/HLKC/MHM

Independent Auditor's Report to the Shareholders Of Amāna Takaful PLC
Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amana Takaful PLC ("the Company"), and the consolidated financial statements of the company and its subsidiary ("Group"), which comprise the statement of financial position as at 31 December 2019, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards ("SLAuSs"). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka ("Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited



Key audit matter	How our audit addressed the key audit matter
Valuation of Insurance Contract Liabilities The group has significant Non-Life Insurance contract liabilities of Rs. 1,070,777,688, Family Takaful Fund Insurance contract Liabilities of Rs. 471,280,391 and Unit Linked Insurance contract liabilities of Rs. 1,747,559,594 which represents 68% of Group's total liabilities. The valuation of the life insurance contract liabilities required the application of significant assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus and expenses require the use of significant judgements and estimates. Non-Life insurance contract liabilities represent the claims liability including claims incurred but not yet reported (IBNR) and premium liability. The valuation of the general insurance contract liabilities required the application of significant assumptions such as previous claims experience, existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses. Given the magnitude and subjectivity of the assumptions involved in the valuation of life and general insurance contract liabilities, we considered this to be a Key Audit Matter.	To assess the reasonableness of the life insurance contract liabilities, our audit procedures (among others) included following; • We tested the key controls over the process of recognition, measurement and submission of data for estimating the life insurance contract liabilities. • We engaged specialized resources to assess the reasonableness of the assumptions used in the valuations of the life and general insurance contract liabilities with reference to the industry data, and considering the both historical experience and business expectation of the Group. • We also assessed the adequacy of the related disclosures in Notes 17 and 18 to the financial statements.
Valuation of Investment Properties The Group carried Investment properties amounting to Rs. 194,000,000 which are stated at fair value as at the reporting date. Fair value was determined by an external valuers engaged by the Company. The valuation is subjective to the significant judgment and estimates used by the valuers, which are disclosed in note 07 to the Financial Statements. Due to the significance of estimates and judgements associated with the valuation, this was considered a key audit matter.	Our audit procedures focused on the valuation performed by the external valuers, which included the following amongst others. • We evaluated the competence, capabilities and objectivity of the external valuers appointed by the management. • We engaged internal specialized resources to assist us in evaluating the appropriateness of the valuation method and range of prices used for the valuation of Land and Buildings. • We also assessed the adequacy of the related disclosures in note 7 to the financial statements.
Other information included in the 2019 Annual Report Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. Our opinion on the financial statements does not cover other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether other information is materially	inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard. Responsibilities of management and those charged with governance for the financial statements Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.



Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or

conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in

extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

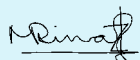
As further discussed in Note 2.7.1 to the financial statements, the Company had not met the Solvency Margin (Risk Based Capital Rules) as at the year end 31 December 2019, according to the Regulation of Insurance Industry Act No 43 of 2000 and amendments thereto ("Act"), issued by the Insurance Regulatory Commission of Sri Lanka ("IRCSL"). The declarations submitted to the IRCSL by the management after the year end reflect that this position has been rectified subsequently.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.

26 May 2020
Colombo

As at 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Assets					
Intangible Assets	5	114,454,505	86,942,914	29,718,037	31,025,948
Property, Plant and Equipment	6	86,385,886	96,024,241	48,374,578	63,757,277
Right of use assets	23	255,334,446	-	13,818,976	-
Deferred Tax Assets	34.2	5,984,713	103,483,264	-	96,792,137
Investment Property	7	194,000,000	220,429,000	46,500,000	75,500,000
Investments in Subsidiaries	8	-	-	1,052,867,811	1,052,867,811
Financial Assets	9	2,831,688,054	2,835,180,727	839,380,544	837,492,607
Retakaful (Reinsurance) Receivables		330,635,917	437,579,148	190,265,962	410,365,133
Contribution (Premium) Receivables	10	589,940,459	711,244,729	395,623,737	529,532,922
Other Assets	11	210,590,698	252,737,848	93,063,324	135,396,673
Financial Assets - Unit Linked	12	1,716,210,033	1,621,208,465	-	-
Cash and Bank Balances	13	260,272,858	217,105,631	167,389,849	94,692,309
Cash and Bank Balances - Unit Linked	13	38,197,730	8,155,160	-	-
Total Assets		6,633,695,302	6,590,091,127	2,877,002,808	3,327,422,816
Liabilities					
Insurance Contract Liabilities - Non Life	17	1,070,777,688	1,394,786,725	704,792,638	972,644,129
Insurance Contract Liabilities - Family Takaful Fund	18.1	471,280,391	534,967,470	-	-
Insurance Contract Liabilities - Unit Linked	18.2	1,747,559,594	1,660,124,030	-	-
Employee Benefits	19	82,572,410	66,878,749	38,851,542	35,028,091
Other Liabilities - Unit Linked	20	50,986,682	51,285,609	-	-
Other Liabilities	21	831,819,801	653,704,232	174,652,121	183,116,946
Subordinated Debt	22	226,250,333	46,599,805	272,402,200	97,024,473
Lease Liability	23.1	113,097,657	3,849,823	14,053,815	-
Short Term Borrowings	24	157,857,492	200,777,276	157,857,492	200,777,276
Bank Overdrafts	13	56,123,560	-	56,123,560	-
Total Liabilities		4,808,325,606	4,612,973,719	1,418,733,368	1,488,590,915
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves	15	141,525,164	140,955,732	30,029,658	31,400,577
Revenue Reserves	16	(637,893,262)	(377,685,807)	(431,761,555)	(52,570,012)
		1,363,633,241	1,623,271,187	1,458,269,442	1,838,831,904
Non-Controlling Interest		461,736,457	353,846,144	-	-
Total Equity		1,825,369,698	1,977,117,331	1,458,269,442	1,838,831,904
Total Equity and Liabilities		6,633,695,302	6,590,091,127	2,877,002,808	3,327,422,816

These Financial Statements are in compliance with the requirements of the Companies Act, No. 07 of 2007.



M Rinaz Niyas
Head of Finance



Zaid Ibnu Aboobucker
Interim Acting CEO

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by,



Osman Kassim
Chairman



M H M Rafiq
Director

The notes on pages 73 to 138 are an integral part of these consolidated financial statements.
26 May 2020
Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Gross Written Contribution (Premium)	25	4,275,775,664	4,213,899,613	1,832,052,947	2,002,389,304
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(1,156,962,914)	(832,979,375)	(482,358,879)	(388,004,377)
Net Written Contribution (Premium)		3,118,812,750	3,380,920,237	1,349,694,068	1,614,384,927
Net Change in Reserve for:					
Unearned Contribution (Premium)		173,788,550	(156,111,084)	127,361,817	(73,200,586)
Net Earned Contribution (Premium)		3,292,601,300	3,224,809,153	1,477,055,884	1,541,184,341
Other Revenue					
Income from Investments	26	378,931,821	303,649,871	92,868,259	112,132,924
Fair value gain from investment transferred		-	-	-	54,545,459
Gain/(loss) on Available-for-sale Financial Instruments		-	39,439,117	-	-
Other income	27	200,418,925	174,323,114	59,566,374	61,493,570
Total Revenue	28	3,871,952,047	3,742,221,255	1,629,490,517	1,769,356,293
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	29	(2,244,905,116)	(1,930,905,608)	(1,055,106,947)	(875,877,178)
Acquisition Cost (Net of Reinsurance Commission)		(258,813,573)	(260,412,793)	(106,451,597)	(108,321,161)
Change in Family Takaful Contract Liability		(27,283,776)	36,961,441	-	-
Other Operating and Administration Expenses	30	(1,451,741,952)	(1,413,017,528)	(717,494,894)	(724,833,608)
Amortisation	31	(8,212,337)	(6,524,847)	(2,142,711)	(1,967,678)
Total Claims, Benefits and Expenses		(3,990,956,754)	(3,573,899,335)	(1,881,196,148)	(1,710,999,624)
Profit/(Loss) from Operations	32	(119,004,707)	168,321,919	(251,705,631)	58,356,669
Finance Cost	33	(32,814,219)	(35,118,177)	(32,992,874)	(34,371,140)
Profit/(Loss) Before Taxation		(151,818,926)	133,203,743	(284,698,505)	23,985,529
Income Tax	34	(125,351,194)	(29,011,797)	(96,792,137)	(244,089)
Profit/(Loss) for the Year		(277,170,120)	104,191,945	(381,490,642)	23,741,440
Profit Attributable to:					
Equity Holders of the Parent		(337,009,988)	59,986,522	(381,490,642)	23,741,440
Non-Controlling Interest		59,839,869	44,205,423	-	-
		(277,170,120)	104,191,945	(381,490,642)	23,741,440
Earnings Per Share					
Basic, Diluted Earnings Per Share	35	(1.87)	0.33	(2.12)	0.13
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Plan Actuarial Losses	19	(1,105,660)	(2,127,800)	928,180	(2,066,736)
Net Change from revaluation of Property plant and equipment		-	3,494,085	-	1,068,900
		(1,105,660)	1,366,285	928,180	(997,836)
Items that are or may be Reclassified to Profit or Loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		133,598,072	2,111,188	-	-
Net Change in Fair Value of Available-for-sale Financial Assets - Transfer (to)/from Policyholders Reserve		3,278,674	2,550,539	-	-
Foreign Currency Translation Differences for Foreign Operations		3,527,910	98,856,817	-	-
Related Tax Effect		-	-	-	-
		140,404,656	103,518,544	-	-
Other Comprehensive Income, Net of Tax		139,298,996	104,884,828	928,180	(997,836)
Total Comprehensive Income for the Year		(137,871,124)	209,076,774	(380,562,462)	22,743,604
Total Comprehensive Income Attributable to:					
Equity Holders of the Parent		(259,638,020)	118,984,303	(380,562,462)	22,743,604
Non-Controlling Interest		121,766,897	90,092,471	-	-
		(137,871,124)	209,076,774	(380,562,462)	22,743,604

The notes on pages 73 to 138 are an integral part of these consolidated financial statements.

Year Ended 31 December	Other Reserves			Revenue Reserves			Non-Controlling Interest	Total
	Stated Capital	Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available-for-Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Balance as at 1 January 2018	1,860,001,339	30,234,871	52,855,527	(2,161,054)	98,276	(453,496,126)	282,755,191	1,770,288,024
Net Profit for the year	-	-	-			59,986,522	44,205,423	104,191,945
Other Comprehensive Income								
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-		1,161,154		950,035	2,111,188
Net Change in Fair Value of Property, plant and equipment		3,494,085						3,494,085
Foreign Currency Translation Differences for Foreign Operations	-	-	54,371,249				44,485,567	98,856,816
Net Change in Fair Value of Available-for-Sale Financial Assets								
- transfer (to)/from policyholders reserve	-	-		2,099,094			451,445	2,550,539
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-				(2,127,800)		(2,127,800)
Total Comprehensive Income	-	3,494,085	54,371,249	2,099,094	1,161,154	57,858,722	90,092,471	209,076,774
Dividend Paid	-	-	-	-	-	(22,684,989)	(19,001,519)	(41,686,508)
Changes in ownership interests	-	-	-	-	-	(22,684,989)	(19,001,519)	(41,686,508)
Effect of acquisitions, disposals and change in percentage holdings in subsidiaries	-	-	-	-	-	39,439,117	-	39,439,117
Total changes in ownership interests	-	-	-	-	-	39,439,117	-	39,439,117
Balance as at 31 December 2018	1,860,001,339	33,728,956	107,226,776	(61,960)	1,259,430	(378,883,276)	353,846,144	1,977,117,331
Net Profit/(Loss) for the period	-	-	-	-	-	(337,009,988)	59,839,869	(277,170,120)
Other Comprehensive Income								
Foreign Currency Translation Differences for Foreign Operations	-	-	1,940,351	-	-	-	1,587,560	3,527,910
Net Change in Fair Value of Available-for-Sale Financial Assets								
- transfer (to)/from policyholders reserve	-	-	-	2,698,349	-	-	580,325	3,278,674
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	-	73,478,940	-	60,119,132	133,598,072
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	(745,670)	(359,990)	(1,105,660)
Total Comprehensive Income	-	-	1,940,351	2,698,349	73,478,940	(337,755,659)	121,766,819	(137,871,124)
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,370,919)	-	-	-	1,370,919	-	-
Dividend Paid	-	-	-	-	-	-	(13,876,505)	(13,876,505)
Total changes in ownership interests	-	(1,370,919)	-	-	-	1,370,919	(13,876,505)	(13,876,505)
Balance as at 31 December 2019	1,860,001,339	32,358,037	109,167,127	2,636,389	74,738,370	(715,268,022)	461,736,457	1,825,369,698

		Other Reserves	Revenue Reserves	
Year Ended 31 December	Stated Capital Rs.	Revaluation Reserve Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Company				
Balance as at 1 January 2018	1,860,001,339	30,331,677	(74,244,716)	1,816,088,300
Total Comprehensive Income				
Net Profit/(Loss) for the period	-	-	23,741,440	23,741,440
Other Comprehensive Income				
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	(2,066,736)	(2,066,736)
Total Comprehensive Income	-	-	21,674,704	21,674,704
Transfer from the Revaluation Reserve	-	1,068,900	-	1,068,900
Balance as at 31 December 2018	1,860,001,339	31,400,577	(52,570,012)	1,838,831,904
Total Comprehensive Income				
Net Profit /(Loss) for the period	-	-	(381,490,642)	(381,490,642)
Other Comprehensive Income				
Transfer from the Revaluation Reserve	-	(1,370,919)	1,370,919	-
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	928,180	928,180
Total Comprehensive Income	-	(1,370,919)	(379,191,543)	(380,562,462)
Balance as at 31 December 2019	1,860,001,339	30,029,658	(431,761,555)	1,458,269,442

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Operating Activities					
Contribution (Premium) Received from Participants		5,042,801,921	4,070,013,736	2,251,575,118	1,962,605,277
Retakaful (Reinsurance) Premium Paid		(1,007,189,923)	(524,806,482)	(486,182,033)	(231,762,669)
Claims, Benefits and Expenses Paid		(3,061,415,093)	(2,060,438,062)	(1,680,890,080)	(1,275,531,234)
Retakaful (Reinsurance) Receipts in Respect of Claims		891,532,018	291,481,088	684,599,623	215,291,799
Cash Paid to and on behalf of Employees		(720,263,051)	(635,263,575)	(558,631,038)	(342,305,789)
Profits Received from Investments and Other Income		297,882,480	214,031,897	43,260,243	64,785,258
Dividends Received		20,021,600	35,194,824	16,960,173	22,684,989
Finance Cost Paid		(39,121,000)	(35,118,177)	(32,992,874)	(34,371,140)
Other Operating Cash Payments		(1,373,205,388)	(1,084,752,024)	(392,243,907)	(387,243,047)
Cash Flow from/(used in) Operating Activities (Note A)		51,043,564	270,343,226	(154,544,775)	(5,846,557)
Employee Benefit Paid	19	(5,198,854)	(3,805,874)	(4,057,042)	(2,995,994)
Income Tax Paid		(34,644,360)	(27,811,385)	-	-
Net Cash Flow from/(used in) Operating Activities		11,200,350	238,725,966	(158,601,817)	(8,842,551)
Investing Activities					
Purchase of Investment Securities		(1,083,270,245)	(1,707,715,145)	(136,396,867)	(196,396,867)
Sale of Investment Securities		1,097,327,689	1,309,161,779	137,450,492	140,158,814
Purchase of Intangible Assets	5	(31,522,493)	(32,265,738)	(834,800)	-
Purchase of Property, Plant and Equipment	6	(23,769,355)	(39,063,531)	(1,738,362)	(20,056,653)
Proceeds from Disposal of Property, Plant and Equipment	27	890,582	-	890,582	-
Proceeds from Disposal of Investment Property	7	29,500,000	-	29,500,000	-
Net Cash Flows used in Investing Activities		(10,843,822)	(469,882,634)	28,871,046	(76,294,706)
Financing Activities					
Repayment of Lease Facility	23	(13,746,220)	(2,529,623)	(5,024,583)	(1,393,149)
Short Term Loans Obtained		477,000,000	550,000,000	477,000,000	550,000,000
Repayment of Short Term Borrowings		(519,919,785)	(766,574,397)	(519,919,785)	(678,983,714)
Subordinated Debt Obtained	24	181,647,786	107,666,195	174,657,440	75,614,945
Dividend Paid		(30,836,677)	(41,686,508)	-	-
Net Cash Flows from Financing Activities		94,145,104	(153,124,333)	126,713,072	(54,761,918)
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		94,501,559	(384,281,000)	(3,017,700)	(139,899,176)

		Group		Company	
Year Ended 31 December	Notes	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Note A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit/(Loss) from Operations	32	(119,004,707)	168,321,919	(251,705,631)	58,356,669
Depreciation	6	24,762,530	28,382,621	15,419,143	19,363,761
Amortisation		8,212,337	6,524,847	2,142,711	1,967,678
Depreciation of Right of use assets	23	12,738,100	-	4,259,938	-
Provision for Employee Benefit	19	19,802,543	14,897,485	8,808,673	6,961,184
(Gain)/Losses from FVTPL Investments		-	483,803	-	-
Fair Value of Investment Transferred		-	-	-	(54,545,459)
Provision for Impairment of Investment In Subsidiary		-	-	-	49,500,000
(Increase)/Decrease in Debtors and Other Assets		270,394,651	(290,169,355)	396,341,705	(168,737,762)
Increase in Family Takaful (Long Term Insurance) Fund		63,687,079	(35,823,821)	-	-
Increase/(Decrease) in Net Unearned Contribution (Premium)		(173,788,550)	156,111,084	(127,361,817)	73,200,586
Increase/(Decrease) in IBNR & General Reserve Provision		30,278,045	42,315,777	10,100,910	40,552,135
Increase/(Decrease) in Claims Provision		(179,679,757)	103,985,172	(170,553,687)	81,326,947
Increase/(Decrease) in Other Creditors		124,282,472	104,936,870	(8,464,825)	(83,846,156)
Profit on Sale of Property, Plant & Equipment		(890,582)	-	(890,582)	-
Finance Cost	33	(32,814,219)	(35,118,177)	(32,992,874)	(34,371,140)
(Gain)/Loss on Fair Value of Investment Property	7	(500,000)	5,495,000	(500,000)	4,425,000
Exchange (Gain)/Loss		3,563,622	-	851,555	-
Cash Flows from/(used in) Operating Activities		51,043,564	270,343,226	(154,544,775)	(5,846,557)
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash and Cash Equivalents at the end of the period	13	777,396,045	682,894,486	376,642,211	379,659,911
Cash and Cash Equivalents at the beginning of the year	13	682,894,486	1,067,175,486	379,659,911	519,559,087
Increase/(Decrease) in Cash and Cash Equivalents		94,501,559	(384,281,000)	(3,017,700)	(139,899,176)

The notes on pages 73 to 138 are an integral part of these consolidated financial statements.

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	29,718,037	19,658,919	65,077,550	-	-	114,454,506
Property, Plant and Equipment	48,374,578	20,109,849	17,901,457	-	-	86,385,885
Deferred Tax Asset	-	-	5,984,719	-	-	5,984,719
Investment Property	46,500,000	147,500,000	-	-	-	194,000,000
Investment in Subsidiaries	1,052,867,811	-	-	-	(1,052,867,811)	-
Financial Assets	839,380,544	816,349,834	1,303,762,377	-	(127,804,695)	2,831,688,060
Retakaful (Reinsurance) Receivables	190,265,962	-	140,370,036	-	-	330,635,917
Contribution (Premium) Receivables	395,623,737	36,692,115	157,624,607	-	-	589,940,459
Other Assets	89,985,873	37,022,003	83,582,868	-	-	210,590,711
Financial Assets - Unit Linked	-	1,716,210,033	-	-	-	1,716,210,033
Right Of Use Asset	13,818,976	16,063,681	225,451,788			255,334,446
Related Party Receivable	3,077,451	6,359,096	3,480,817	450,000	(13,367,365)	-
Cash and Bank Balances	167,389,849	70,324,846	21,974,534	583,629	-	260,272,858
Cash and Bank Balances - Unit Linked	-	38,197,730	-	-	-	38,197,730
Total Assets	2,877,002,808	2,924,488,105	2,025,210,751	1,033,629	(1,194,039,869)	6,633,695,302
Liabilities						
Insurance Contract Liabilities - Non Life	704,792,638	-	365,985,049	-	-	1,070,777,687
Insurance Contract Liabilities - Family Takaful Fund	-	471,280,391	-	-	-	471,280,391
Insurance Contract Liabilities - Family Takaful Unit Linked	-	1,747,559,594	-	-	-	1,747,559,594
Retakaful (Reinsurance) Payables	-	-	257,775,515	-	-	257,775,515
Employee Benefits	38,851,542	10,090,893	33,629,980	-	-	82,572,415
Other Liabilities - Unit Linked	-	50,986,682	-	-	-	50,986,682
Other Liabilities	164,903,490	59,848,341	336,572,612	12,955,655	(235,770)	574,044,245
Related Party Payable	9,748,632	2,835,413	540,685	242,634	(13,367,365)	-
Subordinated Debt	272,402,200	81,417,058	-	-	(127,568,925)	226,250,333
Lease Liability	14,053,816	12,616,879	86,426,963	-	-	113,097,658
Short Term Borrowings	157,857,492	-	-	-	-	157,857,492
Bank Overdrafts	56,123,560	-	-	-	-	56,123,560
Total Liabilities	1,418,733,368	2,436,635,252	1,080,930,804	13,198,289	(141,172,059)	4,808,325,606
Shareholders' Equity Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	30,029,658	6,709,623	198,356,342	-	(93,570,491)	141,525,164
Revenue Reserves	(431,761,555)	(18,856,770)	543,552,887	(49,289,660)	(681,538,126)	(637,893,262)
	1,458,269,442	487,852,853	944,279,947	(12,164,660)	(1,514,604,336)	1,363,633,241
Non Controlling Interest	-	-	-	-	461,736,535	461,736,457
Total Equity	1,458,269,442	487,852,853	944,279,947	(12,164,660)	(1,052,867,801)	1,825,369,698
Total Equity and Liabilities	2,877,002,808	2,924,488,105	2,025,210,751	1,033,629	(1,194,039,869)	6,633,695,302

The notes on pages 73 to 138 are an integral part of these consolidated financial statements.

**SEGMENTAL ANALYSIS - STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME - 2019**

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	1,832,052,947	851,292,853	1,598,455,000	-	(6,025,137)	4,275,775,664
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(482,358,879)	(32,419,293)	(642,184,742)	-	-	(1,156,962,914)
Net Written Contribution (Premium)	1,349,694,068	818,873,561	956,270,258	-	(6,025,137)	3,118,812,750
Net Change in Reserve for						
Un-Earned Contribution (Premium)	127,361,817	1,639,884	44,786,850	-	-	173,788,550
Net Earned Contribution (Premium)	1,477,055,884	820,513,445	1,001,057,108	-	(6,025,137)	3,292,601,300
Other Income						
Income from Investments	92,868,259	255,617,132	53,713,380	-	(23,266,954)	378,931,821
Other Operating Income	59,566,374	64,609,056	76,210,752	5,432,743	(5,400,000)	200,418,925
Total Revenue	1,629,490,517	1,140,739,633	1,130,981,241	5,432,743	(34,692,091)	3,871,952,047
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits-net	(1,055,106,947)	(591,894,900)	(601,255,302)	-	3,352,032	(2,244,905,116)
Acquisition Cost (Net of Reinsurance Commission)	(106,451,597)	(117,897,768)	(34,464,209)	-	-	(258,813,573)
Increase in Family Takaful (Long Term Insurance) Fund	-	(27,283,776)	-	-	-	(27,283,776)
Less: Indirect Expenses						
Other Operating and Administration Expenses	(702,075,751)	(426,284,170)	(314,559,967)	(6,621,479)	15,229,980	(1,434,311,387)
Amortisation	(2,142,711)	(1,295,725)	(4,773,901)	-	-	(8,212,337)
Depreciation	(15,419,143)	-	(2,011,425)	-	-	(17,430,567)
Profit/(Loss) from Operations	(251,705,631)	(23,916,707)	173,916,438	(1,188,736)	(16,110,078)	(119,004,707)
Finance Cost	(32,992,874)	(5,201,324)	(926,802)	-	6,306,781	(32,814,219)
Profit/(Loss) Before Taxation	(284,698,505)	(29,118,030)	172,989,636	(1,188,736)	(9,803,297)	(151,818,926)
Income Tax	(96,792,137)	-	(28,559,057)	-	-	(125,351,194)
Profit/(Loss) for the period	(381,490,642)	(29,118,030)	144,430,578	(1,188,736)	(9,803,297)	(277,170,120)

The notes on pages 73 to 138 are an integral part of these consolidated financial statements.

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	31,025,948	20,954,644	39,477,845	-	(4,515,524)	86,942,914
Property, Plant and Equipment	63,757,277	28,703,776	3,541,555	21,630	-	96,024,240
Improvements to Leasehold Buildings	-	-	-	-	-	-
Deferred Tax Asset	96,792,137	-	9,332,475	-	(2,641,350)	103,483,262
Investment Property	75,500,000	144,929,000	-	-	-	220,429,000
Investment in Subsidiaries	1,052,867,810	-	-	-	(1,052,867,810)	-
Financial Assets	837,492,607	875,164,705	1,204,999,333	-	(82,475,918)	2,835,180,727
Retakaful (Reinsurance) Receivables	410,365,133	-	27,214,096	-	-	437,579,148
Contribution (Premium) Receivables	529,532,922	39,676,266	142,035,541	-	-	711,244,729
Other Assets	127,916,276	51,885,520	72,936,050	-	-	252,737,848
Financial Assets - Unit Linked	-	1,621,208,465	-	-	-	1,621,208,465
Related Party Receivable	7,480,397	1,832,199	-	-	(9,312,596)	-
Cash and Bank Balances	94,692,309	85,064,941	35,397,494	1,950,886	-	217,105,635
Cash and Bank Balances - Unit Linked	-	8,155,160	-	-	-	8,155,160
Total Assets	3,327,422,816	2,877,574,677	1,534,934,390	1,972,516	(1,151,813,198)	6,590,091,127
Liabilities						
Insurance Contract Liabilities - Non Life	972,644,129	-	422,142,596	-	-	1,394,786,725
Insurance Contract Liabilities - Family Takaful Fund	-	534,967,470	-	-	-	534,967,470
Insurance Contract Liabilities - Family Takaful Unit Linked	-	1,660,124,030	-	-	-	1,660,124,030
Retakaful (Reinsurance) Payables	120,192,628	-	127,963,743	-	-	248,156,371
Employee Benefits	35,028,091	7,078,883	24,771,775	-	-	66,878,749
Other Liabilities - Unit Linked	-	51,285,609	-	-	-	51,285,609
Other Liabilities	61,092,118	65,011,168	266,496,212	12,948,440	-	405,547,861
Related Party Payable	1,832,199	7,480,397	-	-	(9,312,596)	-
Subordinated Debt	97,024,473	32,051,250	-	-	(82,475,918)	46,599,805
Finance Lease Liability	-	3,849,823	-	-	-	3,849,823
Short Term Borrowings	200,777,276	-	-	-	-	200,777,276
Total Liabilities	1,488,590,915	2,361,848,629	841,374,325	12,948,440	(91,788,514)	4,612,973,719
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	31,400,577	3,430,948	194,828,432	-	(88,704,257)	140,955,732
Revenue Reserves	(52,570,013)	12,295,100	296,360,913	(48,100,924)	(585,670,852)	(377,685,807)
	1,838,831,904	515,726,048	693,560,064	(10,975,924)	(1,413,870,829)	1,623,271,187
Non Controlling Interest	-	-	-	-	353,846,144	353,846,144
Total Equity	1,838,831,904	515,726,048	693,560,064	(10,975,924)	(1,060,024,685)	1,977,117,331
Total Equity and Liabilities	3,327,422,816	2,877,574,677	1,534,934,390	1,972,516	(1,151,813,198)	6,590,091,127

The Notes on pages 73 to 138 are an integral part of these Consolidated Financial Statements.

**SEGMENTAL ANALYSIS - STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME - 2018**

Year Ended 31 December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Limited. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	2,002,389,304	827,947,507	1,383,562,803	-	-	4,213,899,613
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(388,004,377)	(21,194,646)	(423,780,353)	-	-	(832,979,375)
Net Written Contribution (Premium)	1,614,384,927	806,752,861	959,782,450	-	-	3,380,920,237
Net Change in Reserve for						
Un-Earned Contribution (Premium)	(73,200,586)	(690,597)	(82,219,901)	-	-	(156,111,084)
Net Earned Contribution (Premium)	1,541,184,341	806,062,264	877,562,549	-	-	3,224,809,153
Other Income						
Income from Investments	112,132,924	180,151,438	45,039,934	-	(33,674,429)	303,649,871
Gain/(loss) on Available-for-sale Financial Instruments	-	-	-	39,439,117	-	39,439,117
Fair Value Gains from Investments	54,545,459	-	-	-	(54,545,459)	-
Fair Value Gains and Losses	-	-	-	(42,545,459)	42,545,459	-
Other Operating Income	61,493,570	30,003,052	67,826,166	8,400,326	6,600,000	174,323,114
Total Revenue	1,769,356,293	1,016,216,754	990,428,649	5,293,984	(39,074,429)	3,742,221,255
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits-net	(875,877,178)	(543,446,265)	(511,582,166)	-	-	(1,930,905,608)
Acquisition Cost (Net of Reinsurance Commission)	(108,321,161)	(105,824,511)	(46,267,121)	-	-	(260,412,793)
Increase in Family Takaful (Long Term Insurance) Fund	-	36,961,441	-	-	-	36,961,441
Less: Indirect Expenses						
Other Operating and Administration Expenses	(705,582,949)	(457,558,206)	(275,426,062)	(5,954,839)	59,599,037	(1,384,923,018)
Amortisation	(1,967,678)	(1,295,725)	(4,823,944)	-	1,562,500	(6,524,847)
Depreciation	(19,250,659)	(7,282,950)	(1,512,942)	(47,959)	-	(28,094,510)
Profit/(Loss) from Operations	58,356,669	(62,229,463)	150,816,415	(708,815)	22,087,108	168,321,919
Finance Cost	(34,371,140)	(747,036)	-	-	-	(35,118,177)
Profit/(Loss) Before Taxation	23,985,529	(62,976,499)	150,816,415	(708,815)	22,087,108	133,203,743
Income Tax	(244,089)	-	(27,811,385)	-	(956,323)	(29,011,797)
Profit/(Loss) for the period	23,741,440	(62,976,499)	123,005,030	(708,815)	21,130,785	104,191,945

The notes on pages 73 to 138 are an integral part of these consolidated financial statements.

**STATEMENT OF FINANCIAL POSITION OF
FAMILY TAKAFUL (LIFE INSURANCE) - SUPPLEMENTAL**

	2019 Rs.	2018 Rs.
Assets		
Intangible Assets	19,658,919	20,954,644
Property, Plant and Equipment	20,109,849	28,703,776
Investment Property	147,500,000	144,929,000
Financial Assets	816,349,834	875,164,705
Right of use of Asset	16,063,681	-
Contribution (Premium) Receivables	36,692,115	39,676,266
Other Assets	43,381,099	53,717,719
Financial Assets - Unit Linked	1,716,210,033	1,621,208,465
Cash and Bank balances	70,324,846	85,064,941
Cash and Bank balances - Unit Linked	38,197,730	8,155,160
Total Assets	2,924,488,105	2,877,574,677
Liabilities		
Insurance Contract Liability - Family Takaful Fund	471,280,391	534,967,470
Insurance Contract Liability - Family Takaful - Unit Linked	1,747,559,594	1,660,124,030
Employee Benefits	10,090,893	7,078,883
Other Liabilities - Unit Linked	50,986,682	51,285,609
Subordinated Debt	81,417,058	32,051,250
Other Liabilities	62,683,755	72,491,565
Lease Liability	12,616,879	3,849,823
Total Liabilities	2,436,635,252	2,361,848,629
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	6,709,623	3,430,948
Revenue Reserves	(18,856,770)	12,295,100
Total Equity	487,852,853	515,726,048
Total Equity and Liabilities	2,924,488,105	2,877,574,677

1. Corporate Information

1.1 General

Amāna Takaful PLC ("Company") is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 - 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These consolidated Financial Statements comprise the Company and its subsidiaries (collectively the 'Group' and individually 'Group companies').

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amāna Global Limited (100% stake) is providing services such as Technical Support, Research and Development, under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amāna Takaful Maldives PLC, which is a subsidiary (55%) of Amāna Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 04 March 2010 to carry out General Takaful Business.

Amāna Takaful Life PLC (82.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life takaful insurance.

1.3 Date of Authorisation for issue

The Consolidated and Separate Financial Statements of Amāna Takaful PLC for the year ended 31 December 2019 was authorised for issue by the Board of Directors on 26 May 2020.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for preparation and presentation of these Financial Statements.

2. Basis of Preparation

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amāna Global Limited, Amāna Takaful Maldives PLC and Amāna Takaful Life PLC.

The Group's Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amāna Global Limited, Amāna Takaful Maldives PLC and Amāna Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, ("Financial Statements") as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/ LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto.

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognised at the present value
- Incurred but not reported / Incurred but not enough reported liability - actuarially determined values based on internationally accepted actuarial policies and methodologies

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgments

In the process of applying the group accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognised in the consolidated Financial Statements. Further, the management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the Reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the consolidated and separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below.

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2019 is included in the following notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. P P T Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and NMG Consulting respectively.

(i) Note 17 – General Insurance Provision

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement

of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognised as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 – Long Term Insurance Provision – (Family Takaful Fund)

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18 to the Financial Statements.

2.4.1.3 Note 19 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 34.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries

Fair value of Investment Transferred

The determination of fair value of investment transferred recorded on the statement of Profit or loss and Other Comprehensive Income and the corresponding entry being recorded in investment in Subsidiary on the statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.5 Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value

hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment Property
- Note 9 & 12 – Financial Assets and Financial Assets Unit Linked

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund management services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Group is a going concern. The Directors have neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations in all sectors of the Group.

There are no going concern issues identified during the current financial year 2019.

2.7.1 Compliance with Risk Based Capital Solvency Margin Rules

As per the RBC Solvency Margin Rule, an insurance company engaged in either long term insurance business or general insurance business is required to maintain a capital adequacy ratio of 120% and a total available capital of Rs. 500 Mn.

The regulatory compliances as of 31 December 2019 are as follows:

	Actual	Regulatory
Total Available Capital (TAC)	493 Mn	500 Mn
Risk Based Capital Adequacy Ratio (CAR)	199%	120%

Therefore, the Company is not in compliance with the Total Available Capital requirement in terms of Solvency Margin set out by the Insurance Regulatory Commission of Sri Lanka. It indicates a marginal deficiency of Rs. 6.7Mn with the minimum requirement. However, the Company reported a Capital Adequacy Ratio of 199% for the same date which is above the Regulatory minimum requirements of 120%.

The Directors are of the view that the Company is able to comply with the minimum Total Available Capital requirement on the strength of following grounds.

- The Company vigorously monitors its business plan for 2020 and over achieved Top line and Bottom line for the first 4 months of 2020. Company has achieved the minimum TAC level as at 30 April 2020 according to the monthly declaration submitted to the Insurance Regulatory Commission of Sri Lanka.
- The Company is pursuing options of infusing a Tier 2 Capital to further strengthen the Total Available Capital requirement under Risk Based Capital Rules.

3. Summary of Significant Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate Financial Statements.

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the Balance sheet date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

3.1.4 Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognised in Profit or Loss; instead, the result of the transaction is recognised in equity as arising from a transaction with shareholders.

3.1.7 Common control transactions in separate financial statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 Foreign Currency

3.2.1 Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognized in OCI, are reclassified to profit or loss); are recognised in OCI:

3.2.2 Foreign operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognised in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is re-attributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognised in OCI and accumulated in the translation reserve.

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in OCI.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 10 of 2006 and the amendments thereto.

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

3.4 Intangible Assets

3.4.1 Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at the acquisition date as:

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less
- The net recognised amount (fair value) of the identifiable assets acquired and liabilities assumed.

Subsequently, Goodwill is measured at cost less accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired.

3.4.2 Research & Development

Expenditure on development activities is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at

cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognised.

Research and other development expenditure are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.3 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation method
Computer Software	8-20 years	Straight line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are

recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period, to which it relates, on a straight-line basis.

3.6 Salvage Stock

Salvage Stocks are valued at since realised/realisable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

3.8 Other Assets & Receivables

Other assets & receivables are stated at their estimated realisable value.

3.9 Property, Plant and Equipment

3.9.1 Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31 December 2018 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the Reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

Class	Useful Life
Motor Vehicles	4-5 Years
Computer Equipment	3-5 Years
Other Equipment	4-5 Years
Furniture & Fittings	5-10 Years
Leasehold vehicle	4-5 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Financial Assets

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Term Deposits/ Mudharabah Deposits	Loans and Receivables
Loans & Receivable	Loans and Receivables
Financial Liability	Category
Murabaha Facility	Other Financial Liabilities

3.11.1 Recognition of financial assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value through Profit or Loss) are recognised initially on the

trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.11.2 Measurement

(a) Financial assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly

attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-For-Sale financial assets

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale Reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

(e) Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities, which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

3.11.3 Impairment of financial assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- Observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognised in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available-For-Sale financial investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(c) Financial assets carried at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.13 De-recognition of financial assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when,

- The rights to receive cash flows from the asset have expired
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Group has transferred its rights to receive cash flows from the asset and either:
 - Has transferred substantially all the risks and rewards of the asset, or
 - Has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

3.14 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time

that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

3.15 Liabilities and Provisions (Excluding Insurance Contracts)

3.15.1 Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

3.15.2 Provisions (Excluding Insurance Contracts)

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.16 Employee Benefits

3.16.1 Defined Benefit Plan - Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognised as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.2 Defined Contribution Plans - Employees' Provident Fund & Employees' Trust Fund

Employees are eligible for Employees' Provident Fund contributions and Employees' Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

3.16.3 Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each Reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine

the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognised earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Allocation Fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31 December.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognised as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognised in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost / Income is directly attributable to the profit or loss when policy is underwritten.

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions - Family Takaful Business provision and provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 Wakala Fee (Agency/Allocation Fee)

3.20.1.1 Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for Allocation Fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis.

General Takaful (Insurance) Business

The Shareholders' Fund is entitled for Allocation Fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced allocation fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

Medical Takaful (Insurance) Policies	37.5%
All other General Takaful (Insurance) Policies	20%-50%

Family Takaful (Life Insurance) Business

The Allocation fee is charged on contribution of Family Takaful Certificates, at the following rates:

Family Takaful Products	- First Year	80%
	- Second Year	45%
	- Third Year & after	2%
Mortgage Family Takaful (Insurance) Policies		20%
Group Family Takaful (Insurance) Policies		30%

3.20.1.2 Wakala Fee (Agency/Allocation Fee) on Investment Income

The Shareholders' fund is entitled for allocation fee of 50% on net investment income.

3.20.2 Investment Income

3.20.2.1 Interest Income

Interest income is recognised in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realised gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

3.21 Others

Other income is recognised on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognised in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 Events after the Reporting Date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorised for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective notes to the financial statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.26 Earnings per share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the direct Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 'Statement of Cash flows.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

4. Changes in Accounting Policies

4.1 SLFRS - 16 Leases

New and amended standards and interpretations

In the financial statements, the Group has applied SLFRS 16, effective for annual period beginning on or after 1 January 2019, for the first time. The Group has not adopted earlier any other standard, interpretation or amendment that has been issued but not yet effective.

SLFRS 16, Leases

SLFRS 16 "Leases" replaced Sri Lanka Accounting Standard (LKAS 17) - Leases, IFRIC 4 - Determining whether an arrangement contains a Lease, SIC 15 - Operating Leases-Incentives and SIC 27- Evaluating the Substance of Transactions Involving the Legal Form of a Lease. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires leases to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17.

The Group has applied SLFRS 16 using the modified retrospective approach from 1 January 2019, without restating comparatives for 2018 reporting period, as permitted under the specific transitional provisions in the standard. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information.

Recognition

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- the contract involves the use of an identified asset
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use assets of the Group consists of branch premises and vehicles which were previously recognised as operating leases under LKAS 17.

Leases classified as operating leases under LKAS 17

At the commencement date of the lease, the Group recognises lease liabilities were measured at the present value of the remaining lease payments discounted at the incremental borrowings rates as at 1st January 2019. Right of use assets are measured at an amount equal to the lease liability, adjusted by the amount of any pre-paid or accrued lease payments. In addition, the group applied following practical expedients permitted by SLFRS 16, to lease previously classified as operating leases under LKAS 17.

- Applied a single discount rate to a portfolio of leases with similar characteristics.
- Applied the exemption not to recognise right-of-use assets and liabilities for leases with less than 12 months of lease term.
- Excluded initial direct costs, from the measurement of the right-of-use asset, for leases previously accounted for as operating leases at the date of initial application.

Measurement

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

4.2 Changers to classification and measurement

After 1 January 2019

The Group leases assets include the branch buildings. The Group previously classified leases as operating leases based on its assessment of whether the lease transferred significantly the entire risks and rewards incidental to ownership of the underlying asset to the Group.

At the commencement date of a lease, a lessee will recognise a liability to make lease payments and an asset representing the right to use the underlying asset during the lease term. Lessees will be required to separately recognise the interest expense on the lease liability.

The Group recognises its lease liabilities in relation to leases and liabilities were measured at the present value of the future lease payments, discounted using the lessee's incremental borrowing rate as of commencement date of the lease. The weighted average lessee's incremental borrowing rate applied to the lease liabilities was 14%.

The Group did not have any finance leases, and therefore provisions relating to finance leases in SLFRS 16 do not apply for the group.

The Group transitioned to SLFRS 16 in accordance with the modified retrospective approach therefore prior year figures were not adjusted.

Before 1 January 2019

Previously, the Group recognised operating lease expenses on a straight-line basis over the term of the lease and recognised assets and liabilities only to the extent that there was a timing difference between actual lease payments and the expenses recognised.

4.3 Standards Issued but not yet Effective as at Reporting Date

Impending Accounting Standards/ standards issued not yet effective

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2019 reporting periods. None of those have been early adopted by the Group.

Sri Lanka Accounting Standard (SLFRS) 9 - Financial Instruments:

In December 2014, the CA Sri Lanka issued the final version of IFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 - Financial Instruments: Recognition and Measurement.

SLFRS 9 is effective for annual periods beginning on or after 01st January 2018, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption from SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits but does not require the insurer to apply LKAS 39 - Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1 January 2023.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- 1) It has not previously applied any version of SLFRS 9, other than only the requirements of the Presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss and;
- 2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately proceeds 1 April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amāna Takaful PLC and Amāna Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 - Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 01 January 2023. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

SLFRS 17 - Insurance Contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2021.

However, International Accounting Standard Board (IASB) has tentatively decided to defer the effective date of IFRS 17 to period beginning on or after 1 January 2023.

SLFRS 4 permitted insurers to continue to use the statutory basis of accounting for insurance assets and liabilities that existed in their jurisdictions prior to January 2005. SLFRS 17 replaces this with a new measurement model for all insurance contracts.

SLFRS 17 requires liabilities for insurance contracts to be recognised as the present value of future cash flows, incorporating an explicit risk adjustment, which is updated at each reporting date to reflect current conditions, and a contractual service margin (CSM) that is equal and opposite to any day-one gain arising on initial recognition. Losses are recognised directly into the income statement. For measurement purposes, contracts are grouped together into contracts of similar risk, profitability profile and issue year, with further divisions for contracts that are managed separately.

Profit for insurance contracts under SLFRS 17 is represented by the recognition of the services provided to policyholders in the period (release of the CSM), release from non-economic risk (release of risk adjustment) and investment profit.

The CSM is released as profit over the coverage period of the insurance contract, reflecting the delivery of services to the policyholder. For certain contracts with participating features (where a substantial share of the fair value of the related investments and other underlying items is paid to policyholders) the CSM reflects the variable fee to shareholders. For these contracts, the CSM is adjusted to reflect the changes in economic experience and assumptions. For all other contracts the CSM is only adjusted for non-economic assumptions.

SLFRS 17 introduces a new measure of insurance revenue, based on the delivery of services to policyholders and excluding any premiums related to the investment elements of policies, which will be significantly different from existing premium revenue measures, currently reported in the income statement. In order to transition to SLFRS 17, the amount of deferred profit, being the CSM at transition date, needs to be determined.

SLFRS 17 requires, this CSM to be calculated as if the standard had applied retrospectively. If this is not practical, an entity is required to choose either a simplified retrospective approach or determine the CSM by reference to the fair value of the liabilities at the transition date. The approach for determining the CSM will have a significant impact on both shareholders' equity and on the amount of profits on in-force business in future reporting periods.

SLFRS 17 Implementation Programme

SLFRS 17 is expected to have a significant impact, as the requirements of the new standard are complex and requires a fundamental change to accounting for insurance contracts as well as the application of significant judgement and new estimation techniques. The effect of changes required to the Group's accounting policies as a result of implementing these standards are currently uncertain, but these changes can be expected to, among other things, alter the timing of profit recognition. Given the implementation of this standard is likely to involve significant enhancements to IT, actuarial and finance systems of the Group, it will also have an impact on the Group's expenses.

The Group has an implementation programme underway to implement SLFRS 17 and SLFRS 9. The scope of the programme consists of setting accounting policies and developing application methodologies, establishing appropriate processes and controls, sourcing appropriate data and implementing actuarial and finance system changes.

The Steering Committee chaired by both Chief Financial Officer and General Manager Actuarial provides oversight and strategic direction to the implementation programme along with the involvement of external consultants.

The Group remains on track to providing SLFRS 17 financial statements in line with the requirements for interim reporting at its effective date, which is currently expected to be 2021 or 2022.

4.4 Amendments to Sri Lanka Accounting Standard - LKAS 1 "Presentation to Financial Statements" and Sri Lanka Accounting Standard - LKAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors"

The amendments LKAS 1 "Presentation of Financial Statements" and LKAS 8 "Accounting policies, Changes in accounting Estimates and Errors" align the definition of "material" across the standard and clarify certain aspects of the definition. The new definition states that, "information is material if omitting or obscuring it could reasonably be expected to influence decisions that the primary users of general-purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

The amendments are applied prospectively for the annual periods beginning on or after 1st January 2020 with early application permitted.

The Group will apply these amendments when they become effective.

4.5 Amendments to references to the conceptual framework in SLFRS standards Revisions to the Conceptual Framework were made because some important issues were not covered, and some guidance was unclear or out of date. The revised Conceptual Framework includes:

- a new chapter on measurement;
- guidance on reporting financial performance;
- improved definitions of an asset and a liability, and guidance supporting these definitions; and
- clarifications in important areas, such as the roles of stewardship, prudence and measurement uncertainty in financial reporting

The amendments are effective for annual periods beginning on or after 1st January 2020, with early application is permitted. The Group will apply these amendments when they become effective.

5. Intangible Assets

5.1 Group

Year Ended 31 December	2019 Rs.	2018 Rs.
Cost		
Balance at the Beginning of the Year	154,072,927	101,438,350
Additions During the Year	31,522,493	46,757,126
Exchange Gain/(Loss)	(1,394,488)	5,877,451
Balance at the End of the Year	184,200,932	154,072,927
Amortisation		
Balance at the Beginning of the Year	67,130,013	54,056,796
Charges for the Year	8,212,337	8,087,347
Exchange Gain/(Loss)	(5,595,923)	6,548,369
Elimination	-	(1,562,500)
Balance at the End of the Year	69,746,427	67,130,013
Carrying Amount	114,454,505	86,942,914

5.2 Company

Year Ended 31 December	2019 Rs.	2018 Rs.
Cost		
Balance at the Beginning of the Year	55,241,726	44,482,847
Additions During the Year	834,800	10,758,879
Balance at the End of the Year	56,076,526	55,241,726
Amortisation		
Balance at the Beginning of the Year	24,215,778	22,248,100
Amortisation Charge for the Year	2,142,711	1,967,678
Balance at the End of the Year	26,358,489	24,215,778
Carrying Value	29,718,037	31,025,948

5.3 Acquisition of Intangible Assets During the Year

During the financial year, the Group has acquired/capitalised Intangible Assets (Computer Software) to the aggregate value of Rs. 31,522,493/- (2018 - 46,757,126).

5.4 Fully-Amortised Intangible Assets in Use

The Group Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs.10,862,742/- (2018 - Rs.10,862,742/-).

5.5 Title Restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31 December 2019.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31 December 2019. Based on the assessment, no impairment indicators were identified.

6. Property, Plant and Equipment

6.1 Group

Cost/Valuation	Notes	Balance as at 1 January 2019 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/ Decrease in Revaluation Rs.	Exchange Movement Rs.	Total as at 31 December 2019 Rs.
Freehold	6.1.1	330,067,721	23,769,355	(2,848,882)	-	(130,167)	350,858,027
		330,067,721	23,769,355	(2,848,882)	-	(130,167)	350,858,027

6.1.1 Freehold Property, Plant and Equipment

Cost/valuation	Balance as at 1 January 2019 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Increase/ Decrease in Revaluation Rs.	Elimination Rs.	Exchange Movement Rs.	Total as at 31 December 2019 Rs.
Motor Vehicles	13,938,731	-	(2,000,000)	-	-	(9,594)	11,929,137
Computer Equipment	82,739,355	2,524,833	-	-	-	(45,313)	85,218,875
Other Equipment	108,263,764	6,766,791	-	-	-	(23,239)	115,007,316
Furniture and Fittings	125,125,870	14,477,731	(848,883)	-	-	(52,021)	138,702,698
Total Value of Depreciable Assets	330,067,721	23,769,355	(2,848,882)	-	-	(130,167)	350,858,026

Depreciation	Balance as at 1 January 2019 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Increase/ Decrease in Revaluation Rs.	Elimination Rs.	Exchange Movement Rs.	Total as at 31 December 2019 Rs.
Motor Vehicles	1,570,746	2,368,464	(298,082)	-	-	(9,594)	3,631,534
Computer Equipment	73,740,807	4,371,445	-	-	-	(1,684,416)	76,427,835
Other Equipment	87,198,048	7,357,011	-	-	-	1,627,910	96,182,968
Furniture and Fittings	78,433,879	10,665,611	(848,883)	-	-	(20,805)	88,229,803
Total Depreciation	240,943,480	24,762,530	(1,146,965)	-	-	(86,905)	264,472,141
Carrying Amount	89,124,241						86,385,886

6.1.2 Net Book Values

Year Ended 31 December	2019 Rs.	2018 Rs.
Freehold	86,385,886	89,124,241
Total Carrying Amount of Property, Plant and Equipment	86,385,886	89,124,241

6.1.3 Acquisition of Property, Plant and Equipment During the Year - Group

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.23,769,355/- (2018 - Rs.36,391,604/-) for cash considerations.

6.1.4 Fully Depreciated Property, Plant and Equipment in Use - Group

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.184,017,122/- (2018 - Rs.115,486,210/-).

6.2 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.3 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31 December 2019. Based on the assessment, no impairment indicators were identified.

6.4 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.5 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2019.

6.6 Company

Cost/Valuation	Notes	Balance as at 1 January 2019 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31 December 2019 Rs.
Freehold	6.6.1	274,853,700	1,738,362	(2,000,000)	274,592,062
		274,853,700	1,738,362	(2,000,000)	274,592,062

6.6.1 Freehold Property, Plant and Equipment

Cost/valuation	Balance as at 1 January 2019 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31 December 2019 Rs.
Motor Vehicles	12,030,000	-	(2,000,000)	10,030,000
Computer Equipment	67,516,190	-	-	67,516,190
Other Equipment	92,227,052	1,396,740	-	93,623,792
Furniture and Fittings	103,080,459	341,622	-	103,422,081
Total Value of Depreciable Assets	274,853,700	1,738,362	(2,000,000)	274,592,062

Depreciation	Balance as at 1 January 2019 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31 December 2019 Rs.
Motor Vehicles	-	2,300,904	(298,082)	2,002,822
Computer Equipment	62,053,623	1,909,135	-	63,962,758
Other Equipment	82,379,944	4,157,765	-	86,537,709
Furniture and Fittings	66,662,856	7,051,339	-	73,714,195
Total Depreciation	211,096,423	15,419,143	(298,082)	226,217,484
Carrying Amount	63,757,277			48,374,578

6.6.2 Net Book Values

Year Ended 31 December	2019 Rs.	2018 Rs.
Freehold	48,374,578	63,757,277
Total Carrying Amount of Property, Plant and Equipment	48,374,578	63,757,277

6.6.3 Acquisition of Property, Plant and Equipment During the Year - Company

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs.1,738,362/- (2018 - Rs.15,743,653-) for cash considerations..

6.6.4 Fully-Depreciated Property, Plant and Equipment in Use - Company

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.169,603,212/- (2018 - Rs.101,072,300/-).

6.6.5 Revaluation

Company

In 2018, The Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows:

Year Ended 31 December	2019 Rs.	2018 Rs.
Cost	12,546,422	15,596,422
Accumulated Depreciation	(4,752,924)	(5,051,006)
Carrying Value	7,793,498	10,545,416

Other Group Companies

Amāna Takaful Life PLC

In 2018, Amāna Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

Year Ended 31 December	2019 Rs.	2018 Rs.
Cost	10,312,726	10,312,726
Accumulated Depreciation	(7,542,449)	(5,499,524)
Carrying Value	2,770,276	4,813,202

6.7 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.8 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31 December 2019. Based on the assessment, no impairment indicators were identified.

6.9 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.10 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2019.

7. Investment Property

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Balance as at 1 January	220,429,000	79,925,000	75,500,000	79,925,000
Addition during the year	-	145,999,000	-	-
Disposals during the year	(29,500,000)	-	(29,500,000)	-
Net Gain/Loss from Fair Value Adjustment	3,071,000	(5,495,000)	500,000	(4,425,000)
Balance as at 31 December	194,000,000	220,429,000	46,500,000	75,500,000

7.1 During the financial year, the Amāna Takaful PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.240,000/- (2018 - Rs.330,700/-). Amāna Takaful Life PLC has not incurred direct operating expenses on the investment property in 2019 (2018 - Rs.Nil).

7.2 Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P P T Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31 December 2019.

The Group fair value measurement for investment property of Rs.194,000,000/- (2018- Rs.220,429,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Address	Extent	Fair Value 2019 Rs.	Per Perch/Sq. ft. Value Rs.	Fair Value 2018 Rs.	Per Perch/Sq. ft. Value Rs.
Amāna Takaful PLC					
A. Yalegoda Estate, Piligalla, Kandy					
- Land	50 Perches	-	-	10,000,000	200,000 Per Perch
B. 58/19, Ramyaweera Mawatha, Orugodawattha					
- Land	39 Perches	-	-	19,500,000	500,000 Per Perch
C. 107/15, Buthgamuwa Road, Rajagiriya					
- Building	1700 sq.ft.	46,500,000	27,059 per sq. ft.	46,000,000	27,059 per sq. ft.
Amāna Takaful Life PLC					
451, Old Moor Street, Colombo 12					
- Land	5.5 Perches	137,500,000	24,500,000 per Perch	134,750,000	24,500,000 per Perch
- Building	2,610 sq. ft	10,000,000	3,900 per sq. ft	10,179,000	3,900 per sq. ft

7.4 Sensitivity

The Group investment property reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2019	
	Increase	Decrease
Amāna Takaful PLC		
Per square Feet (Rs.1000 movement)	1,700,000	(1,700,000)
Amāna Takaful Life PLC		
Per Perch Value (Rs.100,000 movement)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)

8. Investments in Subsidiaries

Company	Holding		Number of Shares		Cost	
	2019 %	2018 %	2019	2018	2019 Rs.	2018 Rs.
Amāna Global Limited	100	100	33,333	33,333	37,125,000	37,125,000
Amāna Takaful Life PLC	82.7	82.7	41,150,000	41,150,000	411,500,000	411,500,000
Amāna Takaful (Maldives) PLC	55	55	11,133,308	11,133,308	641,367,811	641,367,811
Provision for Amāna Global Limited					(37,125,000)	(37,125,000)
					1,052,867,811	1,052,867,811

Principal place of business of Subsidiary company Amāna Takaful Life PLC and Amāna Global Ltd is in Sri Lanka. The principal place of business of Amāna Takaful Maldives PLC is in Maldives.

9. Financial Assets

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Financial Assets at Fair Value Through Profit and Loss	9.2.1	559,286,964	88,086,419	-	-
Available-for-Sale Financial Assets	9.2.2	50,039,119	318,521,556	525,000	525,000
Loans and Receivable	9.2.3	2,222,361,971	2,428,572,752	838,855,544	836,967,607
		2,831,688,054	2,835,180,727	839,380,544	837,492,607

9.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

9.2 Classification of Financial Assets

9.2.1 Financial Assets at Fair Value Through Profit and Loss

As at 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Investments in Equity Securities	9.3.1	559,286,964	88,086,419	-	-
		559,286,964	88,086,419	-	-

9.2.2 Available-For-Sale Financial Assets

As at 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Investments in Equity Securities - Quoted	9.3.2	21,483,888	28,956,551	-	-
Unit Trust:					
- Candor Balance Fund		12,944,847	12,423,578	-	-
- Candor Income Fund		15,085,384	14,137,927	-	-
Investments in Equity Securities - Unquoted**	9.3.3	525,000	263,003,500	525,000	525,000
		50,039,119	318,521,556	525,000	525,000

** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

9.2.3 Loans and Receivable

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Repurchase Agreements		571,002,297	664,719,396	265,375,922	284,967,602
Fixed Term Investments		1,637,612,055	1,750,329,688	560,055,696	538,898,555
Advances to Company Officers	9.2.4	13,747,619	13,523,668	13,423,926	13,101,450
		2,222,361,971	2,428,572,752	838,855,544	836,967,607

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

** The Group Loans and Receivables includes a provision of Rs.75,658,959/- (2018-75,658,959/-). The said provision will be revised upon recovery.

9.2.4 Advances to Company Officers

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Balance at the Beginning of the Year	13,523,668	14,912,404	13,101,450	12,591,596
Loans Granted During the Year	15,981,366	16,305,496	15,657,673	15,883,277
Less: Repayments During the Year	(15,757,415)	(17,694,231)	(15,335,197)	(15,373,423)
Balance at the end of the Year	13,747,619	13,523,668	13,423,926	13,101,450
Less: Provision for Impairment	-	-	-	-
	13,747,619	13,523,668	13,423,926	13,101,450

9.3 Investments in Equity Securities

9.3.1 Quoted

Year Ended 31 December	Group				Company			
	2019		2018		2019		2018	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Access Engineering PLC	-	-	70,000	987,000	-	-	-	-
Amāna Bank PLC	10,937,500	25,156,250	10,937,500	33,906,250	-	-	-	-
Alumex PLC	-	-	47,500	641,250	-	-	-	-
Piramal Glass Ceylon PLC	-	-	301,209	1,084,352	-	-	-	-
Chevron Lubricants Lanka PLC	-	-	40,100	2,919,280	-	-	-	-
Colombo Dockyard PLC	-	-	22,341	1,242,160	-	-	-	-
Dhivehi Raajjeyege Gulhun PLC	2,270	2,800,279	2,270	2,146,657	-	-	-	-
Haycarb PLC	-	-	10,000	1,300,000	-	-	-	-
Kelani Valley Plantations PLC	-	-	11,100	1,106,670	-	-	-	-
Tokyo Cement Company (Lanka) PLC-Non Voting	-	-	60,000	1,380,000	-	-	-	-
Ooredoo	100,000	42,294,960	100,000	41,372,800	-	-	-	-
Maldives Islamic Bank	1,125,000	489,035,475	-	-	-	-	-	-
At Fair Value Through Profit or Loss	-	559,286,964	-	88,086,419	-	-	-	-

9.3.2 Quoted

	Group				Company			
	2019		2018		2019		2018	
Year Ended 31 December	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Amāna Bank PLC	9,340,821	21,483,888	9,340,821	28,956,551	-	-	-	-
Available-for-Sale Investments at Fair Value		21,483,888	-	28,956,551	-	-	-	-

9.3.3 Unquoted

	Group				Company			
	2019		2018		2019		2018	
Year Ended 31 December	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Available-for-Sale Financial Assets Reclassified to Profit or Loss								
Cleanco (Pvt) Ltd.	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Maldives Islamic Bank	-	-	9,000	262,478,500	-	-	-	-
Available-for-Sale Investments at Fair Value		525,000	-	263,003,500		525,000	-	525,000

Amāna Takaful (Maldives) PLC (ATM) purchased Maldives Islamic Bank's (MIB) un-quoted 9,000 shares at the rate of MVR. 2,467/- in 2018. In 2019, there was a Share split process of 1: 100 shares. Therefore Number of shares held by ATM increased to 900,000 and price per share reduced to MVR. 24.67. Additional 225,000 un-quoted shares were purchased by ATM at the rate of MVR. 35/- under a rights issue process. After the rights issue, MIB listed its shares in Maldives Stock Exchange.

9.4 Financial Instruments – Fair Value and Risk Management

Fair value hierarchy for assets carried at fair value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly. (i.e., as prices) or indirectly (i.e., derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The following table shows the fair value hierarchy of the financial assets carried at fair value:

9.4.1 Accounting Classifications and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities:

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

31 December 2019	Carrying Amount				Fair Value			
	Loans And Receivables	Available for Sale	Fair Value Through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Financial Assets Measured at Fair Value								
Equity securities – Quoted	-	21,483,888	559,286,964	580,770,852	580,770,852	-	-	580,770,852
Equity Securities – Unit Linked	-	-	58,391,703	58,391,703	58,391,703	-	-	58,391,703
Unit Trust	-	28,030,231	-	28,030,231	-	28,030,231	-	28,030,231
Unit Trust – Unit Linked	-	28,900,391	-	28,900,391	-	28,900,391	-	28,900,391
	-	78,414,510	617,678,667	696,093,177	639,162,555	56,930,622	-	696,093,177
Financial Assets not Measured at Fair Value								
Repurchase Agreements	571,002,297	-	-	571,002,297	-	-	-	-
Equity securities – Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	1,637,612,055	-	-	1,637,612,055	-	-	-	-
Advances to Company Officers	13,747,619	-	-	13,747,619	-	-	-	-
Repurchase Agreements – Unit Linked	30,110,959	-	-	30,110,959	-	-	-	-
Mudharaba Investments – Unit Linked	1,598,806,981	-	-	1,598,806,981	-	-	-	-
	3,851,279,911	525,000	-	3,851,804,911	-	-	-	-
	3,851,279,911	78,939,510	617,678,667	4,547,898,088	639,162,555	56,930,622	-	696,093,177

9.4.2 Company

31 December 2019	Carrying Amount				Fair Value			
	Loans And Receivables	Available for Sale	Fair Value Through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets not Measured at Fair Value								
Repurchase Agreements	265,375,922	-	-	265,375,922	-	-	-	-
Fixed Term Investments	560,055,696	-	-	560,055,696	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	13,423,926	-	-	13,423,926	-	-	-	-
	838,855,544	525,000	-	839,380,544	-	-	-	-

9.4.3 Group

31 December 2018	Carrying Amount				Fair Value			
	Loans And Receivables	Available for Sale	Fair Value Through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Financial Assets Measured at Fair Value								
Equity securities - Quoted	-	28,956,551	88,086,419	117,042,970	117,042,970	-	-	117,042,970
Equity Securities - Unit Linked	-	-	61,432,832	61,432,832	61,432,832	-	-	61,432,832
Unit Trust	-	26,561,505	-	26,561,505	-	26,561,505	-	26,561,505
Unit Trust - Unit Linked	-	27,007,989	-	27,007,989	-	27,007,989	-	27,007,989
	-	82,526,045	149,519,252	232,045,297	178,475,802	53,569,494	-	232,045,297
Financial Assets not Measured at Fair Value								
Repurchase Agreements	664,719,396	-	-	664,719,396	-	-	-	-
Equity securities - Unquoted	-	263,003,500	-	263,003,500	-	-	-	-
Fixed Term Investments	1,750,329,688	-	-	1,750,329,688	-	-	-	-
Advances to Company Officers	13,523,668	-	-	13,523,668	-	-	-	-
Repurchase Agreements - Unit Linked	20,056,658	-	-	20,056,658	-	-	-	-
Mudharaba Investments - Unit Linked	1,512,710,987	-	-	1,512,710,987	-	-	-	-
	3,961,340,397	263,003,500	-	4,224,343,897	-	-	-	-
	3,961,340,397	345,529,545	149,519,252	4,456,389,193	178,475,802	53,569,494	-	232,045,297

9.4.4 Company

31 December 2018	Carrying Amount				Fair Value			
	Loans and Receivables	Available for Sale	Fair Value Through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets not Measured at Fair Value								
Repurchase Agreements	284,967,602	-	-	284,967,602	-	-	-	-
Mudharaba Investments	538,898,555	-	-	538,898,555	-	-	-	-
Equity securities – Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	13,101,450	-	-	13,101,450	-	-	-	-
	836,967,607	525,000	-	837,492,607	-	-	-	-

10. Contribution (Premium) Receivables

Year ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Contribution (Premiums) Receivable from Participants	400,679,448	563,324,251	206,362,726	381,612,444
Contribution (Premium) Receivable from Agents, Brokers and Intermediaries	189,261,011	147,920,478	189,261,011	147,920,478
Contribution (Premium) Receivable – Net	589,940,459	711,244,729	395,623,737	529,532,922

The Board of Directors has assessed potential impairment loss of premium receivable as at 31 December 2019. Based on the assessment, no impairment provision has been made in the Consolidated and Separate Financial Statements as at the reporting date in respect of premium receivable.

11. Other Assets

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Financial Assets	11.1	141,118,722	135,773,809	67,140,725	93,488,068
Non-Financial Assets	11.2	69,471,976	116,964,038	25,922,599	41,908,611
		210,590,698	252,737,848	93,063,324	135,396,673

11.1 Financial Assets

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Other Receivables	141,118,722	135,773,809	64,063,274	86,007,671
Amount Due from Related Party	-	-	3,077,451	7,480,397
	141,118,722	135,773,809	67,140,725	93,488,068

11.2 Non-Financial Assets

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Deposits, Advances and Prepayments	69,471,976	116,964,038	25,922,599	41,908,611
	69,471,976	116,964,038	25,922,599	41,908,611

12. Financial Assets - Unit Linked

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Financial Assets at Fair Value Through Profit and Loss	12.1	58,391,703	61,432,832	-	-
Available for Sale	12.2	28,900,391	27,007,989	-	-
Loans and Receivable	12.3	1,628,917,940	1,532,767,645	-	-
		1,716,210,034	1,621,208,465	-	-

** The Group Loan and Receivable includes a provision of Rs. 75,658,959 (2018-75,658,959/-). The said provision will be revised upon recovery.

12.1 Financial Assets at Fair Value through Profit and Loss

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Investment in Equity Securities	12.4	58,391,703	61,432,832	-	-
		58,391,703	61,432,832	-	-

12.2 Available for Sale

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Unit Trust - Candor Income Fund	28,900,391	27,007,989	-	-
	28,900,391	27,007,989	-	-

12.3 Loans and Receivable

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Repurchase Agreements	30,110,959	20,056,658	-	-
Mudharaba Investments	1,598,806,981	1,512,710,987	-	-
	1,628,917,940	1,532,767,645	-	-

12.4 Investments in Equity Securities - Unit Linked

Year Ended 31 December	Group			
	2019		2018	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Access Engineering PLC	432,148	9,420,826	797,148	11,239,787
ACL Cables PLC	78,142	4,493,165	78,142	2,891,254
Alumex PLC	-	-	184,653	2,492,816
Dipped Products PLC	28,137	2,363,508	28,137	2,391,645
Colombo Dockyard PLC	22,948	1,422,776	22,948	1,275,909
Piramal Glass Ceylon PLC	800,001	3,600,005	522,240	1,984,512
Chevron Lubricants Lanka PLC	124,434	9,320,107	287,439	20,925,559
Hayleys Fabric PLC	433,470	7,759,113	430,000	3,913,000
Tokyo Cement Company (Lanka) PLC - Non Voting	253,753	9,947,118	622,537	14,318,351
Bairaha Farms PLC	7,991	894,992	-	-
Teejay Lanka PLC	224,500	9,159,600	-	-
Three Acre Farms PLC	90	10,494	-	-
		58,391,703		61,432,832

13. Cash and Cash Equivalents in Cash Flow Statement Components of Cash and Cash Equivalents

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Cash and Bank Balances	260,272,858	217,105,631	167,389,849	94,692,309
Cash and Bank Balances - Unit Linked	38,197,730	8,155,160	-	-
Bank Overdrafts	(56,123,560)	-	(56,123,560)	-
Investments in Government Securities	535,049,017	457,633,696	265,375,922	284,967,602
	777,396,045	682,894,486	376,642,211	379,659,911

14. Stated Capital

Year Ended 31 December	Notes	Group			
		2019		2018	
		Number of Shares	Rs.	Number of Shares	Rs.
Fully-Paid Ordinary Shares – Voting	14.1	180,000,130	1,860,001,339	180,000,130	1,860,001,339

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

15. Other Reserves

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Reserves Consists of the Following:					
Revaluation Reserve	15.1	32,358,037	33,728,956	30,029,658	31,400,577
Translation Reserve	15.2	109,167,127	107,226,776	-	-
		141,525,164	140,955,732	30,029,658	31,400,577

15.1 Revaluation Reserve

The revaluation reserve relates to the revaluation of Property, Plant and Equipment.

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Balance as at 1 January	33,728,956	30,234,871	31,400,577	30,331,677
Change in Fair Value of Property, Plant & Equipment	-	3,494,085	-	1,068,900
Transfer of revaluation surplus to retained earnings, at the disposal	(1,370,919)	-	(1,370,919)	-
Balance as at 31 December	32,358,037	33,728,956	30,029,658	31,400,577

15.2 Translation Reserve

The translation reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Balance as at 1 January	107,226,776	52,855,527	-	-
Foreign Currency Translation Differences for Foreign Operations	1,940,351	54,371,249	-	-
Balance as at 31 December	109,167,127	107,226,776	-	-

16. Revenue Reserve

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Accumulated Profit/(Losses)				
Balance as at 1 January	(377,685,807)	(455,558,904)	(52,570,013)	(74,244,716)
Net Profit /(Loss) for the year	(337,009,988)	59,986,522	(381,490,642)	23,741,440
Fair Value Changes Taken to OCI	2,698,349	3,260,247	-	-
Defined Benefit Plan Actuarial Losses, net of Deferred Tax	(745,670)	(2,127,800)	928,180	(2,066,736)
Fair Value Gain on AFS valuation	73,478,940	39,439,117	-	-
Dividend paid	-	(22,684,989)	-	-
Transfer of Revaluation Reserve on Disposal	1,370,919	-	1,370,919	-
Balance as at 31 December	(637,893,264)	(377,685,807)	(431,761,555)	(52,570,013)

16.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

16.2 Available-for-Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognised or impaired.

17. Insurance Contract Liabilities - Non Life

17.1 Unearned Contribution (Premium)

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Gross	936,773,067	1,059,322,948	648,077,566	768,853,293
Retakaful (Reinsurance)	(156,176,935)	(140,319,841)	(156,176,936)	(140,319,841)
Unexpired Risk Reserve (UERR)	(36,200,350)	-	9,271,006	-
Net	744,395,782	919,003,106	501,171,636	628,533,452

17.2 Gross Claims Reserve

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Claims Outstanding	195,982,916	375,662,673	83,871,855	254,425,542
Claims Incurred But Not Reported (IBNR)	130,398,990	100,120,946	119,749,148	89,685,135
	326,381,906	475,783,618	203,621,002	344,110,677
	1,070,777,688	1,394,786,725	704,792,638	972,644,129

17.3 General Takaful (Insurance) Technical Reserves

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
General Insurance (Non Life) Provision	1,070,777,688	1,394,786,725	704,792,638	972,644,129
Retakaful (Reinsurance) Receivable on Outstanding Claims	(108,592,864)	(253,867,575)	(108,592,864)	(253,867,575)
	962,184,824	1,140,919,150	596,199,774	718,776,554

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 4. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 119,749,148/- (2018- Rs. 89,685,135/-) for IBNR claims reserve and Rs. 9,271,006/- (2018- Nil) for Unexpired Risk Reserve respectively.

18. Insurance Contract Liabilities - Family Takaful Fund

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following:

18.1 Insurance Contract Liabilities - Family Takaful Fund

As at 31 December	Group	
	2019 Rs.	2018 Rs.
Participant Investment Fund (PIF)	368,699,272	426,958,498
Participant Tabarru Fund (PTF) and Group Fund (GF)	98,404,367	102,192,336
Unearned premium - Group Family Takaful	4,176,753	5,816,637
	471,280,391	534,967,470

18.2 Insurance Contract Liabilities - Family Takaful Unit Linked

As at 31 December	Group	
	2019 Rs.	2018 Rs.
Unit Fund - Unit Linked	1,728,526,204	1,641,098,275
Participant Tabarru Fund and Group Fund - Unit Linked	19,033,390	19,025,755
	1,747,559,594	1,660,124,030
	2,218,839,985	2,195,091,500

As at 31 December	Group	
	2019 Rs.	2018 Rs.
18.3 Insurance Contract Liability	2,196,947,463	2,174,312,931
Surplus of the Fund	21,892,522	20,778,570
Total Insurance Contract Liability - Family Takaful Fund	2,218,839,985	2,195,091,500

18.4 The Movement in Family Takaful Fund is as Follows:

	Group	
	2019 Rs.	2018 Rs.
As at 31 December		
Balance as at 1 January	2,187,805,876	2,099,782,794
Net Change in Contract Liabilities	31,034,109	88,023,081
Balance as at 31 December	2,218,839,985	2,187,805,875

18.5 The insurance provision (Family Takaful Fund) has been based upon the following assumptions and other information:

18.5.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 2.5% p.a. and 2.0% p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5% p.a. is used which is based on the average of the last 4 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 28.1% of the variable expenses and 19.2% of the fixed expenses will be charged to the PTF for Family Takaful and Unit-Linked business. Expense inflation is assumed to be 5.0% p.a for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

18.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2019 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policy holders.

18.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance Contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia as at 31 December 2019 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31 December 2019.

19. Employee Benefits

		Group		Company	
Year Ended 31 December	Notes	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Employee Benefits - Gratuity					
Balance at 1 January		66,881,749	50,016,182	35,028,091	28,996,165
Net Benefit Expense	19.1	20,908,203	17,025,285	7,880,493	9,027,920
		87,789,953	67,041,467	42,908,584	38,024,085
Foreign Currency Translation Movement		(18,691)	3,646,156	-	-
Payments During the Year		(5,198,852)	(3,805,875)	(4,057,042)	(2,995,994)
Balance at 31 December		82,572,410	66,881,749	38,851,542	35,028,091

19.1 Net Benefit Expense

	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Included in Profit or Loss				
Interest Cost	13,834,089	9,657,527	4,126,309	2,928,612
Current Service Cost	5,968,454	5,239,958	4,682,364	4,032,572
	19,802,543	14,897,485	8,808,673	6,961,184
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	1,105,660	2,127,800	(928,180)	2,066,736
Actuarial Losses/(Gains) on Obligations	1,105,660	2,127,800	(928,180)	2,066,736
Net Benefit Expense	20,908,203	17,025,285	7,880,493	9,027,920

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piya S Goonetilleke (Fellow of the Society of Actuaries - USA) at 31 December 2019 as requires by LKAS 19, Employee Benefits.

19.2 Principal actuarial assumptions used for the Group and the Company are as follows:

	% Per Annum	
	2019	2018
(a) Discount Rate	10.5	11.78
(b) Salary Increase	9	9
(c) Incidence of Withdrawals	16	21
(d) Expected Average Future Working Life of the Active Participants	4.6 Years	4.5 Years

The Liability is not externally funded.

	2019	2018
Demographic Assumption		
(e) Retirement Age	55 years	55 years
(f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

19.3 Sensitivity of Assumptions Employed in Actuarial Valuations

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below:

	31 December 2019		31 December 2018	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% Movement)	(1,700,032)	1,873,036	(1,574,233)	1,742,289
Future Salary Growth (1% Movement)	1,885,994	(1,715,819)	1,740,171	(1,599,421)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

20. Other Liabilities - Unit Linked

	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Financial Liabilities	20.1	15,595,782	13,134,356	-	-
Non-Financial Liabilities	20.2	35,390,900	38,151,252	-	-
		50,986,682	51,285,609	-	-

20.1 Financial Liabilities

	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Retakaful Payable	15,595,782	13,134,356	-	-
	15,595,782	13,134,356	-	-

20.2 Non-Financial Liabilities

	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Advances Received	24,144,780	20,939,015	-	-
Other Creditors	11,246,120	17,212,238	-	-
	35,390,900	38,151,252	-	-

21. Other Liabilities

		Group		Company	
Year Ended 31 December	Notes	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Financial Liabilities	21.1	398,416,417	249,920,508	126,118,106	122,024,828
Non-Financial Liabilities	21.2	433,403,384	403,783,724	48,534,015	61,092,118
		831,819,801	653,704,232	174,652,121	183,116,946

21.1 Financial Liabilities

		Group		Company	
Year Ended 31 December		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Retakaful Payable		398,416,417	249,920,508	116,369,475	120,192,628
Amount Due to Related Party		-	-	9,748,632	1,832,200
		398,416,417	249,920,508	126,118,106	122,024,828

21.2 Non-Financial Liabilities

		Group		Company	
Year Ended 31 December		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Accrued Liabilities		198,636,758	109,733,225	25,995,242	30,740,874
Other Creditors		219,472,966	269,284,395	22,538,773	30,351,244
Income Tax Payable		15,293,660	24,766,103	-	-
		433,403,384	403,783,724	48,534,015	61,092,118

22. Subordinated Debt

		Group		Company	
As at 31 December		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Unsecured Subordinated Debt		226,250,333	46,599,805	272,402,200	97,024,473
		226,250,333	46,599,805	272,402,200	97,024,473

The details of the above instrument are as follows:

Purpose/Rationale	Invested Party	Relationship	Face Value Rs.	Repayment Terms
To meet the Risk Based Capital Requirements	Amana Takaful (Maldives) PLC	Related Company	117,681,913	5 Years
To meet the Risk Based Capital Requirements	Others	Investors	154,720,287	5 Years
			272,402,200	

22.1 Maturity Analysis of Subordinated Debt

	Group		Company	
As at 31 December	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Less than 1 year	15,000,000	-	15,000,000	-
1 to 5 years	211,250,333	46,599,805	257,402,200	97,024,473
More than 5 years	-	-	-	-
	226,250,333	46,599,805	272,402,200	97,024,473

23. Right Of Use Assets

Set out below are the carrying amounts of right-of-use assets recognised and the movement during the year.

	Group		Company	
Year Ended 31 December	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Cost				
Balance as at 1 January 2019	6,900,000	-	18,078,914	-
Effect of adoption of SLFRS 16 as at 1 January 2019	262,611,741	-	-	-
Restated balance as at 1 January 2019	269,511,741	-	18,078,914	-
Additions & Improvements	-	-	-	-
Exchange Gain/loss	(1,401,062)	-	-	-
Cost as at 31 December 2019	268,110,679	-	18,078,914	-
Accumulated Depreciation				
Balance as at 1 January 2019	-	-	-	-
Effect of adoption of SLFRS 16 as at 1 January 2019	-	-	-	-
Restated balance as at 1 January 2019	-	-	-	-
Depreciation Charge for the period	(12,738,100)	-	(4,259,938)	-
Exchange Gain/loss	(38,133)	-	-	-
Accumulated Depreciation 31 December 2019	(12,776,233)	-	(4,259,938)	-
Carrying Amount	255,334,446	-	13,818,976	-

The Company as a lessee has applied SLFRS 16 as initial application with effect from 1 January 2019 using the modified, retrospective approach and therefore the comparative information has not been restated and continues to be reported under LKAS 17.

23.1 Lease Liability

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Balance as at 1 January	3,849,823	8,527,568	-	2,145,968
Effect of adoption of SLFRS 16 as at 1 January	118,285,501	-	16,859,633	
Restated balance as at 1 January	122,135,324	8,527,568	16,859,633	2,145,968
Interest Expense	5,229,050	-	2,218,765	
Repayments	(13,746,220)	(4,060,448)	(5,024,583)	(2,145,968)
Exchange Gain/loss	(520,497)	-	-	-
Balance as at 31 December	113,097,657	4,467,120	14,053,815	-
Unamortised Profit	-	(617,297)	-	-
Net Liability	113,097,657	3,849,823	14,053,815	-

23.2 Lease Liabilities as at 1 January 2019 can be reconciled to the Operating Lease commitments as of 31 December 2018, as follows:

Year Ended 31 December	Group	Company
	2019 Rs.	2019 Rs.
Operating Lease commitments as at 31 December 2018	207,554,114	51,957,864
Weighted Average Incremental Borrowing rate as at 1 January 2019	14% & 6.5%	14%
Discounted operating Lease commitments as at 1 January 2019	144,308,491	42,514,201
Less:		
Commitments relating to Short term leases	(26,022,989)	(25,654,568)
Commitments relating to leases of low value	-	-
Add:		
Commitments relating to leases previously classified as finance leases	3,849,823	-
Lease payment relating to renewal periods not included in operating lease commitments as at 31 December 2018	-	-
Total Lease Liabilities as at 1 January 2019	122,135,324	16,859,633

The present value of operating lease commitments as at 1 January 2019 has been calculated using weighted average incremental borrowing rates of 14% for the company & subsidiary - Amāna Takaful Life PLC, 6.5% for subsidiary - Amāna Takaful Maldives PLC. The company has elected not to recognise right of use assets and lease liabilities for leases of low value assets and short term leases. The company recognises the lease payments associated with these leases an expense on a straight line basis over the lease term.

23.3 Maturity Analysis of Lease Liability

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Less than 1 year	29,035,038	1,914,480	4,604,687	-
1 to 5 years	114,477,118	2,552,640	12,845,662	-
More than 5 years	163,358,996	-	-	-

24. Short-Term Borrowings - Wakala Facility

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Opening Balance	200,777,276	187,698,284	200,777,276	187,698,284
Obtained During the Year	477,000,000	587,247,498	477,000,000	587,247,498
Repayments	(519,919,785)	(574,168,506)	(519,919,785)	(574,168,506)
At the End of the Year	157,857,492	200,777,276	157,857,492	200,777,276

24.1 The Company's investment in Amāna Takaful Life PLC (Subsidiary), valued at Rs. 411,500,000/- have been pledged as security for this facility.

25. Gross Written Contribution

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
General Takaful (Insurance)				
Motor	1,065,454,542	1,151,749,973	993,157,707	1,100,224,880
Fire	790,615,511	509,372,045	260,803,321	203,715,986
Marine	264,723,423	275,647,717	127,528,153	151,199,448
Medical	919,916,187	971,521,651	217,279,197	303,896,054
Miscellaneous	384,359,552	477,660,719	233,284,569	243,352,937
	3,425,069,214	3,385,952,105	1,832,052,947	2,002,389,304
Long-Term Policies				
Unit Linked	763,089,978	712,282,522	-	-
Family Takaful	60,280,672	79,332,430	-	-
Mortgage and Group Family Takaful	27,335,799	36,332,555	-	-
	850,706,450	827,947,507	-	-
	4,275,775,664	4,213,899,613	1,832,052,947	2,002,389,304

26. Income from investments

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Investment Income	26.1	375,786,177	364,622,848	92,368,259	116,557,924
Fair Value Gain/(Loss) on Investment Properties		500,000	(5,495,000)	500,000	(4,425,000)
Net Realised Capital Gain or (Losses)		(30,077,744)	214,247	-	-
Unrealised Capital Gain or (Losses)		32,723,388	(55,692,225)	-	-
		378,931,821	303,649,871	92,868,259	112,132,924

26.1 Investment Income

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Dividend Income		16,877,141	16,419,719	16,960,173	22,684,989
Income from Fixed Term Deposits		297,242,062	287,946,329	51,142,434	68,913,647
Interest Income from Investment in Government Securities	26.2	61,666,970	60,173,019	24,265,652	24,959,287
Income from Unit Trust		-	83,781	-	-
		375,786,177	364,622,848	92,368,259	116,557,924

26.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

27. Other Income

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Profit on Disposal of Property, Plant and Equipment	890,582	-	890,582	-
Sundry Income	107,127,819	75,464,538	52,876,837	45,537,506
Fund Management Fee Income	83,068,826	80,674,649	-	-
Rental Income	5,210,000	3,200,000	1,710,000	1,200,000
Salvage Income	3,237,400	4,887,416	3,237,400	4,887,416
Exchange Gain/(Loss)	884,298	10,096,511	851,555	9,868,648
	200,418,925	174,323,114	59,566,374	61,493,570

28. Total Revenue

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Gross Written Contribution (Premium)	4,275,775,664	4,213,899,613	1,832,052,947	2,002,389,304
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(1,156,962,914)	(832,979,375)	(482,358,879)	(388,004,377)
Net Written Contribution (Premium)	3,118,812,750	3,380,920,237	1,349,694,068	1,614,384,927
Net Change in Reserve for Unearned Contribution (Premium)	173,788,550	(156,111,084)	127,361,817	(73,200,586)
Net Earned Contribution (Premium)	3,292,601,300	3,224,809,153	1,477,055,884	1,541,184,341
Income from Investments	378,931,821	303,649,871	92,868,259	112,132,924
Fair value gain from investment transferred	-	-	-	54,545,459
Fair Value Gains and Losses	-	39,439,117	-	-
Other Income	200,418,925	174,323,114	59,566,374	61,493,570
Total Revenue	3,871,952,047	3,742,220,715	1,629,490,517	1,769,356,293

29. Takaful (Insurance) Claims and Benefits (Net)

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	664,805,973	573,138,759	656,421,746	570,402,406
Fire	542,802,154	187,136,181	421,767,709	177,111,901
Marine	188,900,837	70,762,379	67,366,374	63,551,378
Medical	506,967,165	395,726,708	217,427,402	201,679,705
Miscellaneous	387,763,542	456,940,609	156,624,169	83,187,789
	2,291,239,671	1,683,704,636	1,519,607,399	1,095,933,179
Retakaful (Reinsurance) Recoveries	(638,229,454)	(296,245,292)	(464,500,452)	(220,056,002)
General Insurance Claims & Benefits (Net)	1,653,010,217	1,387,459,344	1,055,106,947	875,877,178
Family Takaful (Long-Term Insurance)				
Claims Incurred	81,972,504	71,896,890	-	-
Surrenders	428,413,917	399,762,430	-	-
Policy Maturities	39,999,464	51,364,521	-	-
Interim Payments/Part withdrawals	41,509,015	20,422,425	-	-
Long Term Insurance Claims & Benefits	591,894,900	543,446,265	-	-
	2,244,905,116	1,930,905,608	1,055,106,947	875,877,178

30. Other Operating and Administration Expenses

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Staff Expenses	30.1	721,267,341	747,209,758	363,871,641	374,722,797
Administration & Establishment Expenses		580,980,354	564,776,554	252,199,686	224,277,732
Selling Expenses		111,986,236	72,936,706	81,744,486	57,082,420
Depreciation ROU Assets		12,776,233	-	4,259,938	-
Depreciation		24,731,787	28,094,510	15,419,143	19,250,659
		1,451,741,952	1,413,017,528	717,494,894	724,833,608

30.1 Staff Expenses

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Wages, Salaries, Travel & Bonuses	605,045,416	557,244,469	302,002,708	311,034,659
Contribution to Defined Contribution Plans - EPF and ETF	54,183,923	84,715,377	34,361,375	32,679,767
Staff Welfare	24,058,879	63,663,603	16,626,306	15,264,078
Staff Training	9,265,519	16,984,566	2,072,579	8,783,109
Medical Claims	8,799,235	9,704,258	-	-
Gratuity	19,914,368	14,897,484	8,808,674	6,961,184
	721,267,341	747,209,758	363,871,641	374,722,797

31. Amortisation

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Intangible Asset	8,212,337	6,524,847	2,142,711	1,967,678
	8,212,337	6,524,847	2,142,711	1,967,678

32. The Profit/(Loss) from Operations for the Year is Stated after Charging/(Crediting) the Following:

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Directors' Emoluments - Executive	20,899,021	20,981,674	-	-
- Non-Executive	8,276,922	9,665,343	4,676,985	3,729,878
Auditors' Remuneration (Fees)				
- Audit	4,697,614	3,781,656	1,616,645	1,510,620
- Audit-Related Other	808,685	1,048,864	397,149	328,654
- Non-Audit	577,476	583,964	322,138	133,470
Depreciation	24,731,787	28,094,510	15,419,143	19,250,659
Depreciation ROU Assets	12,776,233	-	4,259,938	-
Advertisement Costs	39,409,402	36,599,440	39,409,402	20,745,154
Amortisation of Intangibles	8,212,337	8,087,347	2,142,711	1,967,678
Staff Cost	721,267,341	747,209,758	363,871,641	374,722,797
Profit on Disposal of Property, Plant & Equipment	890,582	398,305	890,582	-

33. Finance Cost

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Profit Mark up on Lease (Ijara) Facility	4,736,342	780,942	2,218,765	33,906
Finance Cost on Subordinated Debt	5,982,328	7,570,117	8,678,560	7,570,117
Profit Mark up on Wakala Facility	22,095,549	26,767,117	22,095,549	26,767,117
	32,814,219	35,118,177	32,992,874	34,371,140

34. Income Tax Expense

Year Ended 31 December	Notes	Group		Company	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Current Income Tax	34.1	(27,852,640)	(39,478,791)	-	-
Fair Value gain/(loss) of Investment Property		-	1,239,000	-	1,239,000
Over/(Under) Provision from Previous Years		-	-	-	-
		(27,852,640)	(38,239,791)	-	1,239,000
Deferred Tax		(97,498,554)	9,227,994	(96,792,137)	(1,483,089)
		(97,498,554)	9,227,994	(96,792,137)	(1,483,089)
Tax Expense	34.1	(125,351,194)	(29,011,797)	(96,792,137)	(244,089)
Recognised in Profit or Loss		(125,351,194)	(29,011,797)	(96,792,137)	(244,089)
Recognised in Other Comprehensive Income		-	-	-	-
		(125,351,194)	(29,011,797)	(96,792,137)	(244,089)

34.1 Tax Reconciliation Statement

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Accounting Profit/(Loss) before Tax	(151,818,932)	133,203,743	(284,698,505)	23,985,529
Aggregate Disallowed Items	347,694,484	192,061,903	82,318,343	27,923,384
Aggregate Allowable Expenses	(382,122,956)	(47,762,403)	(113,112,853)	(37,597,612)
Total Statutory Income/(Losses)	(186,247,404)	277,503,243	(315,493,015)	14,311,301
Utilisation of tax losses	(17,175,603)	(14,311,301)	-	(14,311,301)
Consolidated Adjustment	389,107,274	-	-	-
Taxable Income	185,684,267	263,191,942	-	-
Tax @ 15%	(27,852,640)	(38,239,791)	-	-
Tax @ 28%	-	-	-	-
Income Tax Expense for the Year	(27,852,640)	(38,239,791)	-	-
Deferred taxation charge/(reversal)	(97,498,554)	9,227,994	(96,792,137)	(244,089)
Total Tax Expense	(125,351,194)	(29,011,797)	(96,792,137)	(244,089)

34.1.1 Amāna Takaful Maldives PLC is liable for income tax at 15% (2018 – 15%) on the taxable income for the Year of Assessment 2019, and the income tax expense recognised during the year is from Amāna Takaful Maldives PLC.

34.1.2 Amāna Takaful PLC is liable for income tax at 28% (2018 – 28%) on the taxable income for the Year of Assessment 2019.

34.1.3 Amāna Global Ltd is liable for income tax at 15% (2018 - 15%) on the taxable income for the Year of Assessment 2019.

34.1.4 Amāna Takaful Life PLC is liable for income tax at 28% (2018 - 28%) on the taxable income for the Year of Assessment 2019.

34.1.5 Income tax assessment relating to years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16 & 2016/17.

The Department of Inland Revenue has raised an assessment for the following years of assessment:

- Year of Assessment 2010/11: assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12: an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation.
- Year of Assessment 2012/13: assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2013/14: assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2014/15: assessing the Life Insurance business to pay an income tax liability of Rs. 18,544,683/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2015/16: assessing the Life Insurance business to pay an income tax liability of Rs. 39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17: assessing the General Insurance business to pay an Vat liability of Rs. 28,592,893/- . The Company has lodged a valid appeal against the said assessment.

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16 & 2016/17. Therefore, the above assessments have no rationale or basis in law.

34.2 Deferred Tax Asset

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Tax Losses Brought Forward	2,275,204,138	1,746,214,571	1,400,912,691	1,096,288,898
Tax Losses of which Deferred Tax Asset was not recognised	(2,275,204,138)	(1,153,671,257)	(1,400,912,691)	(752,153,195)
Available for sale financial assets	-	2,703,514	-	-
Unrealised fair value loss	69,108,118	-	-	-
Defined Benefit Obligation	82,572,410	59,799,869	38,851,542	35,028,091
Defined Benefit Obligation which Deferred Tax Asset was not recognised	(48,942,435)	-	(38,851,542)	-
	102,738,093	655,046,697	-	379,163,794
Deferred Tax Assets @ 15% & 28%	15,410,714	98,257,005	-	106,165,862
Recognised Deferred Tax Asset	15,410,714	98,257,005	-	106,165,862

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Deferred Tax Liability				
Property, Plant and Equipment	(99,112,561)	(43,689,824)	(36,272,555)	(33,021,528)
Property, Plant and Equipment which Deferred Tax Liability was not recognised	36,272,555		36,272,555	
Revaluation Gain	-	37,009,989	-	415,683
Fair Value gain/(loss) of Investment Property	3,925,000	4,425,000	3,925,000	4,425,000
Fair Value gain/(loss) of Investment Property which Deferred Tax Asset was not recognised	(3,925,000)		(3,925,000)	
Total Taxable Temporary Differences	(62,840,006)	(2,254,835)	-	(28,180,845)
Deferred Tax Liability @ 15% & 28%	(9,426,001)	(4,001,735)	-	(7,890,636)
Deferred income tax charge/ (reversal)	-	9,227,994	-	(1,483,089)
Net Deferred Tax Asset	5,984,713	103,483,264	-	96,792,137

34.3 Movement in Temporary Differences During the Year

Year Ended 31 December	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Balance at 1 January	103,483,264	105,048,241	96,792,137	97,451,909
Recognised in Total Comprehensive Income				
Tax Losses brought forwards	-	(5,187,496)	-	3,623,486
Unrealised fair value loss	1,469,713	-	-	-
Defined Benefit Obligation	1,328,728	17,935,845	-	9,807,865
Fair Value gain/(loss) of Investment Property	-	1,239,000	-	1,239,000
Property, Plant and Equipment	(3,504,857)	(18,113,973)	-	(15,330,124)
Available for sale financial assets	-	2,561,646	-	-
Write Off*	(96,792,137)	-	(96,792,137)	-
	(97,498,554)	(1,564,978)	(96,792,137)	(659,772)
Balance at 31 December	5,984,713	103,483,264	-	96,792,137

34.4 Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and the level of future taxable profits together with future tax planning strategies. though company recognised deferred tax assets was amounting to Rs.96,792,137 in 2018, this year Company has not recognised deferred tax assets over the brought forward tax loss, Defined Benefit Obligation and Fair Value loss of Investment Property. since the doubt of recoverability of the deferred tax asset.

Amāna Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognised amounting to Rs. 1,400,912,691/- (2018 - Rs. 752,153,195/-), The recognised taxable loss during the financial year 2019 is amounting to Rs. 315,493,015/- will be carried forward for another six years and the remaining accumulated tax loss as at 31 December 2018, is amounting to Rs. 1,096,288,898/- will be carried forward for five years.

35. Earnings Per Share

35.1 Basic Earnings Per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

35.2 The following reflect the income and share data used in the Basic Earnings Per Share computations:

Amount used as the Numerator:

	Group		Company	
For the Year Ended 31 December	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Net Profit Attributable to Ordinary Shareholders	(337,009,988)	59,986,522	(381,490,642)	23,741,440

Number of Ordinary Shares used as Denominator:

	Group		Company	
For the Year Ended 31 December	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Number of Ordinary Shares in Issue	180,000,130	180,000,130	180,000,130	180,000,130
Earnings per share (Rs.)	(1.87)	0.33	(2.12)	0.13

35.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

36. Related Party Disclosures

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below:

(A) Transactions and Outstanding Balances with Related Parties

The following table shows the outstanding balance and transaction with related parties during the year.

Related Parties	Nature of the transaction/Outstanding balance	2019 Rs.	2018 Rs.
Subsidiaries	Takaful Premium	5,438,733	14,197,616
	Takaful Premium paid	586,403	622,158
	Claims Paid	3,352,032	2,702,471
	Shared Cost	106,044,402	162,866,734
	Supporting Fee	5,400,000	8,400,000
	Shared Cost Settlement	110,571,297	168,389,501
	Current Account Balance	2,834,916	5,648,197
	Dividend Received	16,960,173	22,684,989
	Subordinated Debt	117,681,913	82,475,918
	Share Transfer	-	54,545,459

The Group carries out transactions with Parent, Subsidiaries and Fellow Subsidiaries in the ordinary course of business on an arms length basis at commercial rates.

(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as key management personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosure”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Group.

The Group carries out transactions with KMPs & their close family members in the ordinary course of business on an arms length basis at commercial rates:

	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Salary and Other Short Term Benefits	61,803,247	52,211,830	17,053,575	16,455,350
Contributions made by the Company to Provident Fund and Trust Fund	2,955,765	2,827,251	1,935,236	1,858,403
Non Cash Benefits	2,160,000	2,160,000	1,020,000	1,020,000
	66,919,011	57,199,081	20,008,811	19,333,753

37. Principal Subsidiaries

The following disclosure highlights the group composition and the proportion of ownership interests held by NCI:

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of Class Held by the Company (%)	Group Interest (%)	Non- Controlling Interest (%)
Sri Lanka					
Amāna Takaful Life PLC	Life Insurance	Ordinary	82.3	82.3	17.7
Amāna Global Limited	Technical Advisor	Ordinary	100	100	-
Maldives					
Amāna Takaful (Maldives) PLC	General Takaful Insurance	Ordinary	55	55	45

37.1 Summary financial information for subsidiaries that have non-controlling interests that are material to the Group

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations:

31 December 2019	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage	17.7%	45%
Total Assets	2,924,488,105	2,025,210,751
Total Liabilities	(2,436,635,252)	(1,080,930,804)
Net Assets	487,852,853	944,279,947
- Attributable to Non-Controlling Interest	86,349,955	424,925,976
- Attributable to Parent	401,502,898	519,353,971
Net Earned Contribution (Premium)	820,513,445	1,001,057,108
Profit for the Period	(29,118,030)	144,430,578
- Profit Attributable to Non-Controlling Interest	(5,153,891)	64,993,760
- Profit Attributable to Parent	(23,964,139)	79,436,818
Other Comprehensive Income, net of tax	1,244,834	137,125,982
Total Comprehensive Income for the year	(27,873,196)	281,556,561
Cash Flows From/(Used) in Operating Activities	16,421,894	105,079,673
Cash Flows From/(Used) in Investment Activities	50,050,135	(87,370,450)
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs.13,876,505/-)	45,837,449	(30,915,971)
Net Increase/(Decrease) in Cash and Cash Equivalents	112,309,477	(13,206,748)

31 December 2018	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage	17.7%	45%
Total Assets	2,877,574,677	1,534,934,390
Total Liabilities	(2,361,848,629)	(841,374,325)
Net assets	515,726,048	693,560,065
- Attributable to Non-Controlling Interest	91,283,511	312,102,029
- Attributable to Parent	424,442,537	381,458,036
Net Earned Contribution (Premium)	806,062,264	877,562,549
Profit for the Period	(62,976,499)	123,005,030
- Profit Attributable to Non-Controlling Interest	(11,146,840)	55,352,264
- Profit Attributable to Parent	(51,829,659)	67,652,767
Other Comprehensive Income, net of tax	2,489,475	100,968,005
Total Comprehensive Income for the year	(60,487,024)	223,973,035
Cash Flows From Operating Activities	(27,584)	264,984,443
Cash Flows Used in Investment Activities	(279,322,404)	(216,678,219)
Cash Flows Used in Financing Activities	(747,036)	(46,658,914)
Net Increase in Cash and Cash Equivalents	(280,097,024)	1,647,311

38. Commitments and Contingencies

38.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

38.2 Contingencies

A contingent liability at a fair value of Rs. 294.04 Mn has been determined from four claims where, Amāna Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 30 Mn, if any. The said claims are subject to legal proceeding. At the reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

39. Transfer Pricing

Transfer pricing regulations applicable from 1 April 2018 are given in Extra Ordinary Gazette No. 2104/4 issued on 31 December 2018. Transfer Pricing Regulations apply to International Transactions referred to in Section 76 and to the cases of transactions other than international transactions made between associated enterprises referred to in Section 77 of the Inland Revenue Act, No. 24 of 2017.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (Associated undertaking). The group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each companies with associated undertaking is more than Rs. 50 Mn, the group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

40. Events Occurring after the Reporting Date

The outbreak and spread of the coronavirus globally since January 2020 have caused disruption to business and economic activities, and uncertainty to the global economy. Quarantine measures taken by respective countries widely affected the Company's clients directly or indirectly linked to industry sectors such as Financial, Agriculture, Manufacturing, Tourism, Transportation, Construction, Trade, Services, Consumption. Recent COVID 19 containing measures taken by Local Government has also caused temporal disruption to business operations and economic activities of the Company and its customers. Expecting financial effects would be negative, financial repercussions would be felt by the Company in the first quarter of FYE 2020.

Increase in claims, long outstanding premium receivables, policy surrenders are likely to have negative impact on the earnings, cash flows and liquidity positions of the Company.

Non-life insurance contract liabilities as at 31 December 2019 were estimated based on the assumptions such as existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses. It may cause a doubt on the appropriateness of such assumptions due to the COVID 19 outbreak.

Decrease in the prices of equity and debt instruments will be negatively impacted to the solvency of the company where market consistent value of the investments for risk-based capital consider the market value of the securities.

The Company will continue to take appropriate actions to mitigate any potential impact and will keep its contingency and risk management measures under review, as the situation evolves. With the situation and the spread of the coronavirus still evolving, the impact to our core markets and also to the Company's financial results cannot be reasonably estimated at the current stage.

41. Assets Pledged

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2019 Rs.	2018 Rs.	
Repurchase Agreements	Bank Guarantee For a Performance Bond	-	5,000,000	Financial Assets – Shareholders’ Funds
Cash on hold	Bank Guarantee for Garages for their services	4,000,000	4,000,000	Other Assets – General Fund
Cash on hold	Bank Guarantee for Tax Appeal Commission	4,847,929	-	Other Assets – Shareholders Fund
Repurchase Agreements	Bank Guarantee For a Performance Bond	1,000,000	1,000,000	Financial Assets – General Fund
Investment in Subsidiary	Short-Term Wakala Facility	411,500,000	411,500,000	Investment in Subsidiary

42. Comparative Information

Comparative information has been reclassified where necessary to conform with the current year presentation.

43. Risk Management

43.1 Overview

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

43.2 Risk Management Framework

The Group’s risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP’s), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group’s risk management framework and thus, their approval is necessary for the Risk management Strategies. The Group’s Risk Management Framework categorised into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the First Line of Defence.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at Senior Management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a subcommittee (Board Risk Committee) to monitor closely the affairs of risk management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The financial instruments of the Group are exposed to the following risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

43.3 Financial Risk

43.3.1 Capital Management

a. Objectives and Policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shariah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business

The Group currently has stated capital worth Rs. 1.86 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shariah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

43.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise -

1. Premium Receivable
2. Reinsurance Receivable
3. Investments in Debt Securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdue. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

Industry Analysis - 2019	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power, and Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	514,191,725	-	-	-	45,095,239	-	-	559,286,964
Investments in equity securities - Unit Linked	-	-	-	-	-	56,968,927	1,422,776	58,391,703
Available-for-Sale Financial Assets								
Investment in Equity Securities	21,483,888	-	-	-	-	-	-	21,483,888
Unit Trust	-	28,030,231	-	-	-	-	-	28,030,231
Unit Trust - Unit Linked	-	28,900,391	-	-	-	-	-	28,900,391
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	571,002,297	-	-	-	-	571,002,297
Repurchase Agreements - Unit Linked	-	-	30,110,959	-	-	-	-	30,110,959
Fixed Term Investments	1,637,612,055	-	-	-	-	-	-	1,637,612,055
Mudharaba Investments - Unit Linked	1,598,806,981	-	-	-	-	-	-	1,598,806,981
Commercial Paper	-	-	-	-	-	-	-	-
Advances to Company Officers	-	-	-	-	-	-	13,747,619	13,747,619
Total Credit Exposure	3,772,094,649	56,930,622	601,113,256	-	45,095,239	57,493,927	15,170,395	4,547,898,088

Industry Analysis – 2018	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power, and Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	33,906,250	-	-	-	43,519,457	8,311,882	2,348,830	88,086,419
Investments in equity securities – Unit Linked	-	-	-	-	-	60,156,924	1,275,909	61,432,832
Available-for-Sale Financial Assets								
Investment in Equity Securities	28,956,551	-	-	-	-	-	-	28,956,551
Unit Trust	-	26,561,505	-	-	-	-	-	26,561,505
Unit Trust – Unit Linked	-	27,007,989	-	-	-	-	-	27,007,989
Unquoted	262,478,500	-	-	-	-	525,000	-	263,003,500
Loans and Receivables								
Repurchase Agreements	-	-	664,719,396	-	-	-	-	664,719,396
Repurchase Agreements – Unit Linked	-	-	20,056,658	-	-	-	-	20,056,658
Murabaha Investments	-	-	-	-	-	-	-	-
Mudharaba Investments	1,750,329,688	-	-	-	-	-	-	1,750,329,688
Mudharaba Investments – Unit Linked	1,512,710,987	-	-	-	-	-	-	1,512,710,987
Commercial Paper	-	-	-	-	-	-	-	-
Advances to Company Officers	-	-	-	-	-	-	13,523,668	13,523,668
Total Credit Exposure	3,588,381,976	53,569,494	684,776,054	-	43,519,457	68,993,806	17,148,407	4,456,389,193

43.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2019 and 2018, is the carrying amounts of respective financial instruments.

Credit Exposure – 31 December 2019	Neither Past Due Nor Impaired	Past Due But Not Impaired	Individually Impaired	As at 31 December 2019
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investment in Equity Securities	559,286,964	-	-	559,286,964
Investment in Equity Securities – Unit Linked	58,391,703	-	-	58,391,703
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	21,483,888	-	-	21,483,888
Unit Trust	-	-	-	-
Unit Trust – Unit Linked	28,900,391	-	-	28,900,391
Investment in Equity Securities – Unquoted	525,000	-	-	525,000
Loans and Receivables				
Repurchase Agreements	571,002,297	-	-	571,002,297
Repurchase Agreements – Unit Linked	30,110,959	-	-	30,110,959
Fixed Term Investments	1,637,612,055	-	-	1,637,612,055
Commercial Paper	-	-	-	-
Mudharaba Investments – Unit Linked	1,598,806,981	-	-	1,598,806,981
Advance to Company Officers	13,747,619	-	-	13,747,619
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	330,635,917	-	-	330,635,917
Contribution (Premium) Receivables	589,940,459	-	-	589,940,459
Cash and Cash Equivalents	298,470,588	-	-	298,470,588
Total Credit Exposure	5,738,914,820	-	-	5,738,914,820

Credit Exposure – 31 December 2018	Neither Past Due Nor Impaired	Past Due But Not Impaired	Individually Impaired	As at 31 December 2018
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	88,086,419	-	-	88,086,419
Investment in Equity Securities – Unit Linked	61,432,832	-	-	61,432,832
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	28,956,551	-	-	28,956,551
Unit Trust	-	-	-	-
Unit Trust – Unit Linked	27,007,989	-	-	27,007,989
Investment in Equity Securities – Unquoted	263,003,500	-	-	263,003,500
Loans & Receivables				
Repurchase Agreements	664,719,396	-	-	664,719,396
Repurchase Agreements – Unit Linked	20,056,658	-	-	20,056,658
Murabaha Investments	-	-	-	-
Mudharaba Investments	1,750,329,688	-	-	1,750,329,688
Commercial Paper	-	-	-	-
Mudharaba Investments – Unit Linked	1,512,710,987	-	-	1,512,710,987
Advance to Company Officers	13,523,668	-	-	13,523,668
Other Assets Related to Financial Risk		-	-	
Retakaful (reinsurance) Receivables	437,579,148	-	-	437,579,148
Contribution (Premium) Receivables	711,244,729	-	-	711,244,729
Cash and Cash Equivalents	225,260,790	-	-	225,260,790
Total Credit Exposure	5,803,912,355	-	-	5,803,912,355

The following table provided information regarding the credit risk exposure on investments of the Group as at 31 December 2019 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure %
A+	43
A	21
AA-	18
AA	11
BB	7

43.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

43.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

43.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amāna Takaful Equity Exposure (Group) - Quoted

Sector	2019		2018	
	Equity Exposure		Equity Exposure	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	-	0	987,000	1
Financial Services	535,675,613	92	62,862,801	54
Manufacturing	-	0	7,324,882	6
Plantation	-	0	1,106,670	1
Telecommunication	45,095,239	8	43,519,457	37
Trading	-	0	1,242,160	1
	580,770,852	100	117,042,970	100

Sector	2019		2018	
	Equity Exposure - Unit Linked		Equity Exposure - Unit Linked	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	15,336,767	26	15,406,950	25
Manufacturing	43,054,936	74	46,025,883	75
	58,391,703	100	61,432,832	100

43.4.2.1 Sensitivity Analysis of Equity Risk-Group

Type of Classification		2019		2018	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
Financial Assets	FVTPL	(7,061,960)	7,061,960	(4,824,856)	4,824,856
	AFS	(182,863)	182,863	(244,963)	244,963
Financial Assets - Unit Linked	FVTPL	(5,839,170)	5,839,170	(6,143,283)	6,143,283
Net impact on profit before tax	FVTPL	(7,061,960)	7,061,960	(4,824,856)	4,824,856
Net impact on OCI	AFS	(182,863)	182,863	(244,963)	244,963

43.4.3 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

43.5 Insurance Risk

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above Life insurance is specifically subject to the following risks

1. Mortality risk - risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk - risk of loss arising due to policyholder health experience being different than expected.
3. Investment return risk - risk of loss arising from actual returns being different than expected.
4. Expense risk - risk of loss arising from expense experience being different than expected.
5. Policyholder decision risk - risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

43.5.1 Underwriting Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

1. Price - The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
2. Exposure - The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are re-insured.
3. Personnel - The Group ensures that all Underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

43.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance indicators of all staff levels.

Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

Gross Non-Life Insurance Outstanding Claims Provision for 2019

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2019	2018	2017	2016	2015	2014
1	1,345,185	931,873	824,378	982,056	939,112	731,435
2		966,531	849,518	1,041,732	971,969	775,956
3			849,474	1,041,684	977,219	777,372
4				1,041,762	979,453	778,030
5					979,618	778,105
6						778,105

Net Non-Life Insurance Outstanding Claims Provision for 2019

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2019	2018	2017	2016	2015	2014
1	1,016,883	801,094	664,546	778,050	911,449	645,743
2		842,616	712,124	805,377	942,676	693,540
3			709,047	805,334	947,841	695,024
4				805,412	948,254	695,739
5					948,419	695,814
6						695,814

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation.

Table 1: Impact on Undiscounted Net Claim Liability

Sensitivity	Change in variable	CE IBNR (including CHE)	CE CL (including CHE)	Impact on Profit & Loss*
Base		58,539	95,027	(4,784)
CHE (Base: 4%)				
Stressed Up CHE (4.4%)	+10%	58,904	95,393	(5,150)
Stressed Down CHE (3.6%)	-10%	58,173	94,662	(4,419)
ULR				
Stressed Up ULR	+5%	173,431	209,920	(119,676)
Stressed Down ULR	-5%	1,319	37,808	52,435

Table 2: Impact on Undiscounted Net Contribution Liability

Sensitivity	Change in variable	UCR (Net of Wakala Fee)	CE URR (including expenses)	Impact on Profit & Loss~
Base		491,901	501,172	127,362
CHE (Base: 4%)				
Stressed Up CHE (4.4%)	+10%	491,901	503,099	125,434
Stressed Down CHE (3.6%)	-10%	491,901	499,244	129,289
Wakalah Fee				
Stressed Up Wakala Fee	+10%	491,901	532,305	96,228
Stressed Down Wakala Fee	-10%	491,901	473,493	155,041

Table 3: Impact on Undiscounted Gross Claim Liability

Sensitivity	Change in variable	CE IBNR (including CHE)	CE CL (including CHE)	Impact on Profit & Loss*
Base		119,749	203,621	140,490
CHE (Base: 4%)				
Stressed Up CHE	+10%	120,115	203,986	140,125
Stressed Down CHE	-10%	119,384	203,255	140,856
ULR				
Stressed Up ULR	+5%	257,907	341,779	2,332
Stressed Down ULR	-5%	40,131	124,003	220,108

Table 4: Impact on Undiscounted Gross Contribution Liability

Sensitivity	Change in variable	UCR (Net of Wakala Fee)	CE URR (including expenses)	Impact on Profit & Loss~
Base		648,078	675,245	93,609
CHE (Base: 4%)				
Stressed Up CHE	+10%	648,078	677,172	91,681
Stressed Down CHE	-10%	648,078	673,317	95,536
Wakalah Fee				
Stressed Up Wakala Fee	+10%	648,078	715,271	53,582
Stressed Down Wakala Fee	-10%	648,078	639,558	129,295

During the sensitivity analysis, the variables were stressed up/down on a multiplicative basis (e.g.: A ULR of 50% stressed up by 10% is 55%).

The impact on profit & loss is the difference between the Central Estimate Claim Liability (including CHE) as at 31 Dec 2018 and the Central Estimate Claim Liability (including CHE) as at 31 Dec 2019. A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits.

The impact on profit & loss is the difference between the Unearned Contribution Reserve as at 31 Dec 2018 and the Central Estimate Unexpired Risk Reserve (including CHE) as at 31 Dec 2019. A negative value indicates a decrease in the profits and a positive value indicates an increase in the profit.

43.5.2.1 Claims Risk Amāna Takaful Life PLC (Group)

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

31 December 2019	Impact on Takaful Contract Liabilities		
	Change in Assumptions	Gross	Net
	%	Rs.	Rs.
Mortality/morbidity	+10%	11,048	4,235
Mortality/morbidity	-10%	(10,677)	-4,072
Lapse and surrender rates	-10%	2,873	2,745
Discount rate	-1%	1,106	1,081
Expenses	+10%	4,075	3,987
Unit Fund Investment Return	-1%	(324)	-297

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarised in the table below by measurement category:

	Takaful Contract Liabilities	
	Gross Rs. '000	Net Rs. '000
As at 31 December 2018	2,205,214	2,174,370
Reserve Unwinding	(24,785)	(18,462)
Experience variance	(11,250)	(10,807)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	1,041	525
New Business	24,578	21,402
Others	29,138	29,138
As at 31 December 2019	2,223,937	2,196,168

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance indicators of all staff levels.

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Liability	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Ocean Re	Barbados	A-	A-	AM Best	7 September 2018
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
			-	AA-(tun)' (Very Strong)	Fitch	18 February 2019
	NITF	Sri Lanka				
Miscellaneous	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Ocean Re	Barbados	A-	A-	AM Best	7 September 2018
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
			-	AA-(tun)' (Very Strong)	Fitch	18 February 2019
	NITF	Sri Lanka				
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	A M Best	21 November 2019
Engineering	Swiss Retakaful	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Ocean Re	Barbados	A-	A-	AM Best	7 September 2018
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
			-	AA-(tun)' (Very Strong)	Fitch	18 February 2019
	NITF	Sri Lanka				

Amāna Takaful Life PLC

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Name of The Regulatory Authority which Approval Obtained to Transact Reinsurance Business	License Validity Period of the Reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long Term Takaful Plans	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26 July 2019
(Endowments)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	19 August 2019
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	19 August 2019
2. Unit Link Takaful	Hanover Re	Bahrain	Negara Malaysia (BNM)	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	19 August 2019
3. Group Family	Munich Re	Malaysia	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26 July 2019
4. Credit & Mortgage Takaful	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	26 July 2019
	2. Score Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	25 July 2019

Amāna Takaful (Maldives) PLC

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Trust Re	Bahrain	-	B++	AM Best	
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
				AA-(tun)' (Very Strong)	Fitch	18 February 2019
	Kenya Re	Kenya	GCR	B+	GCR	14 November 2019
	Oman Re	Oman	-	BBB-	Fitch	14 June 2019
	Kuwait Re	Kuwait	A-	A-	AM Best	

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Fire	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Trust Re	Bahrain	-	B++	AM Best	
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
				AA-(tun)' (Very Strong)	Fitch	18 February 2019
	Kenya Re	Kenya	GCR	B+	GCR	14 November 2019
	Oman Re	Oman	-	BBB-	Fitch	14 June 2019
	Kuwait Re	Kuwait	A-	A-	AM Best	
Motor	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Trust Re	Bahrain	-	B++	AM Best	
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
				AA-(tun)' (Very Strong)	Fitch	18 February 2019
	Kenya Re	Kenya	GCR	B+	GCR	14 November 2019
Liability	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Trust Re	Bahrain	-	B++	AM Best	
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
				AA-(tun)' (Very Strong)	Fitch	18 February 2019
	Kenya Re	Kenya	GCR	B+	GCR	14 November 2019

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Miscellaneous	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	Trust Re	Bahrain	-	B++	AM Best	
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
				AA-(tun)' (Very Strong)	Fitch	18 February 2019
	Kenya Re	Kenya	GCR	B+	GCR	14 November 2019
	Oman Re	Oman	-	BBB-	Fitch	14 June 2019
Travel PA	Kuwait Re	Kuwait	A-	A-	AM Best	
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
Engineering	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	19 December 2017
			A	AA-	S&P	24 October 2018
			a+	A+	AM Best	13 December 2018
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	21 November 2019
	General Insurance Corporation of India	India	-	A- (Excellent)	AM Best	3 April 2019
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	8 July 2019
	Trust Re	Bahrain	-	B++	AM Best	
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	A M BEST	1 March 2019
	Tunis Re	Tunisia	bbb-	B+ (Good)	A M BEST	24 July 2019
				AA-(tun)' (Very Strong)	Fitch	18 February 2019
	Kenya Re	Kenya	GCR	B+	GCR	14 November 2019
	Oman Re	Oman	-	BBB-	Fitch	14 June 2019
	Kuwait Re	Kuwait	A-	A-	AM Best	

43.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below:

2019 - Maturity Analysis	Within One Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More than 5 Years Rs.	No Stated Maturity Rs.	Total Rs.
Assets						
Investments in Quoted Equity Securities	536,033,894	-	-	-	44,736,958	580,770,852
Unit Trust	28,030,231	-	-	-	-	28,030,231
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	571,002,297	-	-	-	-	571,002,297
Fixed Term Investments	1,637,612,055	-	-	-	-	1,637,612,055
Other Assets - Other Receivables	141,118,722	-	-	-	-	141,118,722
Advances to Company Officers	13,747,619	-	-	-	-	13,747,619
Contribution (Premium) Receivables	589,940,459	-	-	-	-	589,940,459
Total	3,517,485,277	-	-	-	45,261,958	3,562,747,235
Liabilities						
Other Liabilities - Unit Linked	50,986,682	-	-	-	-	50,986,682
Other Liabilities	831,819,801	-	-	-	-	831,819,801
Short-Term Borrowings	157,857,492	-	-	-	-	157,857,492
Subordinated Debt	-	-	226,250,333	-	-	226,250,333
Lease Liability	8,200,260	104,897,397	-	-	-	113,097,657
Total	1,048,864,234	104,897,397	226,250,333	-	-	1,380,011,964

2018 - Maturity Analysis	Within One Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More than 5 Years Rs.	No Stated Maturity Rs.	Total Rs.
Assets						
Investments in Quoted Equity Securities	72,306,012	-	-	-	44,736,958	117,042,970
Unit Trust	26,561,505	-	-	-	-	26,561,505
Unquoted Investments	-	-	-	-	263,003,500	263,003,500
Repurchase Agreements	664,719,396	-	-	-	-	664,719,396
Mudharaba Investments	1,750,329,688	-	-	-	-	1,750,329,688
Other Assets - Other Receivables	135,773,809	-	-	-	-	135,773,809
Advances to Company Officers	13,523,668	-	-	-	-	13,523,668
Contribution (Premium) Receivables	711,244,729	-	-	-	-	711,244,729
Total	3,374,458,808	-	-	-	307,740,458	3,682,199,266
Liabilities						
Other Liabilities - Unit Linked	51,285,609	-	-	-	-	51,285,609
Other Liabilities	653,704,232	-	-	-	-	653,704,232
Short-Term Borrowings	200,777,276	-	-	-	-	200,777,276
Subordinated Debt	-	-	46,599,805	-	-	46,599,805
Lease Liability	1,503,962	2,345,861	-	-	-	3,849,823
Total	907,271,079	2,345,861	46,599,805	-	-	956,216,744

44. Maturity Profile of Assets and Liabilities

Group

Year Ended 31 December	2019			2018		
	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	260,272,858	-	260,272,858	217,105,631	-	217,105,631
Cash and Bank Balances - Unit Linked	38,197,730	-	38,197,730	8,155,160	-	8,155,160
Financial Assets	2,786,951,096	44,736,958	2,831,688,054	2,672,163,869	163,016,859	2,835,180,727
Financial Assets - Unit Linked	1,716,210,033	-	1,716,210,033	1,621,208,465	-	1,621,208,465
Right of use assets	-	255,334,446	255,334,446	-	-	-
Retakaful (Reinsurance) Receivables	330,635,917	-	330,635,917	437,579,148	-	437,579,148
Contribution (Premium) Receivables	589,940,459	-	589,940,459	711,244,729	-	711,244,729
Investment Property	-	194,000,000	194,000,000	-	220,429,000	220,429,000
Property, Plant and Equipment	-	86,385,886	86,385,886	-	96,024,241	96,024,241
Intangible Assets	-	114,454,505	114,454,505	-	86,942,914	86,942,914
Deferred Tax Assets	-	5,984,713	5,984,713	-	103,483,264	103,483,264
Other Assets	210,590,698	-	210,590,698	252,737,848	-	252,737,848
Other Assets - Unit Linked	-	-	-	-	-	-
Total Assets	5,932,798,791	700,896,509	6,633,695,302	5,920,194,849	669,896,277	6,590,091,127
Liabilities						
Bank Overdrafts	56,123,560	-	56,123,560	-	-	-
Short Term Borrowings	157,857,492	-	157,857,492	200,777,276	-	200,777,276
Insurance Contract Liabilities - Non Life	1,070,777,688	-	1,070,777,688	1,394,786,725	-	1,394,786,725
Insurance Contract Liabilities - Family Takaful Fund	-	471,280,391	471,280,391	-	534,967,470	534,967,470
Insurance Contract Liabilities - Family Takaful Unit Linked	-	1,747,559,594	1,747,559,594	-	1,660,124,030	1,660,124,030
Employee Benefits	-	82,572,410	82,572,410	-	66,878,749	66,878,749
Subordinated Debt	-	226,250,333	226,250,333	-	46,599,805	46,599,805
Lease Liability	-	113,097,657	113,097,657	1,503,962	2,345,861	3,849,823
Other Liabilities - Unit Linked	50,986,682	-	50,986,682	51,285,609	-	51,285,609
Other Liabilities	831,819,801	-	831,819,801	653,704,232	-	653,704,232
Total Liabilities	2,167,565,222	2,640,760,384	4,808,325,606	2,302,057,804	2,310,915,914	4,612,973,718
Net Balance	3,765,233,569	(1,939,863,875)	1,825,369,696	3,618,137,046	(1,641,019,637)	1,977,117,408

Company

Year Ended 31 December	2019			2018		
	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	167,389,849	-	167,389,849	94,692,309	-	94,692,309
Cash and Bank Balances - Unit Linked	-	-	-	-	-	-
Financial Assets	838,855,544	525,000	839,380,544	836,967,607	525,000	837,492,607
Right of use assets	-	13,818,976	13,818,976	-	-	-
Retakaful (Reinsurance) Receivables	190,265,962	-	190,265,962	410,365,133	-	410,365,133
Contribution (Premium) Receivables	395,623,737	-	395,623,737	529,532,922	-	529,532,922
Investments in Subsidiaries	-	1,052,867,811	1,052,867,811	-	1,052,867,811	1,052,867,811
Investment Property	-	46,500,000	46,500,000	-	75,500,000	75,500,000
Property, Plant and Equipment	-	48,374,578	48,374,578	-	63,757,277	63,757,277
Intangible Assets	-	29,718,037	29,718,037	-	31,025,948	31,025,948
Deferred Tax Assets	-	-	-	-	96,792,137	96,792,137
Other Assets	93,063,324	-	93,063,324	135,396,673	-	135,396,673
Total Assets	1,685,198,416	1,191,804,402	2,877,002,808	2,006,954,645	1,320,468,173	3,327,422,816
Liabilities						
Bank Overdrafts	56,123,560	-	56,123,560	-	-	-
Short Term Borrowings	157,857,492	-	157,857,492	200,777,276	-	200,777,276
Insurance Contract Liabilities - Non Life	704,792,638	-	704,792,638	972,644,129	-	972,644,129
Employee Benefits	-	38,851,542	38,851,542	-	35,028,091	35,028,091
Subordinated Debt	-	272,402,200	272,402,200	-	97,024,473	97,024,473
Lease Liability	-	14,053,815	14,053,815	-	-	-
Other Liabilities	174,652,121	-	174,652,121	183,116,946	-	183,116,946
Total Liabilities	1,093,425,811	325,307,557	1,418,733,368	1,356,538,351	132,052,564	1,488,590,915
Net Balance	591,772,605	866,496,845	1,458,269,440	650,416,294	1,188,415,609	1,838,831,901

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	2019 Rs. Mn	2018 Rs. Mn
Net earned contribution (premium)	3,293	3,225
Investment & Other Income	579	487
Net Claims & Benefits	(2,245)	(1,931)
Cost of external services	(1,087)	(1,009)
Total Value added	540	772
To employees as Salaries and other benefits	627	647
To the Government as taxes	125	29
Change in Family Takaful (Long-Term Insurance) Fund	27	(37)
Retained with the business	-	-
- depreciation	38	28
- in reserves	(277)	104
Total Value added	540	772

1. Analysis of the Distribution of Shareholders as at 31 December 2019

Shareholding	Resident			Non-Resident			Total	
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1 - 1,000	4354	1,064,191	0.59	12	3,925	0.00	4,366	1,068,116
1,001 - 10,000	1068	3,557,782	1.98	4	19,700	0.01	1,072	3,577,482
10,001 - 100,000	269	7,983,532	4.44	3	56,500	0.03	272	8,040,032
100,001 - 1,000,000	29	7,374,538	4.10	1	190,184	0.11	30	7,564,722
Over 1,000,000	8	159,749,778	88.75	0	-	-	8	159,749,778
	5,728	179,729,821	99.85	20	270,309	0.15	5,748	180,000,130

2.1 Top 20 Shareholders as at 31 December 2019

	No. of Shares	%
Osman Kassim & K Kassim	33,300,024	18.50
Sattar Kassim	30,855,752	17.14
Shafik Kassim	30,468,567	16.93
Amāna Bank PLC	27,159,633	15.09
Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	16,350,509	9.08
ATL Investment Holdings Limited	13,889,678	7.72
Sampath Bank PLC/Dr. T Senthilverl	4,864,313	2.70
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Dr. Thirugnanasambandar Senthilverl	917,867	0.51
Mohamed Haji Omar	551,513	0.31
Pattini Deva Asoka Swarnakanthi Beruwalage	422,684	0.23
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Joseph Rohan Victoria	335,209	0.19
Mujahira Mohamed Fazeel/M F Mohamed Fazeel	326,700	0.18
Farook Kassim	325,000	0.18
Sithambaram Pillai Jayakumar/P Meena	300,000	0.17
Ravindra Earl Rambukwella	299,220	0.17
Nabeela Haroon	270,000	0.15
Gajath Chrysantha Goonetilleke	256,031	0.14
Mohamed Hussain Mohamed Nazeer	241,017	0.13
	164,409,327	91.34
Others	15,590,803	8.66
Total	180,000,130	100.00

2.2 Top 20 Shareholders as at 31 December 2018

	No. of Shares	%
Sattar Kassim	30,855,752	17.14
Shafik Kassim	30,468,567	16.93
Amāna Bank PLC	27,159,633	15.09
Osman Kassim & K Kassim	21,399,097	11.89
ATL Investment Holdings Limited	13,889,678	7.72
Osman Kassim	11,900,927	6.61
Expolanka Holdings PLC	7,909,623	4.39
Seylan Bank PLC/Dr.Thirugnanasambandar Senthilvel	7,778,961	4.32
Sampath Bank PLC/ Dr.T Senthilvel	4,864,313	2.70
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Mohamed Haji Omar	551,513	0.31
Pattini Deva Asoka Swarnakanthi Beruwalage	422,684	0.23
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Joseph Rohan Victoria	335,209	0.19
Mohamed Kalif Rahim	333,148	0.19
Mujahira Mohamed Fazeel & M F Mohamed Fazeel	326,700	0.18
Farook Kassim	325,000	0.18
Sithambaram Pillai Jayakumar & P Meena	300,000	0.17
Ravindra Earl Rambukwella	290,953	0.16
Nabeela Haroon	270,000	0.15
	162,657,368	90.37
Others	17,342,762	9.63
Total	180,000,130	100.00

3. Public Shareholding

	31 December 2019	31 December 2018
Float Adjusted Market Capitalisation (Rs.)*	378,357,370	485,439,644
Percentage of Shares held by the Public (%)	39.66	39.66
Number of Public Shareholders	5,741	5,888

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage.

4. Investor Ratios

	Group		Company	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Earnings/(Loss) per Share	(1.87)	0.33	(2.12)	0.13
Dividend per Share	-	-	-	-
Dividend Payout Ratio	-	-	-	-
Net Assets per Share	7.58	9.02	8.10	10.22

5. Market Value of Shares

	2019 Rs.	2018 Rs.
Highest Value	6.80	9.40
Lowest Value	4.40	0.60
Year End Value	5.30	6.80

Group

Statement of Income for the Year Ended 31 December	2019 Rs. '000	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000
Gross Written Contribution (Premium)	4,275,776	4,213,900	3,640,635	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770	1,613,979	1,173,348
Net Earned Contribution (Premium)	3,292,601	3,224,809	2,662,652	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797	1,253,696	945,650
Income from Investments and Other Income	579,351	486,893	452,831	373,319	240,612	302,752	184,024	204,744	80,866	69,896
Net Claims Incurred	(2,244,905)	(1,930,906)	(1,479,674)	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)	(652,614)	(517,552)
Net Commission Incurred	(258,814)	(260,413)	(202,356)	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)	(65,589)	(20,691)
Expenses	(1,492,769)	(1,424,141)	(1,223,014)	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)	(555,622)	(437,392)
Increase in Family Takaful (Long-Term Insurance) Fund	(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)
Profit/(Loss) Before Taxation	(151,819)	133,203	169,904	(140,239)	(271,387)	86,429	111,298	107,022	(70,476)	(35,372)
Income Tax Expenses	(125,351)	(29,012)	(14,900)	(5,919)	(9,113)	16,582	46,560	(16,689)	(918)	-
Net Profit/(Loss) for the year	(277,170)	104,191	155,004	(146,158)	(280,500)	103,011	157,857	90,333	(71,394)	(35,372)
Basic Earnings/(Loss) per Share (Rs.)	(1.87)	0.33	0.08	(0.09)	(0.18)	0.07	0.13	0.06	(0.09)	(0.05)

General Insurance Business

Statement of Income for the Year Ended 31 December	2019 Rs. '000	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000
Gross Written Contribution (Premium)	3,424,483	3,385,952	2,848,461	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011	1,296,082	933,192
Net Earned Contribution (Premium)	2,472,088	2,418,344	1,897,617	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846	942,842	713,535
Income from Investments and Other Income	259,125	275,669	183,763	150,530	110,409	165,763	118,458	170,769	71,615	46,610
Net Claims Incurred	(1,653,010)	(1,387,459)	(1,050,282)	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)	(569,253)	(446,969)
Net Commission Incurred	(140,916)	(154,588)	(105,094)	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)	(45,946)	(637)
Expenses	(1,065,189)	(956,187)	(800,711)	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)	(469,734)	(347,911)
Profit/(Loss) Before Taxation	(127,902)	195,778	125,294	(175,931)	(289,451)	86,429	118,243	107,022	(70,476)	(35,372)

Amāna Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Income for the Year Ended 31 December	2019 Rs. '000	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000
Gross Written Contribution (Premium)	851,293	827,948	792,174	820,726	928,294	679,029	542,986	364,759	317,897	240,156
Net Earned Contribution (Premium)	820,513	806,465	765,036	806,057	908,064	665,250	537,963	356,951	310,854	232,115
Income from Investments and Other Income	320,226	211,224	269,068	222,789	130,203	136,988	65,566	33,975	9,251	23,286
Net Claims Incurred	(591,895)	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)
Net Commission Incurred	(117,898)	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)
Expenses	(427,580)	(467,954)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)
Increase in Family Takaful (Long-Term Insurance) Fund	(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)
Profit/(Loss) Before Taxation	(23,917)	(62,574)	50,592	35,691	18,064	-	(6,945)	-	-	-

Group

Statement of Financial Position as at 31 December	2019 Rs. '000	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000
Assets										
Financial Assets	2,831,688	2,835,181	2,727,923	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583	993,838	809,489
Investments	194,000	220,429	79,925	78,500	73,500	101,800	173,531	184,105	750,946	88,853
Financial Assets – Unit Linked	1,716,210	1,621,208	1,526,679	1,441,276	1,054,183	603,171	351,189	124,446	90,697	-
Intangible Assets	114,455	86,943	31,812	36,658	24,703	24,159	29,002	29,199	40,365	25,681
Property, Plant and Equipment	86,386	96,024	76,726	101,870	123,231	127,570	96,720	83,385	39,654	49,610
Other Assets	1,652,759	1,722,151	1,485,573	1,450,105	937,383	1,000,999	916,957	532,335	578,647	525,610
Other Assets – Unit Linked	38,198	8,155	7,370	104,248	84,611	130,239	38,810	17,401	7,372	-
Total Assets	6,633,695	6,590,091	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243
Liabilities										
Insurance Provision – Non Life (General Takaful Fund)	1,070,778	1,394,787	1,015,130	917,870	742,618	625,154	698,682	597,736	454,936	374,619
Insurance Provision – Long Term (Family Takaful Fund)	471,280	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141
Insurance Provision – Long Term (Family Takaful Fund) – Unit Linked	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	-
Subordinated Debt	226,250	46,600	-							
Other Liabilities	1,241,471	925,210	992,898	845,154	687,939	443,988	329,820	433,522	550,861	543,217
Other Liabilities – Unit Linked	50,987	51,286	51,845	50,316	39,437	20,116	9,042	2,985	2,176	-
Total liabilities	4,808,326	4,612,974	4,165,719	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589	1,552,658	1,330,977
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	1,860,001	1,860,001	1,860,001	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001	1,250,001	500,000
Other Reserves	141,525	140,956	83,090	85,869	80,105	65,949	30,128	30,140	14,711	17,505
Revenue Reserves	(637,893)	(377,686)	(455,559)	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)	(417,740)	(367,112)
	1,363,633	1,623,271	1,487,533	1,378,441	1,303,601	1,194,450	1,138,078	955,522	846,971	150,393
Minority Interest	461,737	353,846	282,755	261,913	205,894	176,689	154,951	142,343	101,889	17,873
Total Equity	1,825,370	1,977,117	1,770,288	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865	948,861	168,266
Total Equity and Liabilities	6,633,695	6,590,091	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243

Amāna Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Financial Position as at 31 December	2019 Rs. '000	2018 Rs. '000	2017 Rs. '000	2016 Rs. '000	2015 Rs. '000	2014 Rs. '000	2013 Rs. '000	2012 Rs. '000	2011 Rs. '000	2010 Rs. '000
Assets										
Financial Assets	816,350	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414
Investments	147,500	144,929	-	-	-	43,683	71,908	73,463	161,666	50,750
Financial Assets - Unit Linked	1,716,210	1,621,208	1,526,679	1,441,276	1,054,183	603,171	351,189	124,446	90,697	-
Intangible Assets	19,659	20,955	22,250	23,549	18,408	-	-	-	-	-
Property, Plant and Equipment	20,110	28,704	21,165	17,467	14,932	-	-	-	-	-
Right Of Use Asset	16,064	-	-	-	-	-	-	-	-	-
Other Assets	150,398	178,459	191,588	102,661	84,611	64,612	37,992	43,936	27,420	10,913
Other Assets - Unit Linked	38,198	8,155	7,370	104,248	142,504	130,239	38,810	17,401	7,372	-
Total Assets	2,924,488	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077
Liabilities										
Family Takaful Fund Balance (Insurance Provision - Long-Term)	471,280	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141
Family Takaful Fund (Insurance Provision - Long Term) - Unit Linked	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	-
Subordinated Debt	81,417	32,051	-	-	-	-	-	-	-	-
Other Liabilities	85,392	83,420	78,149	69,708	82,414	129,678	66,636	79,171	23,251	72,936
Other Liabilities - Unit Linked	50,987	51,286	51,845	50,316	39,437	20,116	9,042	3,485	47,705	-
Total Liabilities	2,436,635	2,361,849	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077
Shareholders' Equity Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	500,000	500,000	-	-	-	-	-
Other Reserves	6,710	3,431	(1,545)	(2,669)	2,169	-	-	-	-	-
Revenue Reserves	(18,857)	12,295	75,333	26,186	13,424	-	-	-	-	-
Total Equity	487,853	515,726	573,788	523,517	515,594	-	-	-	-	-
Total Equity and Liabilities	2,924,488	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077

Head Office

660-1/1, Galle Road
Colombo 03
011 750 1000

Akkaraipattu

77, Main Street, Akkaraipattu
067 750 1100

Akurana

207/B, Matale Road, Akurana.
081 750 1150

Anuradhapura

521/22, Maithripala Senanayake
Mawatha,
Anuradhapura
025 750 1103

Batticaloa

No. 32, Bar Road, Batticaloa
065 750 1100

Beruwala

No. 201 B -1/1, City Arcade,
1st Floor, Galle Road, Beruwala
034 750 1138

Dehiwala

142, Galle Road,
Dehiwala
011 750 1275

Galle

41, Sri Devamittha Mawatha,
China Garden, Galle
091 750 1128

Gampola

134/A, Kandy Road,
Gampola
081 750 1104

Jaffna

249/1, 1st Floor,
Power House Road, Jaffna
021 750 1100

Kaduruwela

379A, Main Street, Kaduruwela
027 750 1120

Kalmunai

No. 32, Main Street, Kalmunai
067 750 1116

Kalutara

161, Main Street, Kalutara South
034 750 1132

Kandy

No. 310/2/1, Katugastota, Kandy
081 750 1100

Katugastota

No. 166, Madawala Road,
Katugastota
081 750 1160

Kattankudy

287, Main Street,
Kattankudy
065 750 1118

Kinniya

124, Main Street, Kinniya
026 750 1115

Kurunegala

7, South Circular Road, Kurunegala
037 750 1110

Mannar

Pallimunai, Mannar
023 750 1200

Matale

No. 510, Main Street, Matale
066 750 1101

Matara

36/1 St. Thomas Mawatha, Matara
041 750 1130

Mawanella

207, New Kandy Road, Mawanella
035 750 1107

Muttur

05, Main Street, Muttur
026 750 1150

Negombo

121 1/1, St Joseph's Street,
Negombo
031 750 1121

Pettah

51-53, 1st Floor, Bankshall Street,
Colombo 11
011 750 1212

Puttalam

No. 128, Mannar Road, Puttalam
032 750 1124

Ratnapura

310/1, Main street,
Kudugalwatta, Ratnapura
045 750 1100

Thihariya

No. 122/1, Parakumbamahal,
Kandy Road, Thihariya,
Kalagedihena
033 750 1100

Trincomalee

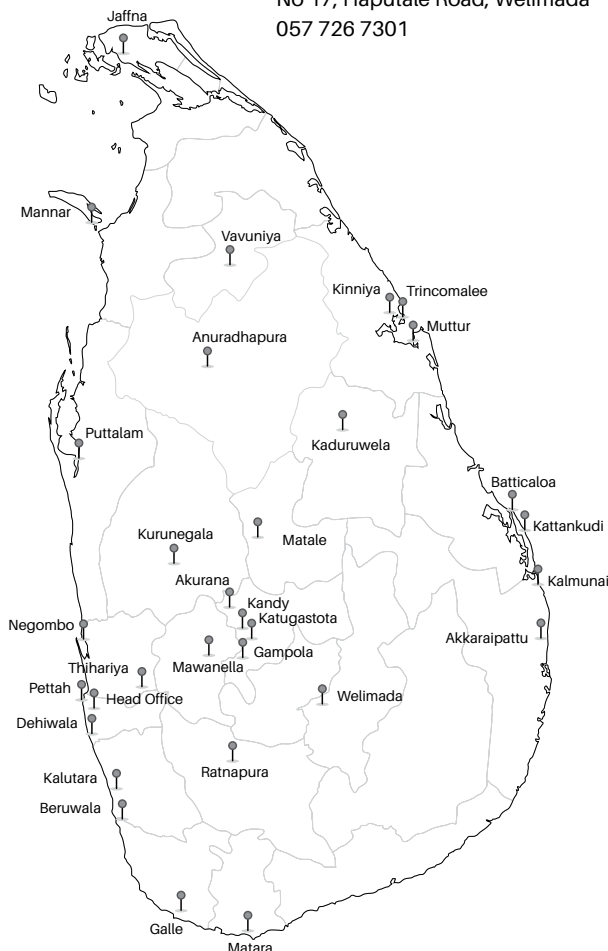
71, Thirugnanasambanthar Street,
Trincomalee
026 750 1100

Vavuniya

No. 9/60, First Cross Street,
Vavuniya
024 750 1100

Welimada

No 17, Haputale Road, Welimada
057 726 7301



Acquisition Expenses - General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses - Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Capital Adequacy Ratio (CAR)

Measures adequacy of the Total Available Capital (TAC) as against the Risk Capital Required (RCR) under the Risk Based Capital Regime.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding - General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision - Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision - General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk Based Capital (RBC)

An amount of capital based on an assessment of risk that the company should hold to protect the policyholders.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad - Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/ and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Surrender

The act of cancelling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE IS HEREBY GIVEN that the 21st Annual General Meeting of Amāna Takaful PLC will be held on 14 July 2020 at 10.00 a.m. at the Board Room of Amāna Takaful PLC, No. 660 – 1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

- (1) To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31 December 2019 and the Report of the Auditors thereon.
- (2) Re-election of Directors by Rotation in terms of Article 82 of the Articles of Association of the Company
 - (a) Mr. M H S Kassim being eligible, offers himself for re-election as a Director.
 - (b) Mr. M R M Nayeem being eligible, offers himself for re-election as a Director.
- (3) Appointment of Directors subsequent to the Last Annual General Meeting in terms of Article 89 of the Articles of Association of the Company.
 - (a) Mr. Syed Rizwan Hussain being eligible, offers himself for re-election as a Director.
- (4) Re-election of Directors in terms of section 210 of the Companies Act no 7 of 2007
 - (a) Mr. M H M Rafiq who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.
 - (b) Dato' Mohd Fadzli Yusof who is over 70 years of age does not offer himself for re-appointment, and have notified his intention of stepping down from the board.
- (5) To re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorize the Directors to determine their remuneration.

- (6) To pass the following Special Resolution to Amend the Articles of Association with the inclusion of Article No. 43 (a) to the Articles of Association as follows:

43. (a) "Notwithstanding any provision in this articles suggesting the contrary, a meeting of Shareholders may be held by means of Audio, or Audio and Visual communication by which all shareholders participating and constituting quorum can simultaneously hear each other throughout the meeting, or by any means of Virtual meeting whereby Shareholders regardless of their location could connect or linkup online through Video/Audio/Text."

By Order of the Board,
Amāna Takaful PLC



Managers & Secretaries (Private) Ltd.
Secretaries
26 May 2020

Notes:

- (1) A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATL are entitled to take part at the AGM of ATL.
- (2) A Pre-registration form is enclosed for this purpose to be completed by ATL Shareholders only.
- (3) A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
- (4) A form of proxy is enclosed for this purpose.
- (5) The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

I/We the undersigned

bearing NIC No , Of

..... being a member/members

of Amāna Takaful PLC, hereby appoint

- Full name of proxy -
- NIC of Proxy -
- Address of Proxy -
- Contact Numbers - Land, Mobile
- Email address

Failing him

Mr. Osman Kassim	of Colombo or failing him
Dato' Mohd Fadzli Yusof	of Malaysia or failing him
Mr. M H M Rafiq	of Colombo or failing him
Dr A A M Haroon	of Colombo or failing him
Mr. M R M Nayeem	of Colombo or failing him
Mr. M H S Kassim	of Colombo or failing him
Mr. S R Hussain	of Pakistan

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting to be held on 14th July 2020 at 10.00 a.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

	For	Against
(1) To, receive and consider the Annual Report of the Board of Directors on the Affairs of the Company for the year ended 31 December 2019 and the Report of the Auditors thereon.	☐	☐
(2) To re-elect Mr. M H S Kassim as a Director of the Company, who retires by rotation and has offered himself for re-election.	☐	☐
(3) To re-elect Mr. M R M Nayeem as a Director of the Company, who retires by rotation and has offered himself for re-election.	☐	☐
(4) To re- elect Mr. Syed Rizwan Hussain as a Director of the Company, subsequent to the Last Annual General Meeting.	☐	☐
(5) To re-appoint the retiring auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize directors to determine their remuneration.	☐	☐
(6) To pass the Special Resolution to Amend the Articles of Association	☐	☐

As witness my/our hands this day of 2020.

.....
Signature

INSTRUCTIONS AS TO COMPLETION

- (1) In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
- (2) The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
- (3) The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660 - 1/1, Galle Road Colombo 03, or e-mailed to "agm.atplc@takaful.lk" not later than 48 hours prior to the time appointed for holding of the meeting.
- (4) In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

Name of the Company

Amāna Takaful PLC

Legal Status

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7 December 1998. Registered under the Companies Act No. 07 of 2007 on 27 June 2007.

Company Registration Number

PQ 23

Tax Payer Identification Number (TIN)

134007958

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27 November 2006. Stock Exchange Code for Amāna Takaful PLC shares is "ATL".

Directors

Mr. Osman Kassim – Chairman
Mr. Tyeab Akbarally (Resigned w.e.f. 15 July 2019)
Dato' Mohd Fadzli Yusof
Dr. A A M Haroon
Mr. M H M Rafiq
Mr. A S M Muzzammil (Resigned w.e.f. 30 November 2019)
Mr. R Gopinath (Resigned w.e.f. 1 December 2019)
Mr. M R M Nayeem
Mr. M Hassan Sattar Kassim
Mr. S Rizwan Hussain (Appointed w.e.f. 3 May 2019)

Shari'ah Advisory Council

Mufti M I M Rizwe – Chairman
Mufti Shafique Ahmed Jakhura – Member
Ash-Sheikh M Murshid – Secretary

**Chief Executive Officer -
Amāna Takaful PLC**

Mr. M Fazal Ghaffoor
(Resigned w.e.f. 31 December 2019)
Mr. Zaid Ibnu Aboobucker – Interim Acting
CEO (Appointed w.e.f. 1 January 2020)

**Chief Executive Officer -
Amāna Takaful Life PLC**

Mr. Gehan Shivantha Rajapakse

Registered Office

No. 660-1/1, Galle Road, Colombo 03,
Sri Lanka

Subsidiaries

Amāna Takaful Life PLC
No. 660 – 1/1, Galle Road, Colombo 03,
Sri Lanka

Amāna Global Ltd.

No. 660 – 1/1, Galle Road, Colombo 03,
Sri Lanka

Amāna Takaful (Maldives) PLC

H. Mialani, Sosun Mogu, Male,
Republic of Maldives

Auditors

Messrs Ernst & Young
Chartered Accountants

**Consultant Actuaries - General
Insurance**

NMG Financial Services Consulting Pte Ltd.
65, Chulia Street #37-07/08, OCBC Centre
Singapore 049513

**Consultant Actuaries -
Long-Term Insurance**

Actuarial Partners Consulting Sdn Bhd Suite
17.02, Kenanga International Jalan Sultan
Ismail 50250 Kuala Lumpur, Malaysia

Reinsurance Panel

Swiss Reinsurance Company Ltd
Labuan Reinsurance (L) Ltd, Labuan, Malaysia
Ocean Re
Asian Re
GIC Retakaful
Hannover Re
Munich Re

Secretaries

Managers & Secretaries (Pvt) Ltd.

Principal Bankers

Amāna Bank PLC/Pan Asia Bank/NDB
Bank/Bank of Ceylon/Commercial Bank/
Sampath Bank/HNB/Nations Trust Bank/
Deutsche Bank/Seylan Bank/ MCB Bank



Amāna Takaful PLC

660-1/1, Galle Road, Colombo 03, Sri Lanka

www.takaful.lk